FROM DISKARTE TO SYSTEMS.

THE BUSINESS OPENING CHECKLIST PH

109 Practical Checks to Help You Plan,
Open & Run Your Business with Confidence



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A NOTE FROM ALLAN

Build the system before you open.

“Okay na ’yan. Bukas na tayo.” It is easy to mistake an open door for a business that is ready to operate. The hard part starts when rent, stock, payroll, permits and customer expectations arrive at the same time.

In 2012, I opened a Japan Surplus Appliance store in Puerto Princesa, Palawan. There was no similar store in the city. I had a direct line to an importer in Manila, a cost advantage and a business model inspired by hardware stores that had lasted for decades.

The store still closed. Sales were slow, while rent, utilities and the cost of stock sitting on shelves kept running. A promising idea did not give me the runway or operating system I needed to sustain it.

That experience changed how I think about starting a business. Opening takes money, permits and energy. Building a business also takes cash discipline, clear processes and work your team can repeat without calling you for every decision.

Diskarte is a real strength: the ability to improvise, adapt and find a way forward. Give it a structure. Document what works. Know your numbers. Set up compliance before an inspection. Build checklists your people can use when you are not there.

This guide is for Filipino owners opening or strengthening a micro-to-small, brick-and-mortar business: a café, salon, water refilling station, small shop, minimart or similar operation. Work through it before major commitments. If you have already opened, use it to find and close the gaps.

The goal is a business with enough structure to carry the everyday work. Start with the next unfinished step, complete it properly, and keep going.

THE PRINCIPLE

Opening a business is the start. A repeatable system helps you sustain it.

MORE THAN A CHECKLIST

This guide is part of PromdiPreneur’s mission to help Filipino entrepreneurs build better business systems. Visit us to learn practical ways to improve processes, discover digital tools, explore implemented systems, or ask a business question.

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SCAN TO VISIT

READ • DECIDE • DO

How to use this book

01 Start with the decision in front of you

Use the contents page to choose a chapter. Read Chapter 1 before committing capital, then work through the remaining stages. Some registration and premises steps overlap; confirm your LGU’s sequence and prerequisites before signing or paying.

02 Read one action card at a time

Each item has a clear action, the risk it addresses, a practical way to do it, and a completion test. The chapter checklist lets you mark progress and return to the right page quickly.

03 Keep proof, not just a tick

Save the calculation, signed document, confirmation, training record or tested procedure. “In process” is still open. Write the next action, owner and due date on your opening dashboard.

04 Pause at a verification note

Rules and procedures can differ by location, industry, taxpayer category and employee coverage. Check the specific agency, current issuance and your circumstances. A planning example is not a legal threshold or a guaranteed cost.

05 Use the templates with professional review

The appendix gives editable starting frameworks. Replace every bracketed field, resolve the choices and have the relevant professional review the completed document before it is signed, sent or submitted.

A TICK MEANS DONE

Use the chapter checklists to track progress. Keep proof of completion in one accessible business folder.

READ THIS BEFORE YOU ACT

Plan carefully. Verify the details.

This is a practical planning guide, not legal, accounting or compliance advice. Government requirements, fees and procedures change, and LGU requirements vary. Consult the relevant agency and a licensed Philippine professional before acting on a consequential compliance, tax, lease or employment decision. The source notes identify key rules to check; they do not certify that a business or completed template is compliant. Publication review: this design update does not independently validate the source's legal and regulatory references. Recheck all government requirements, rates, fees, deadlines and links against current official sources before publication or action.

What the labels mean

DO THIS

The action you can work on now.

WHY IT MATTERS

The practical risk this step addresses.

MAKE IT PRACTICAL

A specific approach, example or operating habit.

DONE WHEN

The evidence that lets you close the task.

VERIFY BEFORE USE

A requirement, rate, deadline or legal point to confirm for your business.

Key rules and official references appear near the back. Rates, fees and local requirements should be rechecked before you act.

Template fields are intentionally left in [BRACKETS] for you and your adviser to complete.

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Tap a chapter title to jump there. Each chapter also has a linked checklist so you can find an individual item.

MAKE THE WORK VISIBLE

Your opening dashboard

Use this page for your next decisions. Keep a separate task list if your team needs more room.

Business / proposed location

_____

Target opening window

_____

Cash available for opening and runway

_____

Biggest unresolved risk

_____

Your next three actions

01 ACTION / EVIDENCE NEEDED

_____

Owner: _____ Due: _____

02 ACTION / EVIDENCE NEEDED

_____

Owner: _____ Due: _____

03 ACTION / EVIDENCE NEEDED

_____

Owner: _____ Due: _____

Before you commit more money

Ask: Is the demand credible? Can the cash plan sustain a slow start? Can this location be permitted? What will be hard or expensive to reverse?

A QUICK NUMBERS REFERENCE

Three numbers worth knowing

Use these alongside Chapter 1. Write down the assumptions, then test them against real demand and cash timing.

01 OPENING CAPITAL

One-time opening costs + operating runway + emergency buffer

List permits, fit-out, equipment and initial stock. Then model the slow-start period. The planning approach in this book uses three zero-revenue operating months and a 20%–30% buffer on opening costs plus runway. Adjust the assumptions to the actual risks.

02 UNIT CONTRIBUTION

Selling price per unit − variable cost per unit

Use the amount left after the costs that move with each sale. This contribution pays fixed operating costs. If prices, products or margins differ, use a realistic weighted sales mix with your accountant.

03 OPERATING BREAK-EVEN

Monthly fixed operating costs ÷ contribution per unit
Then divide monthly break-even units by operating days.

Use your actual operating days. Compare the resulting daily sales target with observed demand. Track loan-principal payments, owner drawings, stock purchases and other cash timing separately in the cash forecast; accounting profit and available cash are different checks.

Keep both views

The profit view asks whether the business earns enough. The cash view asks whether money is available when each payment falls due. Review both before taking on a fixed commitment.

CHAPTER 01

Before You Register



The foundation and idea checklist

Before you file a form, sign a lease, or pay for fit-out, check whether the business can work. Registration makes your decisions official. It does not prove that customers will buy, that the location is right, or that your capital will last.

These fifteen checks help you test the idea, understand the numbers, and prepare to run the business. Be honest about what you know and what still needs evidence. A problem found on paper is usually easier to fix than one found after opening.

Start here

• Start with demand, startup capital, and your daily break-even target.

• Check the location, business structure, and name before making expensive commitments.

• Finish with a one-page business concept that brings your decisions together.

BEFORE YOU MOVE ON

• Demand is supported by observations of actual buying behavior.
• Capital covers pre-opening costs, runway, and a buffer.
• Daily break-even, 12-month scenarios, and 13-week cash flow are written down.
• The structure, name, location, suppliers, and operating coverage have been checked.
• Your one-page concept and Month 3, 6, and 12 targets are ready.

CHAPTER 01 / YOUR CHECKLIST

Mark your progress

Check an item only when the work is complete and the evidence is saved.

☐ 1.01 Test demand with real buying behavior

☐ 1.02 Build your capital estimate, including a buffer

☐ 1.03 Calculate your daily break-even target

☐ 1.04 Choose the business structure deliberately

☐ 1.05 Audit competitors within two kilometers

☐ 1.06 Define the customer you will serve first

☐ 1.07 Verify zoning before committing to the space

☐ 1.08 Check the name before building the brand

☐ 1.09 Project the first twelve months

☐ 1.10 Separate business and personal money

☐ 1.11 Get supplier terms in writing

☐ 1.12 Plan for daily operations and your absence

☐ 1.13 Forecast cash week by week

☐ 1.14 Set numerical checkpoints for months 3, 6, and 12

☐ 1.15 Put the business concept on one page

Keep in mind

The foundation is stronger when the visible spending follows the thinking. Count demand before signing a lease. Know your break-even target before setting prices. Separate the money before the first sale. Decide when weak results will trigger a review.

You do not need certainty about every future event. You need clear assumptions, enough evidence to challenge them, and a plan for responding when reality changes. Keep this work together; the next chapters build on it.

CHAPTER 01 • CHECKLIST 1.01

Test demand with real buying behavior

DO THIS

Spend at least two weeks checking demand around your intended location before making a major commitment. Look for people who could become paying customers, then compare what you observe with the sales your business will need.

WHY IT MATTERS

Encouragement from friends, family, and barkada can help you get started. It does not tell you how often strangers will buy or how much they will spend. A milk tea shop can attract plenty of praise and still struggle if nearby foot traffic does not turn into enough daily purchases.

You need evidence that connects the idea to an actual place, price, and buying routine. Keep friendly feedback separate from your demand estimate so it does not make the numbers look stronger than they are.

MAKE IT PRACTICAL

Do a “shadow count”: stand near the proposed location and manually count foot traffic at different times. Include early morning, lunch, merienda, and early evening. Record the time and the count so you can compare visits.

Visit the nearest similar business. Observe transaction time, queue length, and customer behavior. Look at how many passersby stop to buy, rather than assuming every passerby is a prospect.

If there is no similar business nearby, find out why. The gap may be an opportunity, but it may also point to weak demand or a location problem. Use the evidence in your break-even check in Item 3.

DONE WHEN

You have two weeks of observations, a clear picture of likely buyers, and a demand estimate supported by buying behavior rather than encouragement alone.

← Chapter checklist

CHAPTER 01 • CHECKLIST 1.02

Build your capital estimate, including a buffer

DO THIS

Calculate the money you need to open and stay open before spending. Use three columns: pre-opening costs, operating runway, and an emergency buffer. Fund all three, or change the plan before committing.

WHY IT MATTERS

It is easy to count equipment, opening inventory, fit-out, and the first month's rent. Less visible costs can use up the money just as quickly: rent during fit-out, permits and compliance, employer contributions, and the cost of correcting early mistakes.

Sales may take time to build. If all your capital goes into opening day, even a promising business can run out of cash before it develops a regular customer base. Budgeting for slow sales gives you room to learn and adjust.

MAKE IT PRACTICAL

Column 1: Pre-opening costs. List every one-time cost before opening, including permits, fit-out, equipment, and initial inventory. Check whether your landlord gives you a rent-free fit-out period; do not assume one.

Column 2: Operating runway. Set aside three full months of projected operating expenses, calculated at zero revenue. Include rent, payroll, utilities, supplier commitments, and applicable SSS, PhilHealth, and Pag-IBIG costs.

Column 3: Emergency buffer. Add 20%–30% of Columns 1 and 2 combined. A 30% allowance is the more cautious end of this planning range.

If available capital cannot cover the three columns, delay, save more, reduce fixed costs, or restructure the business model.

DONE WHEN

Your estimate includes opening costs, three zero-revenue months, and a 20%–30% buffer, with a realistic funding source for the total.

VERIFY BEFORE USE • Official sources

Check current government fees and employer-contribution requirements before finalizing the budget.

← Chapter checklist

CHAPTER 01 • CHECKLIST 1.03

Calculate your daily break-even target

DO THIS

Work out how many units you must sell each day to cover your costs before you sign a lease or accept another fixed commitment. Then compare that target with the demand evidence from Item 1.

WHY IT MATTERS

Break-even turns a general hope into an operating question: can this business sell enough, at this price, on an ordinary day? You need that answer to judge the location, pricing, and product mix.

A busy opening day can hide a weak model. The useful test is whether an average Tuesday can support the business. Finding that the target is unrealistic now gives you time to adjust rent, staffing, pricing, or the offer before those decisions become expensive to reverse.

MAKE IT PRACTICAL

Add your fixed monthly operating costs, including rent, the fixed portion of utilities, salaries, and mandatory employer contributions. Keep the assumptions visible so you can update them later.

For each item, subtract its variable cost from its selling price. The amount left is its contribution toward fixed costs. If you sell several products, use an average based on the mix you expect to sell.

Divide monthly fixed costs by average contribution per item to estimate monthly break-even units. Divide by 26 operating days if that is your schedule; otherwise use your actual planned days.

Also allow for loan payments in your cash planning. Ask your accountant to separate cash obligations from accounting expenses so you do not confuse operating break-even with cash available.

DONE WHEN

You can state your monthly and daily sales targets, explain the assumptions, and show why the location could realistically deliver them.

VERIFY BEFORE USE • Official sources

Have your accountant check contribution margins, fixed costs, and the separate cash impact of loan payments.

← Chapter checklist

CHAPTER 01 • CHECKLIST 1.04

Choose the business structure deliberately

DO THIS

Decide on your business structure before starting registration. Compare sole proprietorship, One Person Corporation (OPC), and a regular corporation against your ownership plans, liability exposure, financing, and ability to manage ongoing compliance.

WHY IT MATTERS

A sole proprietorship is commonly used by single-owner businesses, but the business does not provide the same legal separation from its owner as a corporation. Business debts and claims can expose personal assets.

A corporation or OPC can provide a separate legal entity, with additional records, filings, and costs. That protection has limits; it should not be treated as a guarantee that an owner can never be personally liable.

Changing structure later may involve new registration work and changes to contracts, accounts, and records. Make the decision while you can compare options without the pressure of an opening date.

MAKE IT PRACTICAL

Start with three questions: Who will own the business? What could go wrong financially or operationally? What annual compliance work can you realistically maintain?

For example, a single-owner, brick-and-mortar business with startup capital below ₱1 million may consider sole proprietorship. The amount alone does not settle suitability; compare its risks and obligations with the other structures before deciding.

If you expect to borrow, bring in investors, or operate in a field with significant liability exposure, such as food service, personal care, or construction, speak with a corporate lawyer before registering.

Ask specifically about the OPC option introduced under the Revised Corporation Code of 2019. Confirm eligibility, capital rules, exceptions, and ongoing obligations.

DONE WHEN

You have chosen a structure, understand its personal-risk and compliance implications, and have resolved any legal questions before filing.

VERIFY BEFORE USE • Official sources

Confirm current OPC eligibility, capital exceptions, and the legal and annual compliance implications of each structure.

← Chapter checklist

CHAPTER 01 • CHECKLIST 1.05

Audit competitors within two kilometers

DO THIS

Visit similar businesses within a 2-kilometer radius of your intended location. Find one customer need you can meet measurably better, then turn that advantage into a clear operating standard.

WHY IT MATTERS

A busy competitor may show that demand exists. It does not prove that the area can support another business offering the same thing. New entrants can end up competing for the same customers without enough sales for everyone.

Competition itself is not a reason to stop. Entering without understanding it makes your decisions harder. You need to know what nearby businesses charge, where they perform well, and what customers still struggle to get.

Your business does not have to be radically different. A practical improvement that matters to a specific customer can be a useful starting position.

MAKE IT PRACTICAL

Visit as a regular customer and order something. Observe price points, service speed, cleanliness, staff behavior, peak hours, and the kinds of customers who buy. Take notes soon after each visit while the details are fresh.

Compare businesses using the same questions. Where is service consistently slow? What useful product is missing? Which part of the experience falls short of what your intended customer needs?

Choose one gap your team can reliably address. Write it in plain language and make it specific enough to check in daily operations.

Use that promise in your opening message, then build the staffing, stock, and service routine needed to deliver it. Avoid promising an advantage your operating model cannot sustain.

DONE WHEN

You have a competitor comparison, one clear customer-relevant advantage, and a practical way to deliver and measure it.

← Chapter checklist

CHAPTER 01 • CHECKLIST 1.06

Define the customer you will serve first

DO THIS

Write one sentence describing your primary customer. Include their age range, spending behavior or income bracket, daily routine, and the problem your business solves. Use it to guide opening decisions.

WHY IT MATTERS

“Everyone” gives you little help when choosing products, prices, hours, or a location. “People who want affordable food” is still too broad to tell you which food, what price, or when those people need it.

A wide product range can feel safer because it appears to appeal to more people. It can also scatter your attention and make it harder to become consistently good at the offer that brings customers back.

Choose a primary customer for the opening plan. You can learn from other buyers later without making every possible customer a priority from the start.

MAKE IT PRACTICAL

Use this example as a model: “Office workers and BPO employees aged 22–35 who want a fast, affordable lunch within walking distance of their building, with an option beyond a carinderia or mall food court.”

That sentence gives you a basis for decisions about menu size, preparation time, price points, opening hours, packaging, and walking distance. Rewrite it until it does the same for your business.

Now review your proposed products, location, hours, and opening message. Ask how each choice helps this person. If a choice does not serve that customer, decide whether it belongs in the opening plan or can wait.

Use actual observations from your demand checks to refine the description rather than relying only on the customer you hope to attract.

DONE WHEN

Your customer sentence is specific enough to explain your main choices about products, prices, location, hours, and marketing.

← Chapter checklist

CHAPTER 01 • CHECKLIST 1.07

Verify zoning before committing to the space

DO THIS

Ask the relevant LGU office whether the exact address can legally support your intended business activity. Get written confirmation before signing a lease or committing to fit-out.

WHY IT MATTERS

An attractive space can still be the wrong place to operate. Local zoning may classify it as residential, commercial, industrial, or mixed-use, with conditions that affect which activities are allowed.

Previous tenants and nearby businesses are useful background, but they do not establish that your proposed use is permitted. A landlord’s assurance that another tenant had a permit cannot replace confirmation from the LGU.

If a zoning problem appears after you have paid for improvements, resolving it may cost time and money or leave you with a space that cannot support your business. Make this a location check, not a final paperwork check.

MAKE IT PRACTICAL

Visit or contact your LGU’s Zoning Administrator, Zoning Office, or Office of the Building Official and ask which office handles the confirmation you need. Give the exact address and describe the planned activity clearly.

Request the applicable zoning certification or written determination. Ask about the current documents, fee, and processing time rather than assuming the visit will be free or finished in a day.

If the property is residentially zoned but has housed commercial tenants, ask whether a valid variance, exemption, or reclassification exists and whether it covers your proposed activity.

Keep the written response in your location file. Resolve any conditions before relying on the space in your launch budget or timetable.

DONE WHEN

You have written LGU confirmation for the exact address and activity, and any conditions or required approvals are clear before you commit.

VERIFY BEFORE USE • Official sources

Confirm the zoning office, documents, fee, processing time, and conditions for the exact address and business activity.

← Chapter checklist

CHAPTER 01 • CHECKLIST 1.08

Check the name before building the brand

DO THIS

Check your proposed name through DTI, SEC, and IPOPHL before ordering signs, packaging, or other branded materials. Resolve potential conflicts before you invest in recognition.

WHY IT MATTERS

A name can feel personal and memorable while already being used or protected by another business. Discovering a conflict after you have printed materials and built a social following creates avoidable replacement work and expense.

Business-name registration and trademark protection serve different purposes. A name accepted by one registration system should not be treated as clearance across every other system.

If the business may grow into a larger brand or a franchise, consider trademark protection early. The cost of changing a name grows as more customers, suppliers, and materials come to depend on it.

MAKE IT PRACTICAL

Check DTI’s current business-name search for sole proprietorship records. Use the official DTI website to reach the live service rather than relying on an old portal address.

Check the SEC’s current company-name verification service for corporations and OPCs. Look beyond identical spelling when assessing potentially confusing names.

Search the Intellectual Property Office of the Philippines trademark records for the name and relevant similar marks. Ask for professional advice if the results are unclear or the brand will be central to expansion.

The Philippines generally uses a first-to-file trademark system, but trademark rights and objections have legal qualifications. Discuss filing early rather than assuming that using a name first guarantees protection or that every later filing defeats earlier rights.

DONE WHEN

You have checked all three systems, recorded any concerns, and decided whether to seek trademark advice or file before investing further in the name.

VERIFY BEFORE USE • Official sources

Use the current official DTI, SEC, and IPOPHL search services; seek trademark advice if similar names or rights are unclear.

← Chapter checklist

CHAPTER 01 • CHECKLIST 1.09

Project the first twelve months

DO THIS

Build a 12-month financial projection in three scenarios before accepting fixed costs. Write down your assumptions about customers, average spend, product costs, and monthly expenses, then see when each scenario becomes viable.

WHY IT MATTERS

A projection helps you test the decisions behind the business. It does not promise that the year will unfold as planned. Even rough numbers are useful when you can see the assumptions and challenge them.

Without a model, you may know that the bank balance is falling without knowing which decision needs attention. With one, you can compare actual results with customer volume, pricing, costs, and timing to see where the gap started.

The first version can be simple. Its value comes from making the reasoning visible and updating it as better evidence arrives.

MAKE IT PRACTICAL

Build a conservative case with traffic and sales 30% below your shadow-count estimate. Build a base case that matches the estimate, and an optimistic case 20% above it.

Use a realistic conversion from foot traffic to paying customers in every case. Run all three through the same cost structure and identify when cash flow becomes positive.

Treat an optimistic case that still does not break even within nine months as a strong prompt to review the model. Use nine months as a planning warning point and adjust it to the economics of your business.

Review heavy fixed costs, low prices, weak margins, or unrealistic volume assumptions. Make changes on paper and rerun the scenarios before using your capital to test them.

DONE WHEN

You have three monthly scenarios, visible assumptions, and a clear explanation of what must happen for the business to become viable.

← Chapter checklist

CHAPTER 01 • CHECKLIST 1.10

Separate business and personal money

DO THIS

Set up a dedicated account permitted for your business use before the first transaction. Route business money through it, record every movement, and establish a regular owner’s draw appropriate to your structure.

WHY IT MATTERS

When household and business money share the same account or wallet, it becomes difficult to tell whether the business pays its own way. Personal savings can quietly cover operating gaps while daily sales make things feel “okay naman.”

Clear separation lets you see what the business earns, spends, borrows, and receives from you. It also gives your accountant a cleaner record and helps you make decisions using the actual business position.

This discipline matters while the business is small. Waiting until it stabilizes can leave months of mixed transactions to reconstruct later.

MAKE IT PRACTICAL

Ask a suitable bank or financial service which account supports your business structure and intended transactions. A rural bank or a digital provider may be practical, but verify the account’s terms and requirements rather than assuming a personal savings account is suitable.

If considering providers such as Maya Business or UnionDigital, check their current products, eligibility rules, and permitted uses directly before choosing an account.

Choose a fixed amount and regular schedule for owner withdrawals instead of taking cash whenever a personal expense appears. Have your accountant explain the correct treatment for your business structure.

Record money you put into the business separately from customer sales. Record business expenses and owner withdrawals clearly too. The point is to make every peso entering or leaving the business traceable.

DONE WHEN

Business transactions have a separate, suitable account and clear records, with a regular withdrawal routine and no unexplained mixing of personal spending.

VERIFY BEFORE USE • Official sources

Confirm the account permits your business use and that the withdrawal method suits your business structure.

← Chapter checklist

CHAPTER 01 • CHECKLIST 1.11

Get supplier terms in writing

DO THIS

Confirm key supplier terms before using them in your pricing or inventory plan. Keep the written record and identify a backup for every input your business cannot go without for more than 48 hours.

WHY IT MATTERS

A friendly conversation can leave important details unresolved. Minimum orders, lead times, payment terms, return policies, and price changes all affect how much stock and cash you need.

For example, a water refilling station may plan around a three-day chemical delivery. If the real lead time becomes seven to ten days during peak season, the business can run short just as customers begin relying on it.

A supplier promise is more useful when both sides can refer to the same terms. You do not need to wait for a problem before asking for clarity.

MAKE IT PRACTICAL

Get written confirmation by formal letter, email, or a documented text exchange. For each key supplier, cover four essentials: unit price and minimum order quantity; payment terms, including COD, net-15, or net-30; delivery lead time in normal and peak periods; and the return or replacement policy for defective or damaged deliveries.

Also ask how and when prices can change, because your selling price may depend on those inputs. Update your costing when confirmed terms differ from the original assumption.

Identify at least one alternative supplier for each critical input you cannot operate without for more than 48 hours. Check that the alternative can actually supply what you need.

Keep these details where the person ordering stock can find them.

DONE WHEN

Your pricing and stock plan use confirmed supplier terms, and each critical input has an identified backup source.

← Chapter checklist

CHAPTER 01 • CHECKLIST 1.12

Plan for daily operations and your absence

DO THIS

Check whether you have the time, people, and routines to operate the business after opening day. Write down how it will work during the first 90 days and during a two-week absence.

WHY IT MATTERS

Opening is a project with a budget, deadline, and visible finish line. Operating requires daily repetition: checking stock, serving customers, managing cash, supporting staff, and handling problems.

Being good at preparing the opening does not automatically mean those routines are ready. If you cannot be present and no trained person or clear process can take over, small decisions can quickly stall the business.

You are looking for an operating plan that ordinary employees can follow. It should not depend on a family member knowing what you meant or on you answering every phone call.

MAKE IT PRACTICAL

Answer three questions in writing. First: can you be physically present for the first 90 days? If not, who will manage, and when will that person be found and trained?

Second: do you have, or can you finish before opening, a daily operations checklist that a non-family employee can follow without asking you about every decision? Include what must happen and who is responsible.

Third: what happens if you are sick or unavailable for two weeks? Identify who takes over routine work and which decisions need escalation.

If an answer is “I’ll work it out later,” treat that part of the operating model as unfinished. Build the missing coverage or routine into pre-opening preparation while you still have time to train and test it.

DONE WHEN

You have documented first-90-day coverage, a usable daily checklist, and a two-week absence plan with a responsible person for essential work.

← Chapter checklist

CHAPTER 01 • CHECKLIST 1.13

Forecast cash week by week

DO THIS

Build a 13-week cash-flow forecast before opening and update it every week afterward. List expected cash receipts and payments by the week they will actually arrive or fall due.

WHY IT MATTERS

Sales and available cash can move on different schedules. A business can record revenue and still struggle to pay rent, wages, suppliers, and government contributions when those payments become due.

Customer payment delays, stock purchases, and seasonal slowdowns can leave a gap between earning sales and having usable money in the account. Several large obligations falling in the same week can make that gap more serious.

The cash drawer at closing time does not show all the commitments already made. A forecast helps you see those commitments before they become urgent.

MAKE IT PRACTICAL

Create one column for each of the next 13 weeks. Start with available cash, add the cash you expect to collect, and subtract known payments. Carry the ending balance into the following week.

Include expected customer receipts and other committed inflows. List rent, payroll, suppliers, loan payments, taxes, and contributions according to their actual timing. Avoid treating an unpaid sale as cash already available.

Flag weeks where outflows exceed inflows, then check whether the opening balance can cover the gap. Plan deliberately for any shortfall rather than hoping the next week’s sales arrive early.

Use the forecast to test the runway in Item 2. Update it each week as collection dates, orders, and obligations change, so it remains a working tool rather than an opening exercise.

DONE WHEN

You can identify upcoming tight-cash weeks, explain how the obligations will be covered, and maintain a weekly update routine.

VERIFY BEFORE USE • Official sources

Check that forecast inflows reflect collection dates and that payment dates match the business’s actual obligations.

← Chapter checklist

CHAPTER 01 • CHECKLIST 1.14

Set numerical checkpoints for months 3, 6, and 12

DO THIS

Define what acceptable progress looks like at Month 3, Month 6, and Month 12 before opening. Use numbers that help you decide whether to continue as planned, adjust the model, or consider closing.

WHY IT MATTERS

“May tao naman” and “okay pa naman ang benta” describe a feeling without showing whether the business is meeting its needs. A reference point makes performance easier to evaluate honestly.

Written checkpoints can prompt a review while there is still time and money to make changes. They also reduce the temptation to move the goalposts each time results disappoint.

These targets should fit your business and financial model. They are decision tools, not promises that every business must grow at the same speed.

MAKE IT PRACTICAL

Month 3: set the minimum average daily sales volume that would justify continuing without major restructuring. Connect it to your demand assumptions and daily break-even target.

Month 6: set the revenue or cash-flow level that represents break-even, or a clearly defined distance from it. State which measure you will use.

Month 12: set the profitability threshold that would make the business viable and sustainable.

Use this early-review trigger if suitable: when your Month 3 daily-sales target is missed by more than 25% for two consecutive weeks, conduct a formal business review.

Use that review to examine what is not working and why. Look at the evidence, decide what to change, and avoid treating encouragement alone as a corrective plan.

DONE WHEN

Your three checkpoints are written in numbers, linked to your model, and paired with a clear trigger for a structured review.

← Chapter checklist

CHAPTER 01 • CHECKLIST 1.15

Put the business concept on one page

DO THIS

Write a one-page Business Concept Summary before spending. Bring your customer, offer, location, advantage, capital, and targets into one clear document. Print it, keep it visible, and review it monthly.

WHY IT MATTERS

The page gives you a baseline for everyday decisions. It makes the idea specific enough to test, explain, and revisit when real conditions change.

Without a clear baseline, a business can drift through small decisions: adding products that weaken its focus, cutting prices without checking margins, or hiring for roles nobody defined. Each choice may seem reasonable alone while the overall model becomes harder to run.

The document is useful even if no investor or bank ever sees it. Write it for yourself and the people who need to understand the business.

MAKE IT PRACTICAL

Cover six things. 1. What you sell and the specific price points. 2. Your primary customer in one sentence. 3. Your location and why it serves that customer. 4. Your competitive advantage in three lines or fewer. 5. Your startup capital requirement and where the money will come from. 6. Your Month 3 and Month 12 numerical targets from Item 14.

Keep the underlying monthly operating-cost estimate available alongside the page so the concept stays connected to the cost of running it.

Read the page monthly against actual results. When reality differs, identify which assumption changed and what needs adjustment. Update the plan deliberately rather than letting the business change direction without a clear decision.

DONE WHEN

Your one-page summary is complete, consistent with the earlier checks, and easy to use as a monthly reference for decisions.

← Chapter checklist

CHAPTER 02

Navigate Business Registration



Your government-registration action plan

Registration involves several agencies, documents, and dependencies. Plan the route before making office visits. Ask which steps can run together, which approvals depend on earlier documents, and which services are available online or through your LGU's integrated process.

Use this chapter as a preparation guide, then get the current checklist for your exact address, activity, and business structure. Requirements, fees, processing times, and online systems can change. Verify them with DTI or SEC, your barangay and BPLO, BFP, BIR, and any relevant industry agency.

Allow time for inspections, corrections, printing, and follow-up. A well-prepared application can save return trips, but no single national timetable fits every business or LGU.

Start here

• Get the current agency and LGU checklists before planning your visits.

• Build your master document folder and map dependencies, online steps, and parallel tasks.

• Keep the opening date conditional on the approvals and operating documents your business needs.

BEFORE YOU MOVE ON

• The chosen name or entity registration is complete.
• Local permits and supporting clearances match the address and activities.
• BIR registration, compliant invoices, and bookkeeping arrangements are ready.
• Applicable employer and industry requirements are complete.
• Approvals, payment records, expiry dates, and renewal responsibilities are organized.

CHAPTER 02 / YOUR CHECKLIST

Mark your progress

Check an item only when the work is complete and the evidence is saved.

☐ 2.01 Start with the correct name or entity registration

☐ 2.02 Confirm how to obtain barangay clearance

☐ 2.03 Declare the right activities and address

☐ 2.04 Map supporting clearances before making visits

☐ 2.05 Prepare for the fire-safety inspection

☐ 2.06 Complete the formal zoning requirement

☐ 2.07 Plan around the local renewal calendar

☐ 2.08 Prepare employer registrations before staff start

☐ 2.09 Complete BIR registration before commencing business

☐ 2.10 Choose tax options with a CPA

☐ 2.11 Arrange compliant invoices before the first sale

☐ 2.12 Set up and register the books of accounts

☐ 2.13 Check industry-specific permits

☐ 2.14 Prepare one master document folder

☐ 2.15 Make compliance a condition of opening

☐ 2.16 Keep proof of every registration payment

Keep in mind

Registration is easier to manage when you arrive with the right documents, understand the dependencies, and start independent steps in parallel. Use one folder and one sequence map instead of relying on memory between offices.

Keep the opening date tied to readiness. Save the approvals, understand their conditions, and carry the same recordkeeping discipline into renewals and daily operations. Preparation is the first system you build for the business.

CHAPTER 02 • CHECKLIST 2.01

Start with the correct name or entity registration

DO THIS

Complete the registration appropriate to your chosen structure: DTI business-name registration for a sole proprietorship, or SEC registration for a corporation or OPC. Keep the certificate ready for the steps that depend on it.

WHY IT MATTERS

This certificate is an important foundation document for later applications and account opening. Starting a downstream application without a document it requires can lead to a rejected submission or another trip.

The exact sequence may differ where online or integrated government services are available. Check the current process rather than assuming that every task must happen at a separate office.

Name or entity registration is one part of the registration stack. Continue planning the local, tax, employer, and industry-specific requirements needed before operation.

MAKE IT PRACTICAL

For a sole proprietorship, reach DTI's current online business-name service through its official website. Choose the territorial scope that fits the business-name coverage you need. Review the scope definitions and current fee schedule before paying.

Download the issued certificate, check the details, and save both digital and printed copies for your master folder.

For a corporation or OPC, use the SEC's current registration route for that entity type. Confirm which incorporation documents, declarations, and other attachments apply. Regular corporations and OPCs do not necessarily submit identical documents.

Check the incorporation documents your route requires, including the Articles of Incorporation, any applicable By-Laws, and financial or officer declarations. Ask whether a Treasurer's Affidavit is required rather than copying an older checklist. Prepare the confirmed documents before submitting.

DONE WHEN

The correct certificate is issued, its details are accurate, and you have copies plus a clear list of the next applications that need it.

VERIFY BEFORE USE • Official sources

Confirm the current DTI territorial fees and entity-specific SEC document checklist through the official registration services.

← Chapter checklist

CHAPTER 02 • CHECKLIST 2.02

Confirm how to obtain barangay clearance

DO THIS

Ask your barangay or BPLO how barangay business clearance is handled in the current local process. If a separate clearance is required, secure it early enough to avoid holding up the business-permit application.

WHY IT MATTERS

A missing clearance can stop an application even when the rest of your documents are ready. An inspection, if required, can also add time because it depends on staff availability and access to your premises.

Some local processes integrate the barangay step into a broader application. Confirm the route first so you do not make an unnecessary separate trip or assume a requirement has been completed for you.

The goal is a complete application with a realistic schedule. Use local instructions for your address rather than copying another owner’s experience from a different barangay.

MAKE IT PRACTICAL

At the start of your registration week, ask for the current written checklist, fee schedule, payment method, and any inspection requirement.

Check whether you need your DTI or SEC certificate, valid government ID, and proof of the business address, such as the signed lease or an appropriate utility bill. Confirm the copy requirements and whether two 2 × 2 photos are needed.

Ask whether a cedula, also called a Community Tax Certificate, applies and where to obtain it. Confirm the required format and copy count before visiting.

If an inspection is needed, arrange premises access and ask how to schedule it. Once the clearance is issued or recorded through the integrated process, keep the evidence with your other registration documents.

DONE WHEN

You know the correct local route, have met the applicable barangay requirements, and can document completion for the next stage.

VERIFY BEFORE USE • Official sources

Confirm whether barangay clearance is separate or integrated, plus current documents, inspections, fees, and payment methods.

← Chapter checklist

CHAPTER 02 • CHECKLIST 2.03

Declare the right activities and address

DO THIS

Make sure the Mayor’s Permit application accurately describes the business activities you will conduct at the specific address. Review the full business model before completing the form.

WHY IT MATTERS

A local business permit generally relates to a location and declared activities. A later move or a new line of business can require an update, amendment, or a different application under the LGU’s rules.

For example, adding food service to a retail store may introduce requirements the original retail application did not cover. It is easier to identify those implications before launching the extra activity.

Listing activities carelessly can cause problems in either direction: leaving out something you intend to do, or including speculative activities that bring requirements you did not plan to meet. Ask the BPLO how to describe your actual opening model.

MAKE IT PRACTICAL

Write down each activity you intend to conduct now and any near-term addition you are seriously planning. Bring that list to the Business Permits and Licensing Office and confirm what should be declared.

Ask what each activity changes: clearances, inspections, documentary requirements, and fees. If a planned future activity should be handled later, record the amendment process and complete it before starting that activity.

Prepare the applicable Barangay Business Clearance, DTI or SEC certificate, lease contract, and cedula if required. Some LGUs also request a simple floor plan or premises sketch, so check before the visit.

Confirm what would be required if you relocated, even nearby. Keep the answer with your permit records instead of assuming the existing permit automatically follows the business.

DONE WHEN

The application matches the intended address and activities, the supporting documents are ready, and you understand how to handle a later change.

VERIFY BEFORE USE • Official sources

Ask the BPLO which activities to declare and how later activity or address changes must be handled.

← Chapter checklist

CHAPTER 02 • CHECKLIST 2.04

Map supporting clearances before making visits

DO THIS

Get the BPLO’s complete requirements for your business type and address, then turn them into a simple sequence. Mark which steps depend on another approval and which can proceed at the same time.

WHY IT MATTERS

The business permit may depend on work by several offices, each with its own documents, inspections, and schedule. One missing clearance can delay the final permit even after you have finished the other steps.

A map helps you avoid discovering that missing step on the day you expected to collect the permit. It also shows where fit-out readiness, site access, or equipment installation affects the timetable.

Use the local checklist as your starting point. The combination of clearances can differ by business activity, building, and municipality, and some LGUs provide integrated or online processing.

MAKE IT PRACTICAL

Before filling out forms or moving between offices, request a written checklist from the BPLO. Ask which requirements involve zoning, BFP, sanitary inspection, the Building Official, and, where applicable, an environmental office.

Next to each requirement, note the documents, submission route, fee, inspection needs, expected lead time, and prerequisite. Identify steps you can start in parallel.

For example, zoning and sanitary work may be able to progress together, depending on the local process. Ask rather than assuming they will both finish in one day.

Coordinate fire-safety requirements with fit-out. Ask BFP when the premises must be accessible and which equipment and layout conditions must be ready for inspection. Build those dependencies into the plan before scheduling the visit.

DONE WHEN

You have one complete sequence with parallel tasks, dependencies, inspection readiness, and a way to track every required clearance.

VERIFY BEFORE USE • Official sources

Confirm the complete local clearance checklist, dependencies, inspection readiness, and current processing times.

← Chapter checklist

CHAPTER 02 • CHECKLIST 2.05

Prepare for the fire-safety inspection

DO THIS

Ask the local BFP office for the fire-safety requirements that apply to your business, occupancy, floor area, and layout. Obtain the right equipment and prepare the premises before arranging the inspection.

WHY IT MATTERS

Rushed purchases can lead to unnecessary expense or equipment that does not meet the actual requirement. A generic equipment list from another business may miss the risks in your own premises.

The Fire Safety Inspection Certificate is an important part of business-permit compliance where required. The inspection checks more than whether a fire extinguisher is present; the layout and escape routes also matter.

Written requirements give you a basis for preparing correctly and questioning unexplained charges. They also help your fit-out contractor understand what must remain clear and accessible.

MAKE IT PRACTICAL

Request the applicable BFP checklist and have the office explain the required extinguisher type, capacity, number, placement, and servicing or tagging requirements. Follow the requirements for your establishment rather than a universal square-meter rule.

Check exit markings and arrange storage so it does not block escape routes. Coordinate these details before the fit-out makes changes difficult.

Buy compliant equipment from a reputable supplier, such as a hardware store able to document the required specifications. Avoid a rushed purchase based only on a vendor’s proximity to the BFP office; check quality and compliance before paying.

Confirm inspection readiness and schedule the visit. For government charges, request the official assessment or Order of Payment and retain the receipt. If a requested purchase or fee is unclear, ask for its basis before paying.

DONE WHEN

Your equipment and premises match the applicable written requirements, the inspection is completed, and the required certificate and official payment records are filed.

VERIFY BEFORE USE • Official sources

Get BFP requirements for your occupancy, hazards, floor area, and layout, plus the official fee assessment.

← Chapter checklist

CHAPTER 02 • CHECKLIST 2.06

Complete the formal zoning requirement

DO THIS

Use the location check from Chapter 1 to secure whatever zoning clearance your permit application requires. Confirm that the approval covers the exact address and business activity, and keep the written result.

WHY IT MATTERS

A pre-lease conversation and a formal registration clearance may be different steps. Find out what your BPLO will accept so an unresolved zoning issue does not hold up the permit at the final stage.

A landlord may be unfamiliar with the property's current classification or with the requirements for your specific activity. A history of commercial tenants is useful evidence to investigate, but it does not replace the LGU's decision.

If you have not signed the lease yet, resolve the issue before making that commitment. If you already have written confirmation, check whether it satisfies the application or whether another document is needed.

MAKE IT PRACTICAL

Bring the exact address, a clear description of your planned activity, and the prospective or signed lease documents requested by the zoning office.

Ask for written confirmation of the permitted use and the formal clearance required by the BPLO. Check current fees, documents, processing time, and any conditions.

If the office identifies a concern, ask whether a valid variance, exemption, or reclassification exists for the address. Request evidence and confirm that it applies to your proposed activity.

If no applicable approval exists, find out the process and implications before paying for fit-out. Keep the clearance, conditions, and related written advice in the compliance folder so you can refer to them during inspections or later changes.

DONE WHEN

The zoning document accepted by the BPLO is ready, matches the business use, and has no unresolved condition that would prevent lawful operation.

VERIFY BEFORE USE • Official sources

Confirm the zoning approval required by the BPLO and any conditions, fees, or additional steps for the premises.

← Chapter checklist

CHAPTER 02 • CHECKLIST 2.07

Plan around the local renewal calendar

DO THIS

Check your LGU's business-permit renewal calendar before choosing a registration and launch timetable. If you have flexibility, avoid the busiest local period and use available online or hybrid services.

WHY IT MATTERS

Annual permit renewals can create heavier workloads at the BPLO. A new application filed close to that period may take longer than the same application at a quieter time.

Check whether your LGU follows a January 1–20 renewal window and how that affects new applications. If your launch timing is flexible, consider February–October after confirming the local workload and the lead time your business needs.

Also ask how the permit's validity and next renewal date apply to a business opening late in the year. Registration timing can affect how soon you need to budget for the next renewal.

MAKE IT PRACTICAL

Ask your specific BPLO for its current renewal deadline, any announced extension, and the process for new applicants during the busy season.

If you need to register in November, December, or early January, call or check the official online service before making a trip. Ask whether new applications are being processed normally and whether inspections have a separate queue.

Confirm the first permit's expiry date and your next renewal obligation. Put that date into the compliance calendar before opening.

Check for an online or hybrid application route. Prepare the same complete supporting records you would need for an in-person application, and keep acknowledgments so you can follow up without restarting the process.

DONE WHEN

Your launch schedule reflects the actual local workload, permit validity, renewal deadline, and available application route.

VERIFY BEFORE USE • Official sources

Check the current local renewal deadline, permit validity, new-application workload, and online options.

← Chapter checklist

CHAPTER 02 • CHECKLIST 2.08

Prepare employer registrations before staff start

DO THIS

Confirm and complete the applicable employer-registration and employee-reporting steps for SSS, PhilHealth, and Pag-IBIG. Plan this work alongside local registration so staff coverage and remittances are ready when required.

WHY IT MATTERS

Employer compliance should be part of opening preparation, not something left until the business feels settled. Registration, employee reporting, and contribution payments each need attention.

Failure to report employees or remit contributions can create arrears, penalties, and other employer liabilities. Do not assume that a registration number alone completes the ongoing obligation.

SSS states that failure to report or remit does not by itself remove an employee's benefit entitlement; eligibility and verification rules still apply. Employer arrears, penalties and possible liabilities remain.

MAKE IT PRACTICAL

Check each agency's current requirements for your structure and staff. Start the steps that can proceed while the BPLO application is being processed, and confirm any prerequisites instead of assuming they are identical across agencies.

Check the current SSS R-1 employer-registration and R-1A employment-reporting forms, PhilHealth's Employer Data Record, and Pag-IBIG's employer-registration form. Confirm the latest versions and online routes.

Use official portals for available steps and complete any required follow-up. Save employer numbers, registration confirmations, employee-reporting records, and contribution instructions in your compliance folder.

Assign responsibility for remittances and record the deadlines so the work continues after opening week.

DONE WHEN

Applicable employer registrations and employee reports are complete, the records are saved, and someone owns the recurring contribution schedule.

VERIFY BEFORE USE • Official sources

Confirm current SSS, PhilHealth, and Pag-IBIG registration forms, employee-reporting rules, contribution deadlines, and online routes.

← Chapter checklist

CHAPTER 02 • CHECKLIST 2.09

Complete BIR registration before commencing business

DO THIS

Confirm your BIR registration deadline and complete registration before commencing business. Use the correct Revenue District Office or authorized online route, and prepare the current checklist for your entity type.

WHY IT MATTERS

Do not interpret a 30-day reference as permission to sell first and register later. BIR's guidance links commencement to the first sales transaction or the lapse of 30 calendar days after the earliest relevant registration or local permit document.

Late registration can lead to penalties and additional work. Make tax registration part of the opening schedule, with enough time for the invoicing and bookkeeping arrangements that follow.

The ₱500 annual registration fee was abolished effective January 22, 2024. Do not budget for it as an ongoing annual registration payment; check the current assessment for any other applicable charges.

MAKE IT PRACTICAL

Use the official BIR service to identify the office or route responsible for your business. Confirm the correct place of registration instead of choosing the nearest office for convenience.

Check the current document list for your application, including whether DTI or SEC registration, lease or business-address records, and a valid ID are required. Confirm BIR Form 1901 for sole proprietors or Form 1903 for corporations and any route-specific attachments.

After registration, check your Certificate of Registration, BIR Form 2303, for correct details and registered tax obligations. Keep the original safe and comply with current display and posting requirements.

Before leaving the registration process, confirm your next steps for invoices, books, filing access, and deadlines.

DONE WHEN

Your BIR registration is complete on time, the COR details are correct, and you understand the next invoicing, bookkeeping, and filing requirements.

VERIFY BEFORE USE • Official sources

Confirm the exact BIR deadline, correct registration route, current documents, and COR posting requirements for your business.

← Chapter checklist

CHAPTER 02 • CHECKLIST 2.10

Choose tax options with a CPA

DO THIS

Before completing tax registration and the relevant election, ask a licensed CPA to compare the options available to your business. Use projected revenue, costs, and structure to guide the decision.

WHY IT MATTERS

A tax option that is simple to administer may not produce the best result for every business. Your eligibility, cost structure, other income, and expected growth can change the comparison.

Ask about the 8% income-tax option for eligible non-VAT individuals, graduated income-tax rates with the Optional Standard Deduction, and VAT registration where applicable. Eligibility and registration obligations differ, so have the CPA explain which options actually apply.

The initial decision also affects recordkeeping and filing. Correcting an unsuitable or invalid election later can be difficult, so settle the question before treating registration as complete.

MAKE IT PRACTICAL

Schedule a focused consultation and bring your 12-month projections, expected sales, costs, business structure, and any other income the CPA needs to assess eligibility.

Ask whether the 8% option is available, how its tax base applies to your circumstances, and how it interacts with percentage tax. Compare it with graduated rates and the deduction methods for which you qualify.

Confirm the current VAT threshold and what happens if growth takes you across it. Have the CPA explain when an election must be made, how it is documented, and which obligations remain.

Set aside about an hour for the discussion, or longer if your situation needs it. Request the professional’s current fee in advance and leave with the decision, election deadline, and filing instructions written down.

DONE WHEN

You understand your chosen tax treatment, have confirmed eligibility and election timing, and know which returns and records the business must maintain.

VERIFY BEFORE USE • Official sources

Ask your CPA to confirm tax eligibility, the current VAT threshold, election timing, tax base, and required returns.

← Chapter checklist

CHAPTER 02 • CHECKLIST 2.11

Arrange compliant invoices before the first sale

DO THIS

Confirm how your business will issue compliant invoices and complete the applicable BIR requirements before opening. If you will use privately printed invoice booklets, arrange the Authority to Print and printing early.

WHY IT MATTERS

A Certificate of Registration does not, by itself, put usable sales documents in your hands. Printing, layout checks, or system registration may still need time after the initial registration step.

Under the updated invoicing rules, an invoice is the principal sales document. Confirm the current required details before commissioning a layout; another business's older Official Receipt booklet may no longer be an appropriate model to copy.

Your route may involve BIR-printed invoices, an accredited printer, or an approved or registered system, depending on the applicable rules. Confirm the route for your business rather than assuming every applicant must follow one identical process.

MAKE IT PRACTICAL

Discuss invoicing during BIR registration so it does not become a last-minute opening problem. If an Authority to Print is required, verify the current use of BIR Form 1906 and the supporting documents.

For printed booklets, have the proposed invoice layout and COR details checked, then work with a BIR-accredited printer. Confirm both the agency's processing time and the printer's delivery date.

Allow for both approval and production time. For example, a five-to-ten-working-day ATP estimate plus printing could justify setting aside at least three weeks. Confirm your actual route and lead times before relying on that allowance.

Build a buffer into the launch plan. Check the delivered documents and train the person making sales before the first customer transaction.

DONE WHEN

The correct invoices or compliant invoicing system are ready for use, required authorizations are complete, and the sales team knows the process.

VERIFY BEFORE USE • Official sources

Confirm current invoice details, ATP or system requirements, and actual approval and production lead times.

← Chapter checklist

CHAPTER 02 • CHECKLIST 2.12

Set up and register the books of accounts

DO THIS

Choose a suitable bookkeeping method with your CPA and complete the applicable registration requirements on time. Prepare the records before transactions begin so you can capture the business accurately from opening day.

WHY IT MATTERS

Buying a ledger or subscribing to software does not settle its tax-registration requirements. Manual, loose-leaf, and computerized records can have different procedures and deadlines.

If you discover a missing requirement months later, correcting the records may take time and professional help. It is easier to establish the method, responsibility, and registration evidence while the opening records are still manageable.

Registration procedures and deadlines differ by taxpayer status and record type. Confirm the current BIR process, including ORUS where applicable, instead of assuming an in-person stamping visit is the only route or that every applicant has the same deadline.

MAKE IT PRACTICAL

Discuss whether your records should include a Cash Receipts Journal, Cash Disbursements Journal, General Ledger, and General Journal. Have the CPA determine the complete and appropriate set for your activities and show you how entries should be recorded.

Prepare the COR and the books or information required by the current registration route. If using manual ledgers, confirm the process for new registrants rather than assuming it matches the procedure for replacement books.

Coordinate this work with invoicing preparation to reduce separate visits or submissions. Save the registration confirmation with the books and compliance records.

If growth may take you toward the VAT threshold within the first two years, discuss whether loose-leaf or computerized accounting is more practical. Allow for any additional registration, authority, or system requirements.

DONE WHEN

Your bookkeeping method, required records, registration deadline, and responsible person are clear, and the applicable registration evidence is saved.

VERIFY BEFORE USE • Official sources

Confirm the appropriate books, BIR or ORUS registration route, deadlines, and any additional system requirements.

← Chapter checklist

CHAPTER 02 • CHECKLIST 2.13

Check industry-specific permits

DO THIS

Ask for the requirements for your exact business activity before starting registration. Add applicable industry licenses, testing, inspections, and product approvals to your opening plan rather than stopping at the standard local and tax registrations.

WHY IT MATTERS

The requirements for a food manufacturer, water refilling station, salon, and pharmacy are not identical. Even within one industry, a different activity or product can change which agency has authority.

Finding a missing license during an inspection is more disruptive than identifying it during planning. Some approvals may also depend on premises, qualified personnel, product details, or testing that takes time to arrange.

Use a sector checklist as a starting point and confirm requirements directly with the responsible agency. A broad business label is not always enough to determine the full set.

MAKE IT PRACTICAL

Visit or contact the nearest DTI Negosyo Center and ask for guidance on the industry-specific checklist for your proposed activity. Confirm the information with the relevant agencies and LGU.

For food manufacturing, processing, or repacking, check whether FDA licensing and product authorization apply. For water refilling, check local health and sanitary requirements and the required water-quality testing.

For salons and barbershops, ask which local, health, training, and personnel requirements apply to the actual services offered. Verify any claimed professional-licensing requirement with the responsible authority rather than assuming all personal-care services follow the same rules.

For pharmacies, verify FDA requirements and whether PDEA requirements apply to the products or activities involved. Record the exact approval, issuing agency, documents, lead time, and renewal responsibility in your registration map.

DONE WHEN

Each business activity has been checked for sector-specific requirements, and all applicable approvals and testing are included in the launch schedule.

VERIFY BEFORE USE • Official sources

Confirm each activity’s licenses, testing, personnel requirements, and product approvals with the responsible agency and LGU.

← Chapter checklist

CHAPTER 02 • CHECKLIST 2.14

Prepare one master document folder

DO THIS

Assemble a master registration folder before the first agency visit. Organize it by agency, keep originals protected, and use the current checklists to confirm the exact copies and formats needed.

WHY IT MATTERS

The same core documents may appear in several applications, but the accepted format can vary: ordinary photocopy, certified copy, notarized copy, or an original shown for verification.

Arriving with the right document in the wrong format can still mean another trip. Preparing the folder once reduces repeated searching, photocopying, and last-minute notarization.

The folder should be a practical kit, not a reason to produce unnecessary copies or carry more cash than you need. Use current requirements to decide what to bring and which submissions can be handled digitally.

MAKE IT PRACTICAL

A suggested preparation kit is ten front-and-back copies of a valid government ID; five copies each of the DTI or SEC certificate, signed lease, and cedula; and five 2 × 2 ID photos. Adjust these quantities to the actual agency checklists.

Keep originals in a separate protective sleeve. Present them when required and clarify whether an office needs to retain an original, a certified copy, or an ordinary copy. Keep a record of anything surrendered.

Label sections by agency and include the relevant forms and checklists. Prepare digital copies in the format requested by online services.

Check current fees and accepted payment channels, then carry only the cash needed for confirmed cash payments. Keep the remaining registration budget available through the accepted channels and retain proof of each payment.

DONE WHEN

You can quickly find each required document, copy, form, and payment instruction, with originals protected and agency-specific requirements checked.

VERIFY BEFORE USE • Official sources

Match copies, original-document handling, fees, and payment channels to the current checklist for each agency.

← Chapter checklist

CHAPTER 02 • CHECKLIST 2.15

Make compliance a condition of opening

DO THIS

Set the opening date around completion of the approvals and operating documents your business needs. Treat a soft opening that serves paying customers as part of that readiness decision.

WHY IT MATTERS

Calling the period a “soft opening” should not be treated as a general exemption from business, fire-safety, tax, or industry requirements. Check the obligations that apply before serving customers.

An unfinished application can leave the business exposed to findings, penalties, or interruption while rent, staffing, and other costs continue. A delayed approval needs an explicit plan, not a different label on the storefront.

The practical goal is to avoid launching with a known compliance gap. Your specific agencies can confirm whether any documented provisional authorization exists and exactly what it permits.

MAKE IT PRACTICAL

Work backward from your target opening date. Use the current agency timelines, inspection needs, printing lead times, and correction allowances from your registration map.

For every required approval, record the evidence of completion and any conditions still to satisfy. A submitted application is not automatically an authorization to operate.

Check that the required certificates, invoices, books, and employer arrangements are ready for the activities you will actually conduct. Make this a final readiness check before inviting paying customers.

If a requirement is delayed and you have no valid authorization covering operation, move the opening date. Compare the immediate revenue delay with the possible disruption and extra costs of an enforcement problem during the first weeks of business.

DONE WHEN

All applicable pre-operation requirements are completed or covered by a verified authorization, and the business can document its readiness before its first sale.

VERIFY BEFORE USE • Official sources

Confirm that every required pre-operation approval is complete and that any provisional authorization covers the planned activity.

← Chapter checklist

CHAPTER 02 • CHECKLIST 2.16

Keep proof of every registration payment

DO THIS

Collect the official receipt or payment confirmation for every government fee. File it immediately and maintain a payment log that your accountant can use to reconcile registration costs.

WHY IT MATTERS

Several small payments across different agencies are easy to lose track of. Without the supporting record, it can be difficult to confirm what was paid, resolve a discrepancy, or explain an opening cost later.

Payment evidence also helps your accountant determine the appropriate treatment of each expense. A receipt does not automatically make every amount separately deductible under every tax method, so let the tax treatment follow the rules applicable to your business.

Registration costs depend on the LGU, declared capitalization, business type, and required approvals. Build the budget from current official assessments, then compare actual payments with it. Investigate unexplained differences while the payment details are still easy to trace.

MAKE IT PRACTICAL

Before leaving a payment counter, ask for the official receipt or accepted payment confirmation and check that the details are correct. For online payments, save the confirmation and associated assessment or reference number.

Keep the records in the master compliance folder. Log five details in a simple spreadsheet: agency, payment date, amount, purpose, and receipt or confirmation number.

If a charge is unclear, request the official assessment or Order of Payment rather than relying on an unexplained verbal amount. Match the payment to the service or requirement it covers.

Continue this habit after opening. The log becomes a useful running record for renewals, accounting, and questions about prior payments.

DONE WHEN

Every payment is supported by an official record, matched to a clear purpose, and entered in the log for accounting review.

VERIFY BEFORE USE • Official sources

Check official assessments and payment records, then ask your accountant how each cost should be treated.

← Chapter checklist

CHAPTER 03

Before You Rent



The commercial space and fit-out checklist

A space can feel right while its contract puts your business under pressure. A maintenance fee, an electrical upgrade, or a fit-out running three weeks late can consume money meant to carry your first three months of operations. Find these costs before you commit.

Your goal is a space you can use legally, safely, and within budget. Read the lease, price the full occupancy cost, check the building, and put negotiated commitments in writing. You can ask about every term, although the landlord may not agree to change it.

Commercial leasing practices vary across Metro Manila, secondary cities, and provincial municipalities. This is practical preparation, not legal advice. Have a Philippine lawyer review your actual lease and its attachments before signing. The rent start date, your obligations, and your exit options depend on the agreement and applicable law.

Start here

• Get the complete draft lease, all house rules, and a written schedule of charges.

• Check the building documents and technical capacity before paying for a design.

• Bring the full cost model and unresolved clauses to a lawyer before signing.

BEFORE YOU MOVE ON

• I know the total monthly occupancy cost and the rent for every lease year.
• The intended use, fit-out, utilities, and signage have been checked with the relevant professionals and offices.
• The final lease records concessions, improvements, renewal, and exit arrangements.
• A lawyer has reviewed the final documents, and the possession-day condition report is planned.

CHAPTER 03 / YOUR CHECKLIST

Mark your progress

Check an item only when the work is complete and the evidence is saved.

☐ 3.01 Read the whole lease twice

☐ 3.02 Get every monthly charge in writing

☐ 3.03 Define the rent-free fit-out period

☐ 3.04 Agree who keeps the improvements

☐ 3.05 Require compliant rental documentation

☐ 3.06 Understand utility billing before signing

☐ 3.07 Match electrical capacity to your equipment

☐ 3.08 Check the building’s occupancy approval

☐ 3.09 Make rent increases predictable

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Keep in mind

Treat the lease as part of your financial model. Base rent, shared charges, escalation, fit-out costs, and exit costs all compete for the same capital.

Your strongest opportunity to clarify and negotiate is usually before you sign. Ask for the rent-free period, predictable charges, workable termination terms, and clear ownership of improvements. Keep every agreed concession in the final documents.

Read every clause. Price every obligation. Record every commitment. Then let your lawyer review the final version. The space should give your business room to operate without creating costs you never planned to carry.

CHAPTER 03 • CHECKLIST 3.01

Read the whole lease twice

DO THIS

Get the complete lease before negotiating individual clauses. Print it or use a copy you can mark up. Include schedules, house rules, and any document the lease says forms part of your agreement.

WHY IT MATTERS

Excitement can make an expensive obligation look like routine paperwork. The definitions, termination, and renewal sections can change what you pay or how long you can stay. Understanding the whole agreement helps you see how one clause affects another.

MAKE IT PRACTICAL

On your first reading, mark every financial, operational, and conduct obligation. List anything unclear. Check whether the definition of gross sales affects percentage rent or other charges, and whether the landlord can end the lease for conditions you might overlook.

Check renewal carefully. Is renewal an option you can exercise, something both parties must agree to, or entirely discretionary? What notice is required? How will the next rent be determined? Do not assume that a successful first term guarantees another.

On your second reading, ask of each clause: “What is the worst reasonable interpretation, and could the business absorb it?” Bring the marked copy and your questions to a lawyer. Ask for unclear language to be rewritten before you sign.

Read the final version again after negotiations. A discussed concession is useful only if the agreed wording survives into the documents you actually sign. Do not let a familiar-looking revised draft replace that last check.

DONE WHEN

You understand every obligation, have resolved material ambiguities in writing, and can afford the consequences of the final terms. Your lawyer has checked the clauses you flagged.

VERIFY BEFORE USE • Official sources

Have a Philippine lawyer review unclear language and the final lease before signing.

← Chapter checklist

CHAPTER 03 • CHECKLIST 3.02

Get every monthly charge in writing

DO THIS

Ask the landlord for the complete monthly bill before signing. Specifically ask: “Aside from base rent, what other charges will appear on my billing statement?” Get the answer as a written breakdown.

WHY IT MATTERS

CUSA, often called common-use or common-area service charges, can cover shared security, hallway maintenance, common utilities, elevators, and upkeep. Similar costs may appear as maintenance fees, association dues, building fees, or common-area contributions. The name matters less than what you must pay.

MAKE IT PRACTICAL

For each charge, identify what service it covers and how it is calculated. Is it a fixed monthly amount, a rate per square metre, or your share of actual building expenses? Ask when it can change and how any increase will be communicated.

Be especially careful with uncapped charges based on actual costs. You need a way to estimate your monthly exposure. Request a fixed amount or a defined maximum per square metre, and check whether taxes or other components sit outside that cap.

Put the agreed computation and any cap in the lease or a signed addendum before signing the main contract. Use the full monthly total in your budget, not the attractive base-rent figure shown in the advertisement.

If a new charge appears later, compare it with the signed lease and attachments, request its written basis, and seek advice before accepting or disputing it. Do not assume that an unfamiliar charge is automatically payable or automatically invalid.

DONE WHEN

Your lease file contains the full recurring-charge schedule, each computation method, and any negotiated cap. Your occupancy budget uses the all-in total.

VERIFY BEFORE USE • Official sources

Have your lawyer check all charge provisions, including schedules, incorporated rules, and separate agreements.

← Chapter checklist

CHAPTER 03 • CHECKLIST 3.03

Define the rent-free fit-out period

DO THIS

Request a rent-free fit-out period before agreeing to the space. Fit-out covers the work between taking possession and opening: renovation, equipment installation, counters, and the other preparations needed for operations.

WHY IT MATTERS

You may be paying rent while the business earns nothing. At Php 30,000 a month, a 30-day fit-out at full rent consumes Php 30,000 before your first customer. At Php 50,000 a month, the same period consumes Php 50,000.

MAKE IT PRACTICAL

Prepare a realistic construction and installation schedule, then ask for 30 to 60 rent-free days if that is what the work needs. A shorter 15-to-30-day period may be a negotiation outcome, but neither range is a guaranteed entitlement or a promise of local market practice.

Try a specific request: “Given the fit-out and installation work required, we would like a 30-day rent-free construction period before rent begins.” Raise it early, while you still have alternatives, and show how the requested period connects to the work.

Write the exact start date, end date, possession date, and rent commencement date into the agreement. Check whether “rent-free” means base rent only or also includes maintenance and other shared charges. Budget utilities and other costs that remain payable.

Build the concession into your opening cash plan. A free month does not remove the need to manage contractor delays or permit lead times. If the schedule slips, know when paid rent begins rather than assuming the landlord will extend the concession.

DONE WHEN

The signed lease states the concession’s exact dates and coverage. Your fit-out schedule and cash budget use those dates, including costs payable before opening.

← Chapter checklist

CHAPTER 03 • CHECKLIST 3.04

Agree who keeps the improvements

DO THIS

Before spending on fit-out, agree which improvements you may remove, which will stay, and what restoration you must complete when the lease ends. Record those arrangements item by item.

WHY IT MATTERS

A Php 200,000-to-Php 500,000 fit-out can include counters, floor tiles, partitions, wiring, and built-in fixtures. Paying for that work does not, by itself, settle what you can recover or take away when you close, relocate, or reach lease expiry.

MAKE IT PRACTICAL

Make an inventory of planned improvements and equipment before signing. Separate freestanding equipment, shelves, display fixtures, and unattached counters from items integrated into the building. The distinction should be documented rather than left to an argument on moving day.

For tiling, electrical-panel upgrades, built-in cabinetry, and ceiling work, negotiate a specific treatment. One option is removal with an agreed restoration obligation. Another is leaving the improvement in place in exchange for a concession, such as lower rent, a longer rent-free period, or a negotiated renewal right.

Clarify what happens on ordinary expiry, agreed early termination, and other termination scenarios. Ask your lawyer to check the wording against the actual work and applicable rules. Do not assume every item has the same treatment merely because the contract calls all of it “improvements.”

Include the likely unrecoverable portion of fit-out in your business decision. If you must leave expensive work behind, your expected trading period needs to justify that cost. A useful concession should appear in the written agreement alongside the obligation it offsets.

DONE WHEN

The lease identifies removable and retained items, restoration duties, and any matching concessions. You have budgeted what cannot reasonably be recovered at exit.

VERIFY BEFORE USE • Official sources

Have a Philippine lawyer check the improvements clause, including applicable reimbursement, removal, and restoration rights.

← Chapter checklist

CHAPTER 03 • CHECKLIST 3.05

Require compliant rental documentation

DO THIS

Before signing, ask what tax-compliant document the landlord will issue for every rental payment. Have your CPA confirm the currently required document and the records your business needs to retain.

WHY IT MATTERS

Rent is a real expense, but a handwritten acknowledgment or bank transfer alone may not meet every tax-documentation requirement. Missing documents can make accounting, deduction support, and an audit more difficult. Deal with this before it becomes a monthly problem.

MAKE IT PRACTICAL

Ask directly: “Can you provide the BIR-compliant invoice or other document currently required for each rental payment?” If possible, let your accountant review a sample. An unclear answer is a reason to investigate further; it is not proof of the landlord’s tax conduct.

Negotiate a lease clause specifying the required documentation, when it will be issued, and the agreed remedy if it is not provided. Ask your lawyer whether that remedy is workable, and your CPA whether the document meets the relevant requirements.

Keep a clear payment trail. Where you pay by bank transfer, use a reference such as “Rent payment for [month], [address]” and retain the transfer confirmation with the lease and billing documents. This supports the records but should not be treated as an automatic substitute for required tax documentation.

If the landlord cannot provide compliant records, have your accountant explain the effect before you commit. Your options may include securing a documented compliance arrangement or choosing a landlord who already supplies the correct records. Include the documentation risk in the decision.

DONE WHEN

Your CPA has confirmed the documentation requirements, the landlord’s written commitment is in place, and you have a filing process for every rental bill and payment.

VERIFY BEFORE USE • Official sources

Ask your CPA to confirm current BIR rental-invoicing and expense-documentation requirements before you sign.

← Chapter checklist

CHAPTER 03 • CHECKLIST 3.06

Understand utility billing before signing

DO THIS

Find out whether electricity comes through your own utility account or the landlord’s sub-meter. Get the quoted rate per kilowatt-hour, the full calculation, and any additional charges in writing before committing.

WHY IT MATTERS

In a shared-meter building, the landlord may divide the main bill among tenants. A flat fee or unexplained rate can hide costs you have not included in your model. You need enough detail to compare the arrangement and check future bills.

MAKE IT PRACTICAL

Ask: “Is electricity billed through a sub-meter or a direct utility connection, and what rate will I pay?” Request an explanation of meter readings, shared consumption, adjustments, and any separately charged service or administration component.

Compare the proposed calculation with the current published information from the local electric utility or cooperative. Compare equivalent charges rather than assuming one headline rate covers the whole bill. Ask the landlord to explain differences and show the basis for them.

If the arrangement remains unclear or too costly, explore a direct connection with the landlord and utility before signing. Feasibility, approvals, installation costs, and timing need checking. Do not assume a ground-floor unit automatically qualifies for a separate connection.

Check water billing too, especially for food service, laundry, water refilling, and salons. Record whether water is sub-metered, the rate or allocation method, and the expected monthly cost. Put both electricity and water into your operating model before deciding the rent is affordable.

DONE WHEN

You can explain how both utility bills will be calculated, have checked the applicable rules and connection options, and have included realistic utility costs in your budget.

VERIFY BEFORE USE • Official sources

Confirm the applicable electricity-billing rules and direct-connection requirements with the local utility and relevant regulator.

← Chapter checklist

CHAPTER 03 • CHECKLIST 3.07

Match electrical capacity to your equipment

DO THIS

List the equipment you expect to run together at peak demand and have a qualified electrical professional check whether the unit can safely support it. Do this before signing the lease.

WHY IT MATTERS

Prior commercial use does not mean the space suits your operation. A milk tea shop may run blenders, a refrigerator, an ice machine, a water heater, and a display cooler together. A unit previously used for light retail may need substantial electrical work.

MAKE IT PRACTICAL

Record each appliance’s nameplate information, including its amperage or power rating. Identify which equipment runs simultaneously. This gives the assessor a useful starting list; a simple owner-made total is not a substitute for a proper electrical assessment.

Ask the landlord for the current panel capacity and any electrical plan for the unit. Have the professional assess the panel, breakers, wiring, and equipment requirements together. Tripped breakers, blown fuses, and overheating are problems to prevent, not discoveries to make after installation.

If an upgrade is needed, establish its scope, cost, required approvals, and realistic completion date. Agree whether the landlord or tenant pays. Put the responsibility and timing in writing before you commit to the space or a rent start date.

Carry the upgrade into your fit-out budget and opening schedule. A short initial assessment might take under an hour, but the actual time depends on the building and available plans. Confirm the scope and allow further investigation where the assessor cannot verify capacity from a quick visit.

DONE WHEN

A qualified professional has confirmed a safe plan for your equipment. Any required upgrade has a written scope, payer, approvals pathway, budget, and completion date.

VERIFY BEFORE USE • Official sources

Confirm the assessor’s qualifications and the permits or approvals required for the proposed electrical work.

← Chapter checklist

CHAPTER 03 • CHECKLIST 3.08

Check the building’s occupancy approval

DO THIS

Request a copy of the building’s Certificate of Occupancy before signing. Confirm that the document and approved use cover the specific unit and the type of business you intend to operate.

WHY IT MATTERS

A building may exist, have other tenants, and still raise questions about its approved use or documentation. You need to understand those issues before investing in fit-out. Missing or unsuitable approvals can affect your opening plans and may also affect insurance.

MAKE IT PRACTICAL

Compare the certificate with the address, building, and space you are considering. Describe your actual operation when asking about use: the answer for a small shop may differ from the answer for a kitchen, laundry, or other activity with different technical needs.

If the landlord cannot produce the document, ask the LGU’s Office of the Building Official how to verify the property’s status. Follow its access and document-request process. Ask what approval or correction would be required for your intended use.

Get qualified advice on unresolved issues before committing. An older building’s history of informal operation does not establish that your business can lawfully open there. Do not treat a verbal assurance that “everyone operates this way” as clearance.

Ask your insurer or insurance adviser how the documented building status affects the cover you need. Coverage and claim decisions depend on the policy and circumstances; avoid assuming either that all cover disappears or that the issue has no effect.

DONE WHEN

The relevant office has confirmed the approval position for your intended use, unresolved issues have a documented path to resolution, and you understand any insurance implications.

VERIFY BEFORE USE • Official sources

Confirm the property’s approved use with the Building Official and discuss any unresolved status issue with your lawyer and insurer.

← Chapter checklist

CHAPTER 03 • CHECKLIST 3.09

Make rent increases predictable

DO THIS

Negotiate an explicit escalation rate or a clearly defined ceiling. Then model the rent for every year of the lease, rather than deciding affordability from the starting rent alone.

WHY IT MATTERS

At a 10% annual increase, Php 25,000 monthly rent becomes Php 27,500 in Year 2, Php 30,250 in Year 3, and Php 33,275 in Year 4. A manageable first year can become difficult if sales or margins do not keep pace.

MAKE IT PRACTICAL

Check when escalation begins, how often it applies, and whether it compounds on the previous rent. Separate increases within the lease term from the method used to set rent on renewal. Wording tied to market rates or landlord discretion needs careful review.

Use 5% or lower as a negotiation target if it suits your local market and business model, not as a legal entitlement. Ask for the agreed percentage to appear plainly in the contract, with the dates or anniversaries on which it applies.

If a market-based mechanism is proposed, ask for an objective reference and a maximum increase. One negotiating option is the lower of an agreed percentage and a specified regional Consumer Price Index measure. Have the formula, reference period, and treatment of unusual outcomes checked before accepting it.

Enter each year’s rent into your financial model. If Year 3 breaks the business’s break-even assumptions, revisit the price, term, or location before signing. Keep the arithmetic visible so you can distinguish an annual rent increase from the total extra rent across several years.

DONE WHEN

The lease has a clear escalation mechanism, and your forecast shows the actual rent for each year and any separate renewal assumptions.

VERIFY BEFORE USE • Official sources

Check all rent calculations. In this example, Years 1–3 total Php 993,000, which is Php 93,000 above three years at the unchanged starting rent.

← Chapter checklist

CHAPTER 03 • CHECKLIST 3.10

Price your exit before entering

DO THIS

Read and negotiate early-termination terms before signing. Know the notice required, the penalty, the treatment of the deposit, and any other costs the business would face if it had to leave early.

WHY IT MATTERS

Markets, health, and personal circumstances can change. A contract may combine lost deposits with several months of rent as an early-exit charge. For planning, test what a two-to-six-month penalty would cost, then use the actual lease terms in your decision.

MAKE IT PRACTICAL

Ask for a manageable notice-and-penalty arrangement. One negotiating proposal is 60 days' written notice, forfeiture of one month's security deposit as the only penalty, and no rent obligation beyond the notice period. The landlord may propose different terms; model the total cost of each.

Make sure the clause applies to the intended situation. Early termination and normal expiry should not be confused. Ask your lawyer to clarify triggers, notice delivery, final rent, deposits, and any restoration duties that may remain.

Discuss disruption from government-mandated closures and other major events. The closures of 2020 and 2021 are a useful reason to ask what happens to rent, access, and termination if the business cannot legally operate. A force majeure label alone does not explain those consequences.

Get the agreed protections into the written lease. Keep an exit-cost figure in your financial planning so that closing an unviable operation does not create a second surprise. Clear terms are useful even when you fully expect the business to succeed.

DONE WHEN

You can calculate the cost of an early exit, distinguish it from normal expiry, and explain how the contract handles major operating disruptions.

VERIFY BEFORE USE • Official sources

Have a Philippine lawyer check the actual early-termination and disruption clauses, including rent obligations during a mandated closure.

← Chapter checklist

CHAPTER 03 • CHECKLIST 3.11

Record the space before work starts

DO THIS

Inspect and document the unit on possession day before workers or materials enter. Arrange the walkthrough with the landlord or an authorized representative so both sides can acknowledge its starting condition.

WHY IT MATTERS

At the end of a lease, you may need evidence that a crack, stain, damaged fitting, or worn surface was already there. A shared condition record makes restoration discussions clearer and can help protect your deposit from disputed repair charges.

MAKE IT PRACTICAL

Photograph every wall surface, floor section, ceiling panel, existing electrical outlet and fixture, and plumbing point. Take wider views to show locations, then close-ups of cracks, stains, and damage. Use dated or timestamped photographs and retain the original files.

Compile the pictures into one dated condition report. Describe any defect that may not be obvious from a photograph, and identify the relevant part of the unit. Keep the record factual rather than relying on a general statement that the space is “in good condition.”

Prepare two copies and have both parties sign and date each. Attach a signed copy to each party’s lease set as an exhibit. If the representative cannot sign on the day, resolve acknowledgment before work changes the condition you are trying to record.

Allow around two hours for the walkthrough and documentation as an initial planning estimate; a larger or damaged unit may need longer. File the signed report and original photos where you can retrieve them when negotiating repairs or preparing to leave.

DONE WHEN

Both parties hold a signed, dated condition report with clear photographs, and you have retained the original image files before any fit-out work begins.

← Chapter checklist

CHAPTER 03 • CHECKLIST 3.12

Turn promises into written terms

DO THIS

Keep a record of every commitment discussed with the landlord, then include the agreed commitments in the lease or signed addendum before signing. Do not build your opening plan around an undocumented assurance.

WHY IT MATTERS

A free month, a repaired ceiling, permission for a particular sign, or a promise about a neighboring competitor can affect your decision to rent. If each side remembers the conversation differently, the business faces uncertainty at precisely the wrong time.

MAKE IT PRACTICAL

After each negotiation conversation, send a written summary by SMS or email within 24 hours: “Just to confirm what we agreed today…” List each point separately, including dates, amounts, scope, and responsibility where relevant. Ask the landlord to confirm or correct the list.

Keep the response with the lease records. This creates a useful record of what was discussed, but do not stop there. Convert each agreed point into a specific clause or signed attachment before the final contract is executed.

Check the wording against the practical result you need. “Repair the ceiling” should not leave the location, responsibility, or completion timing unclear. A signage permission should match the sign you intend to install and the separate approvals it may need.

If the landlord will say something but will not record it, leave it out of your financial assumptions and reconsider how much your decision depends on it. Ask your lawyer about the legal effect of existing communications rather than assuming all verbal promises are either enforceable or meaningless.

DONE WHEN

Every material concession used in your decision appears in the final signed documents, and your supporting negotiation messages are saved together.

VERIFY BEFORE USE • Official sources

Have your lawyer check that every material promise is properly reflected in the final documents.

← Chapter checklist

CHAPTER 03 • CHECKLIST 3.13

Check the space before designing it

DO THIS

Arrange a technical assessment of the raw space before commissioning the layout or ordering custom fixtures. Use appropriately qualified professionals for structural, electrical, plumbing, and other specialist questions.

WHY IT MATTERS

Your ideal design must fit the building's limits. Heavy equipment may exceed a floor's capacity. Low ceilings can restrict exhaust or air-conditioning work. Moving drains or altering load-bearing walls can add cost, approvals, and delay after design money has already been spent.

MAKE IT PRACTICAL

Ask for the floor's load capacity and any restrictions on equipment placement. Identify load-bearing walls and other elements that cannot simply be removed. Have structural questions assessed by a qualified structural professional rather than accepting a contractor's casual assurance.

Measure the actual ceiling height in every relevant section. Locate drains and check their capacity and condition. Review the electrical panel's condition and capacity alongside the equipment list from Item 7. Give the assessor the actual business plan and intended equipment layout.

For initial budgeting, a one-to-two-hour visit at Php 1,500 to Php 3,000 is only an illustrative allowance. Obtain local quotations and a clear scope before relying on it. Neither that budget nor a short visit guarantees that every technical issue can be settled.

Give the resulting constraints to your designer before the first draft. Resolve major feasibility questions before paying for custom cabinetry or committing to equipment positions. It is much easier to change a drawing than to rebuild installed work while rent is running.

DONE WHEN

Your designer has a documented set of verified site constraints, and any major structural or service changes have a feasible scope, cost allowance, and approval path.

VERIFY BEFORE USE • Official sources

Confirm the professional's credentials, assessment scope, current fee, and any required engineering approvals.

← Chapter checklist

CHAPTER 03 • CHECKLIST 3.14

Pay for fit-out in checked milestones

DO THIS

Agree a written milestone-payment schedule with the contractor before work begins. Tie progress payments to defined completed work and inspection, and retain a final amount until defects on the punch list are resolved.

WHY IT MATTERS

A contractor may request 50% or more upfront. Large advance payments put more of your money at risk before you have seen the work. A staged schedule gives both sides clearer expectations and keeps the remaining payments linked to actual progress.

MAKE IT PRACTICAL

Use this illustrative structure as a starting point: 30% on contract signing and mobilization; 40% after completion and inspection of major structural, electrical, and tiling work; 20% at substantial completion of visible and functional work; and the final 10% after walkthrough, punch-list completion, and sign-off.

Define what each milestone includes. Broad labels such as “half finished” can create arguments. Specify the work you expect to see, the inspection or checking process, and who confirms completion before the payment becomes due.

Write the final-retention arrangement into the contract. A punch list is the list of incomplete or defective items to resolve. Agree how it will be recorded and checked so the final walkthrough becomes a practical acceptance process rather than a rushed request for the balance.

Compare the payment schedule with your cash plan and rent commencement date. Contractor payments, equipment purchases, and opening reserves must fit together. Staged payments do not guarantee timely or good work, so keep checking progress and workmanship throughout the project.

DONE WHEN

The signed fit-out contract states the payment amounts, measurable milestones, inspection process, final punch-list requirement, and conditions for releasing the last 10% or other agreed retention.

← Chapter checklist

CHAPTER 03 • CHECKLIST 3.15

Confirm permits before construction

DO THIS

Take your proposed fit-out to the LGU's Office of the Building Official and ask which permits and supporting plans it requires. Make this check before construction, not after a contractor has started work.

WHY IT MATTERS

Calling work a "minor renovation" does not settle its permit requirements. Structural changes, electrical work, plumbing, and changes affecting fire exits deserve particular attention. Unresolved approvals can lead to failed inspections, remedial work, or a stop-work problem while rent continues.

MAKE IT PRACTICAL

Describe the actual scope and bring a sketch or proposed plan. If you are already visiting the LGU to verify zoning or the building's status, use that visit to ask about the fit-out as well. Get the relevant office's requirements rather than relying only on the contractor's view.

For work requiring permits, identify the plans, signatures, professional credentials, and supporting documents needed. Ask which appropriately licensed professionals must prepare or sign each plan. Do not assume any contractor or draftsman can meet every submission requirement.

Apply and obtain the necessary approvals before the regulated work begins. Treat two to four weeks as a tentative planning allowance, then verify current local lead times and allow for incomplete submissions or revisions. Put that time into the fit-out schedule and rent negotiation.

Keep approved plans and permits with the project documents, and make sure the contractor understands the authorized scope. If the design changes, check whether the approval must change too. Treat compliance as part of the project rather than a task to squeeze in before opening.

DONE WHEN

The relevant offices have confirmed the requirements, necessary approvals are in place, and the contractor's work schedule follows the approved scope and timing.

VERIFY BEFORE USE • Official sources

Confirm current fit-out permits, qualified plan signatories, fire-safety coordination, and processing times with the relevant local offices.

← Chapter checklist

CHAPTER 03 • CHECKLIST 3.16

Confirm signage rules before design

DO THIS

Get the landlord’s written signage rules and check the LGU’s permit requirements before commissioning or installing your storefront sign. Give the confirmed limits to the designer from the beginning.

WHY IT MATTERS

Fascia boards, hanging signs, window graphics, and illuminated lettering can be important for walk-in customers. A sign that exceeds the allowed size, uses an unapproved location, or lacks a required permit may have to be altered or removed at your expense.

MAKE IT PRACTICAL

Ask the landlord for the maximum dimensions and permitted locations for exterior signage on your unit. Check restrictions on materials, illumination, mounting, and other design features that affect the sign you plan to use.

Confirm whether the landlord requires design review before installation. Ask what must be submitted, who approves it, and how the approval is recorded. Keep the approved design with the written permission so the installer works from the same version.

Agree who removes the sign and restores the facade at lease end. Include this responsibility in the lease or signage permission rather than leaving it as an exit-day discussion. Build any expected removal cost into your plan.

Ask the LGU’s Business Permits or Engineering Office which office handles your sign type and size. Confirm whether a separate permit is needed, the current fee, required documents, and processing time. Only then finalize the design and installation schedule; landlord approval and government approval may be separate steps.

DONE WHEN

The final design fits the landlord’s written limits, all required approvals are accounted for, and installation, fees, removal, and facade restoration are included in the plan.

VERIFY BEFORE USE • Official sources

Confirm the responsible office, current signage rules, fees, and processing time for your exact location and sign.

← Chapter checklist

CHAPTER 04

Capital & Logistics



The business bank account and supplier checklist

Build your money and supply systems before the first sale. A separate bank account, clear cash reserves, reliable suppliers, and documented orders help you see where your money is going and what the business can actually afford.

These are operating tools. They help you spot money already committed to tax, stock that ties up cash, and inputs that could stop trading if a supplier misses a delivery. You do not need an elaborate system to begin. You need a simple one that you use consistently.

Bank products, documentary requirements, maintaining balances, fees, and lending programs change. Verify current details with the specific institution and branch. Ask your CPA to check tax reserves, payroll obligations, and recordkeeping for your business. Any figures in this chapter are planning examples unless clearly identified otherwise.

Start here

• Choose a suitable business account and confirm the branch's document checklist.

• Separate operating cash, tax reserves, and emergency money before opening.

• Validate your key suppliers, document their terms, and test a purchase-order and receiving process.

BEFORE YOU MOVE ON

• My business account is operational, and personal spending is separated.
• Operating cash, tax reserves, and an emergency buffer have clear rules.
• Key supplier terms, backups, purchase orders, and receiving responsibilities are documented.
• Landed costs, petty cash, monthly obligations, and restocking logistics are included in my opening plan.

CHAPTER 04 / YOUR CHECKLIST

Mark your progress

Check an item only when the work is complete and the evidence is saved.

☐ 4.01 Separate business money from day one

☐ 4.02 Choose a bank that fits your cash flow

☐ 4.03 Prepare the bank’s exact document pack

☐ 4.04 Get corporate account authority right

☐ 4.05 Give cash three separate jobs

☐ 4.06 Learn financing requirements early

☐ 4.07 Check suppliers on four essentials

☐ 4.08 Ask for terms after building trust

☐ 4.09 Prepare backup sources for critical stock

☐ 4.10 Put supplier terms on one clear page

☐ 4.11 Use a purchase order for every order

☐ 4.12 Price from the full cost of stock

☐ 4.13 Control petty cash with a fixed float

☐ 4.14 List the full monthly cash commitment

☐ 4.15 Plan how stock reaches the shelf

Keep in mind

Give every peso a job. Know what is available for daily operations, what is reserved for obligations, and what protects you when something goes wrong. A healthy-looking bank balance is only useful when you know how much is already committed.

Treat suppliers as part of your operating system. Check their reliability, agree the terms, record orders, and have alternatives for critical inputs. Consistent records make decisions easier as the business grows.

Start this work before opening. Some steps, such as negotiating credit after 60 to 90 days of reliable payments, continue once you are trading. Build the structure early, then improve it using real transactions and actual demand.

Good systems reduce how much the business depends on the owner remembering every detail. That is the practical goal behind PromdiPreneur’s systems-first approach.

CHAPTER 04 • CHECKLIST 4.01

Separate business money from day one

DO THIS

Open a dedicated business bank account before the first business transaction. Plan the application alongside registration so the account is ready when customers and suppliers begin moving money.

WHY IT MATTERS

When personal and business transactions share one account, it is harder to tell whether the business is profitable or quietly using your savings. Reconstructing those movements later creates extra bookkeeping and can make supporting your records during a tax review more difficult.

MAKE IT PRACTICAL

Aim to begin the account-opening process in the same week you complete BIR registration, subject to the bank's document requirements. Do not rely on a promise to separate the money "once things settle down." Each extra mixed transaction adds another item to untangle.

Use the business account details consistently for customer payments and supplier transactions. Keep personal purchases out of it. Where the owner contributes money to the business, record what the transfer represents so it is not confused with sales.

Set a fixed, scheduled transfer to your personal account for owner pay or drawings, using the treatment your accountant recommends for your business structure. Avoid taking unrecorded cash whenever a personal expense comes up.

Check the account regularly against your records. Separation gives you a clean starting point; you still need to record receipts, expenses, transfers, and balances. If a mixed transaction happens, document and correct its treatment promptly rather than leaving it for year-end.

DONE WHEN

The account is operational before trading, customers and suppliers have the correct payment details, and owner transfers have a schedule and clear accounting treatment.

VERIFY BEFORE USE • Official sources

Ask your accountant to confirm the account arrangement and treatment of owner contributions, compensation, and drawings for your business structure.

← Chapter checklist

CHAPTER 04 • CHECKLIST 4.02

Choose a bank that fits your cash flow

DO THIS

Compare accounts against your capital, expected balance, payment needs, and access to a useful branch. A recognizable bank name is only one consideration; the account must work for the size of your business.

WHY IT MATTERS

A maintaining balance uses cash you cannot freely deploy without risking fees. For illustration, a business taking in Php 80,000 monthly may find it difficult to keep Php 50,000 parked while also paying rent, stock, and staff. Revenue is not the same as available cash.

MAKE IT PRACTICAL

Test maintaining balances of Php 25,000 to Php 100,000 and monthly below-balance fees of Php 300 to Php 500 in your comparison. These are illustrative figures, not current quotes from a named bank. Obtain the actual terms for the exact product.

For starting capital below Php 500,000 and irregular early cash flow, examine lower-entry options alongside BDO, BPI, and Metrobank. Compare transfer charges, cash access, eligibility, and the required documents.

Ask Maya Business about QR acceptance and transaction dashboards; UnionDigital about eligible business products; LANDBANK about relevant MSME financing; and BDO Network Bank about branch access in your province. Verify every offering. A merchant-payment service and a business deposit account may serve different purposes.

Check maintaining balances and service access against your actual location and needs. An existing account does not guarantee financing. Move to a more demanding current account when your average daily balance and operational requirements justify it, rather than paying for a business image you do not yet need.

DONE WHEN

You have compared current written terms and selected an eligible account whose costs, access, and services fit your forecast.

VERIFY BEFORE USE • Official sources

Check each institution’s current product availability, business eligibility, fees, minimum balances, and relevant financing requirements.

← Chapter checklist

CHAPTER 04 • CHECKLIST 4.03

Prepare the bank’s exact document pack

DO THIS

Call the specific branch at least one business day before visiting. Ask its new-accounts officer for the complete, current checklist for your business structure and chosen account, including originals, copies, and certification requirements.

WHY IT MATTERS

A missing document can turn a bank visit into a wasted trip. This is especially costly when you travel from another municipality. Preparing to the actual branch’s checklist is more reliable than assuming a generic list will be accepted everywhere.

MAKE IT PRACTICAL

Use this as a preparation list, subject to branch confirmation: DTI business-name registration for a sole proprietor; or SEC registration and incorporation documents for a corporation or One Person Corporation. Ask what equivalent documents apply if your structure differs.

Check whether the bank needs the current Mayor’s or Business Permit, BIR Certificate of Registration (Form 2303), proof of business address such as a signed lease or acceptable utility bill, and identification for every signatory. Prepare two government-issued photo-and-signature IDs as a starting checklist, then confirm which IDs and how many the bank accepts.

Get the bank’s account-opening forms ahead of time if available. For corporations and OPCs, confirm the appropriate account-opening authority or resolution and authorized signatories. Item 4 explains the details to settle with the branch.

Confirm the initial deposit amount and accepted funding method. For a long trip, three photocopies of each document can be a practical precaution, but ask which copies must be certified or notarized. Bring required originals and check whether every signatory must attend.

DONE WHEN

The branch has confirmed its checklist, you have checked every required original and copy, and your signatories and initial funding are ready for the appointment.

VERIFY BEFORE USE • Official sources

Confirm the complete current document checklist with the specific branch and account-opening officer before travelling.

← Chapter checklist

CHAPTER 04 • CHECKLIST 4.04

Get corporate account authority right

DO THIS

For a corporation or One Person Corporation, ask the bank what formal authority it requires to open the account and appoint signatories. Use the branch's own resolution, certificate, or other required format where available.

WHY IT MATTERS

The bank needs to know that the entity authorized the account and who can transact for it. Unclear names, missing details, or the wrong signing arrangement can delay opening even when the rest of the document pack is complete.

MAKE IT PRACTICAL

Before drafting, request the bank's current template and instructions. Ask whether the requirements differ for an OPC. A generic template can help you prepare, but it should not override the institution's required wording or the approvals your entity must properly make.

Check that the document identifies the bank and branch, the account type, and each authorized signatory's full name and corporate role. State the signing arrangement clearly: may one person sign alone, or must two or more act jointly?

Have the appropriate corporate officer or adviser confirm how the authority must be approved, signed, certified, and, if required, notarized. Do not assume every corporation and OPC uses the same directors, officers, or approval process.

Ask the branch to review a draft if it offers that service. Then bring the required original and copies. An original notarized document plus two photocopies is a useful preparation example only where those requirements apply. Keep a company copy with the account records.

DONE WHEN

The authority matches the bank's format and your entity's requirements, the signing arrangement is unambiguous, and the required original and copies are ready.

VERIFY BEFORE USE • Official sources

Confirm your entity's required approval, certification, signatories, and notarization with the bank and an appropriate corporate adviser.

← Chapter checklist

CHAPTER 04 • CHECKLIST 4.05

Give cash three separate jobs

DO THIS

Set up three clearly separated cash pools from the start: operating money, a tax reserve, and an emergency buffer. Dedicated accounts can make the separation easier, provided the available products and fees suit your business.

WHY IT MATTERS

A single balance can look healthy while much of it is already committed. Rent, payroll, supplier payments, and tax may fall due together. Separating reserves helps you see what is genuinely available for everyday spending and what needs to remain untouched.

MAKE IT PRACTICAL

Operating account: deposit business revenue here and pay ordinary operating costs from it. Use the records to see your actual cash movement rather than treating the balance alone as proof that the business is doing well.

Tax reserve account: transfer an agreed percentage of each week’s revenue into this reserve. Ask your CPA to set and review the percentage using your tax type, projected revenue, and other relevant obligations. Use the reserve for its intended tax payments when they become due.

Emergency buffer account: aim to fund one month of fixed operating expenses before opening. Define what counts as a genuine operational emergency and avoid using the buffer to cover routine overspending without addressing the cause.

Confirm account eligibility, maintaining balances, and transfer charges before opening several accounts. Where you use another clear separation method, make sure the reserved amounts remain visible and reconciled. This structure improves control; it cannot eliminate every cash shortage or replace a realistic budget.

DONE WHEN

Each cash pool has a purpose, opening target, transfer rule, and authorized use. Your weekly routine shows operating cash separately from tax and emergency reserves.

VERIFY BEFORE USE • Official sources

Have your CPA confirm the tax-reserve method and percentage, and check account fees before setting up the structure.

← Chapter checklist

CHAPTER 04 • CHECKLIST 4.06

Learn financing requirements early

DO THIS

During the first 60 days of operation, research at least one government MSME financing program that may fit your business. Learn its current eligibility rules and documents before a cash emergency forces a rushed decision.

WHY IT MATTERS

Financing applications take preparation. Waiting until a supplier is overdue or equipment fails may leave too little time to gather records and evaluate the terms. Early research gives you a clearer view of possible options without committing you to borrowing.

MAKE IT PRACTICAL

Start with the relevant programs of Small Business Corporation (SB Corp), LANDBANK, or the Development Bank of the Philippines (DBP). SB Corp and Small Business Corporation are the same institution, not two separate lenders. Check which current program fits your sector, business age, and capital needs.

Request the current eligibility and document list from the institution. Ask about application steps, expected processing time, interest and fees, security requirements, repayment schedule, and any other conditions that would affect affordability.

Assemble useful records while your books and compliance documents are current. You can prepare the file and understand the process even if you do not plan to apply immediately. Do not assume a preliminary conversation or an existing bank account guarantees approval.

Compare the total cost and repayment obligation with the business's likely cash flow. Government-backed programs are not automatically cheaper or appropriate for every borrower. Treat financing as a decision to evaluate, not as money already available in your emergency plan.

DONE WHEN

You know the current requirements for at least one relevant program, have an organized preparation file, and understand that eligibility, approval, cost, and timing remain subject to the lender's assessment.

VERIFY BEFORE USE • Official sources

Verify current program availability, eligibility, rates, fees, processing times, and other conditions directly with the lender.

← Chapter checklist

CHAPTER 04 • CHECKLIST 4.07

Check suppliers on four essentials

DO THIS

Evaluate every prospective supplier before the first order using four criteria: reliability, price stability, minimum-order flexibility, and replacement policy. Get the important answers in writing so you can compare suppliers consistently.

WHY IT MATTERS

A nearby supplier, a personal connection, or a low introductory price may be useful, but none proves dependable service. Late deliveries, unexpected price changes, and unresolved damaged stock can interrupt sales and disappoint customers even when the quoted price looks attractive.

MAKE IT PRACTICAL

Reliability: ask whether the supplier can consistently deliver the agreed products, quantities, and dates. Request two existing customer references and ask about routine service, not only the first order. A good sales conversation is different from a dependable delivery record.

Price stability: ask how often prices change, how much notice is given, and how revisions are communicated. Record the price basis so you can identify changes between the order and delivery.

Minimum-order flexibility: compare the required quantity with your storage space, cash cycle, and expected demand. A low unit price may still be a poor deal if the minimum order ties up money or stock you cannot use quickly.

Replacement policy: ask how damaged, defective, or short-delivered goods are reported and resolved, and how quickly replacements or other remedies are provided. Record the contact person and the evidence they require. Keep all four answers with the supplier’s quotation before committing to the order.

DONE WHEN

You have written answers to all four criteria, have checked available references, and can explain why the supplier fits your operation beyond price or personal familiarity.

← Chapter checklist

CHAPTER 04 • CHECKLIST 4.08

Ask for terms after building trust

DO THIS

After 60 to 90 days of consistent, on-time cash-on-delivery payments, ask key suppliers whether they can offer suitable payment terms. Use your actual order and payment record to support the conversation.

WHY IT MATTERS

Under cash on delivery (COD), you pay before you have sold the stock. With a seven-to-fourteen-day inventory turn, money stays tied up while you wait for sales. Appropriate terms can reduce that timing pressure, but they also create a future payment commitment.

MAKE IT PRACTICAL

Frame the request around a dependable trading relationship: “We have been consistent with payments and would like to discuss net-15 or net-30 terms to manage ordering volume and grow the account.” These are negotiation options, not terms every distributor will offer.

Ask how the due date is calculated, whether there is a credit limit, and whether prices, discounts, or fees differ from COD. Confirm the consequences of late payment. A longer payment period is useful only if the full arrangement works for the business.

Check the proposed due dates against your sales and collection cycle. Do not increase orders merely because payment is delayed. Plan for the bill when it falls due and preserve the reliable payment behavior that made the conversation possible.

Get any agreement in a letter, email, or signed terms sheet. Keep it with the supplier record so a replacement sales representative can see the same terms. If credit is declined, continue with a workable COD plan rather than assuming it will soon become available.

DONE WHEN

Any approved terms are documented, their due dates and costs are clear, and your purchasing plan can meet the resulting obligations without relying on hoped-for sales.

← Chapter checklist

CHAPTER 04 • CHECKLIST 4.09

Prepare backup sources for critical stock

DO THIS

Identify your three most critical inputs: the items whose absence could stop or seriously disrupt operations within 48 hours. Establish at least one workable alternative supplier for each before you need an emergency order.

WHY IT MATTERS

A supplier can face shortages, vehicle problems, its own payment disputes, or pressure to prioritize larger customers. If you depend on only one source, its problem quickly becomes yours. A backup relationship gives you another option when the primary source cannot deliver.

MAKE IT PRACTICAL

Look at the operation rather than just the biggest spend. For a milk tea shop, tea base or fresh milk may be critical. For a minimart, the key dependency may be its fastest-moving products. For a water-refilling operation, identify the treatment or other inputs your actual process requires.

Name the top three dependencies and record the time you could keep operating without each. Use the two-day threshold as a practical test, not a claim that every business has identical risks. Check which shortages would affect your core customer promise.

Place a small test order with each backup where practical. This establishes the trading relationship, checks the product against your standards, and tests delivery and payment arrangements. A saved phone number alone does not confirm that the supplier can serve you.

Keep the backup’s current contact details, normal lead time, minimum order, and acceptable product specifications with the purchasing records. Know how to activate the alternative quickly when needed. Redundancy is preparation, not an accusation that your main supplier will fail.

DONE WHEN

Your three critical inputs each have a tested or otherwise verified backup, and the person ordering stock knows when and how to use it.

← Chapter checklist

CHAPTER 04 • CHECKLIST 4.10

Put supplier terms on one clear page

DO THIS

For your three highest-volume suppliers, request a simple written agreement covering the terms that matter when something goes wrong. One or two clear pages may be enough for a straightforward arrangement.

WHY IT MATTERS

A handshake or scattered message thread can leave different expectations about price changes, damaged goods, short deliveries, and payment dates. A written reference makes everyday ordering easier and gives both parties something specific to consult during a disagreement.

MAKE IT PRACTICAL

Include agreed unit prices or the accepted price-list reference, along with the notice required before a revision takes effect. State minimum quantities and normal delivery lead times so you can plan storage and stock levels.

Record payment terms and what happens if payment is late. Include the reporting, return, replacement, or credit process for defective, damaged, and short-delivered goods. The wording should match what the supplier can actually provide.

Agree how unresolved disputes will be handled and who each party should contact first. Where the arrangement is more complex or carries significant risk, have an appropriate adviser review it rather than relying on an informal template.

Present the document as a practical way to keep both sides aligned. If a supplier will not confirm any terms in writing, investigate why and include that uncertainty in your selection decision. It is a warning about the clarity of the arrangement, not proof of how the supplier will behave in every future dispute.

DONE WHEN

Your main supplier files contain mutually confirmed prices, delivery expectations, payment terms, remedies, and a dispute process, with a clear record of any later changes.

← Chapter checklist

CHAPTER 04 • CHECKLIST 4.11

Use a purchase order for every order

DO THIS

Create a simple purchase-order template before ordering opening stock. A spreadsheet or printed form is enough if it captures the agreed details and is used consistently for every supplier order.

WHY IT MATTERS

Without an order record, it is difficult to tell whether the delivery matches what you requested or whether the price changed. Missing records also make it harder to trace stock discrepancies, identify reorder patterns, and spot products tying up cash without enough sales.

MAKE IT PRACTICAL

Give each purchase order, or PO, a sequential number. Record the order date, supplier name, and expected delivery date. List each item separately with a clear description or specification, quantity, and agreed unit price, then show the total order value.

Issue one PO per supplier per order. Keep the agreed version available to the person receiving goods. If the order changes, make sure the receiving copy reflects the confirmed change rather than relying on an unexplained message or memory.

Assign a staff member to compare the delivery with the PO before signing the supplier’s delivery receipt. Check actual quantities, item specifications, and prices. Record shortages, substitutions, damage, or other discrepancies on the receipt before signing and follow the agreed resolution process.

File the PO with the delivery and payment records so you can trace the transaction later. Set aside an initial 30 minutes to draft a basic template, then allow extra time to teach the checking routine. The consistent habit matters more than the appearance of the form.

DONE WHEN

A numbered PO is used for every order, the receiver can access it, and discrepancies are documented before delivery acceptance and tracked to resolution.

← Chapter checklist

CHAPTER 04 • CHECKLIST 4.12

Price from the full cost of stock

DO THIS

Calculate the per-unit cost of getting each product ready for sale before setting its selling price. Start with every product category, then examine individual items where their costs or margins differ materially.

WHY IT MATTERS

The supplier’s unit price is only part of the cost. Delivery, packaging, spoilage or damage, and financing can reduce the margin you expected. A markup that looks attractive on the quoted price may leave too little after those costs are included.

MAKE IT PRACTICAL

Use a clear costing worksheet: supplier unit price, plus allocated delivery cost, plus required packaging, plus a spoilage or damage allowance where relevant, plus applicable financing cost. Express each component as a cost per saleable unit before adding it.

For perishables, document the spoilage assumption and the quantity you realistically expect to sell. Do not add a percentage directly to a peso amount; convert the assumption into a per-unit peso allowance using a consistent method. Review it against actual results once trading begins.

If stock is bought on credit or with borrowed funds, include the relevant cost in your pricing analysis. Ask your accountant how these management-costing items should be treated in the financial records; the pricing worksheet and formal inventory valuation may not be identical.

Calculate your intended markup against the full cost, then compare the selling price with what customers will reasonably pay. For a minimart or broad retail range, this can expose low-margin categories before you tie up cash filling the shelves. Recheck when delivery costs, supplier prices, or wastage change.

DONE WHEN

Your price list is supported by a documented full-cost worksheet, the assumptions are visible, and products with weak or unworkable margins have been reconsidered.

← Chapter checklist

CHAPTER 04 • CHECKLIST 4.13

Control petty cash with a fixed float

DO THIS

Set up a petty cash fund before opening, appoint one custodian, and document every use. Choose a fixed amount suited to small operating needs rather than taking unrecorded cash from the sales drawer.

WHY IT MATTERS

Emergency parts, cleaning supplies, same-day delivery charges, and small office purchases are easy to forget. Individually they look minor; together they create unexplained cash differences. A fixed fund gives you a simple way to record, check, and replenish them.

MAKE IT PRACTICAL

Use Php 1,000 to Php 3,000 as a starting planning range for a small retail or food establishment, then adjust to the operation. Record the approved float and who is responsible for the cash. Keep petty cash separate from personal money and sales collections.

Support each payment with the supplier’s receipt or other appropriate document. If that is unavailable, use an internal petty cash voucher identifying the purpose and recipient, signed by the recipient and countersigned by a supervisor. Ask your accountant what additional tax support is required.

When cash falls to around 30% of the approved float, reconcile the spending and replenish the verified amount through one documented transfer from the business account. File the vouchers and external documents with the replenishment record.

At month-end, and before replenishment, check that remaining cash plus unreplenished supported spending equals the approved float. Investigate differences promptly. Do not count receipts already reimbursed a second time or simply accept a shortage because the individual payments were small.

DONE WHEN

The fund has a named custodian, every payment is supported, replenishments are documented, and the cash-plus-unreplenished-spending check reconciles to the fixed float.

VERIFY BEFORE USE • Official sources

Ask your accountant which supporting documents are required for petty-cash expenses and how to record exceptions.

← Chapter checklist

CHAPTER 04 • CHECKLIST 4.14

List the full monthly cash commitment

DO THIS

Before opening, list every fixed and semi-fixed obligation, including reserves for bills that fall due quarterly or annually. Use the total to understand the cash the business must cover before discretionary owner withdrawals or growth spending.

WHY IT MATTERS

Rent and utilities are easy to remember. Loan repayments, employer contributions, taxes, permit renewals, equipment maintenance, and 13th-month pay are easier to overlook. Predictable bills feel like emergencies when they were never included in the budget.

MAKE IT PRACTICAL

Include rent, expected utilities, loan repayments where applicable, and other recurring commitments. Add applicable employer contributions to SSS, PhilHealth, and Pag-IBIG using current requirements and actual staffing assumptions.

Budget a monthly reserve for projected tax payments and divide applicable annual business-permit renewal costs by twelve. Include preventive maintenance for equipment. Verify current obligations with your accountant; do not carry forward an old fee just because it appears in a previous checklist.

For eligible employees on a steady monthly basic salary, one-twelfth of that salary each month can be a starting reserve for 13th-month pay. Confirm the actual entitlement, calculation, coverage, and treatment of partial-year service with your payroll adviser.

Total the commitments and compare them with the assumptions in Chapter 1’s break-even and cash-flow model. They need to reconcile, but they are not automatically the same number: stock costs, margins, loan principal, timing, and owner-pay assumptions may differ. Explain each difference and correct missing costs before the first billing cycle.

DONE WHEN

Your monthly budget includes recurring bills and reserves, uses current requirements, and reconciles with the business’s break-even and cash-flow assumptions.

VERIFY BEFORE USE • Official sources

Check current taxes, employer contributions, and payroll rules with your accountant. The annual BIR registration fee was discontinued effective January 22, 2024.

← Chapter checklist

CHAPTER 04 • CHECKLIST 4.15

Plan how stock reaches the shelf

DO THIS

Map the full restocking process before placing the first inventory order. Decide who receives goods, where they wait before shelving, when deliveries may arrive, and what happens if the usual delivery fails.

WHY IT MATTERS

A delivery is not complete just because the vehicle arrives. Someone must be available to check quantities, condition, and the purchase order. Without a plan, stock can arrive when the owner is absent, storage is not ready, or no trained receiver is on shift.

MAKE IT PRACTICAL

Name a responsible receiver rather than leaving the task to “whoever is available.” Give that person the authority and training to compare deliveries with POs and record discrepancies on delivery receipts before signing. Arrange coverage when the designated receiver is unavailable.

Set aside a specific staging area for incoming stock before shelving. Check that it can hold your largest expected delivery and that the receiving process suits the products. Do not discover on arrival that overstock has nowhere workable to go.

Confirm delivery windows with each supplier and schedule the receiver accordingly. Agree what staff should do if a vehicle arrives early or late, particularly when no authorized person is available to accept and check the goods.

In secondary cities and municipalities, verify the local transport arrangements rather than assuming the options available in Metro Manila exist nearby. Identify at least one reliable transport-for-hire vehicle and driver for urgent restocking runs. Save the contact and understand the service before your first stock-out emergency.

DONE WHEN

The receiving and staging process is ready, delivery windows match staff coverage, and a verified local transport option is available when normal restocking falls short.

← Chapter checklist

CHAPTER 05

Before You Hire



Build your employment and payroll system

Your first hire brings responsibilities from the start. Before the person begins work, prepare the contract, pay calculation, government-registration steps, time records, and payroll schedule. Give the employment relationship the same care you gave your business registration.

This chapter helps you build that foundation. Clear standards, accurate records, timely contributions, and fair treatment reduce avoidable disputes. They cannot guarantee that a complaint will never happen, but they give both you and your employees a clearer basis for working together.

Philippine labor requirements can change, and coverage depends on the facts of the business and the worker. Verify current wage orders, contribution rules, benefits, and termination procedures with the relevant agency and a qualified labor professional. Budget for a pre-hire consultation, particularly when building a team of more than five people. That team-size marker is a planning suggestion, not a legal threshold.

Start here

- Price the full cost of each role.
- Confirm employer registration, worker classification, and benefit coverage.
- Prepare role-specific contracts, payroll records, and calendar reminders.

BEFORE YOU MOVE ON

- Employer-registration and worker-reporting steps checked
- Worker classification and wage category confirmed
- Full role cost and hiring capacity tested
- Role-specific contracts and review dates ready
- Payroll, leave, attendance, and remittance routines assigned
- Required notices and compliance folder prepared

CHAPTER 05 / YOUR CHECKLIST

Mark your progress

Check an item only when the work is complete and the evidence is saved.

☐ 5.01 Set up all three employer registrations

☐ 5.02 Identify the wage order that applies to you

☐ 5.03 Budget the full cost of each employee

☐ 5.04 Set clear probationary standards and review dates

☐ 5.05 Use the right due-process procedure

☐ 5.06 Classify the working relationship honestly

☐ 5.07 Build a monthly contribution-remittance routine

☐ 5.08 Give an itemized payslip every pay period

☐ 5.09 Fund 13th-month pay throughout the year

☐ 5.10 Track service incentive leave and its cash value

☐ 5.11 Put correctly classified holidays into payroll

☐ 5.12 Customize and review each role’s contract

☐ 5.13 Post the notices your workplace requires

☐ 5.14 Record working time from the first day

☐ 5.15 Keep a ready-to-review employment folder

☐ 5.16 Hire when the numbers support the role

Keep in mind

Good employment practices are part of good operations. Put the role in writing, explain the standards, pay accurately, record working time, remit contributions, and handle concerns fairly. Keep doing these things after the first week, when opening-day attention has moved elsewhere.

Build the folder before the first working day and keep it current. Your records should show that you treated the people helping you build the business with care and consistency. Systems support your team; the owner still remains responsible for maintaining them.

CHAPTER 05 • CHECKLIST 5.01

Set up all three employer registrations

DO THIS

Plan and complete your SSS, PhilHealth, and Pag-IBIG employer-registration steps before the first employee starts. Confirm the actual registration and employee-reporting deadlines with each agency.

WHY IT MATTERS

You introduced these registrations in Chapter 2. Now turn them into a working payroll system. Deferring the paperwork can create contribution arrears, penalties, and liability when an employee needs benefits. Do not assume a probationary worker can be left out while you decide whether to keep them. For SSS, an employer's failure to report or remit does not automatically extinguish an otherwise eligible employee's benefit entitlement; the employer can still face serious consequences.

MAKE IT PRACTICAL

Block one dedicated week for the setup. A practical sequence is SSS, then PhilHealth, then Pag-IBIG. Check the current application route before visiting an office so you know which steps can be completed online and which documents your business type needs.

Check the current application requirements, including SSS Form R-1 for employer registration and R-1A for the initial employment report, PhilHealth's Employer Data Record, and Pag-IBIG's employer-registration form. Prepare your DTI or SEC certificate and valid government ID, plus any additional documents required for your business type.

Save each employer number and the registration confirmation in your compliance folder. Set up authorized online access immediately, then test that you can view employee records, contribution tables, and remittance instructions. Assign one person to prepare the records and another to check them where staffing allows.

DONE WHEN

Each registration is confirmed, employee-reporting steps are scheduled, and the person handling payroll can access the official remittance channels.

VERIFY BEFORE USE • Official sources

Confirm current employer-registration and employee-reporting steps with SSS, PhilHealth, and Pag-IBIG.

← Chapter checklist

CHAPTER 05 • CHECKLIST 5.02

Identify the wage order that applies to you

DO THIS

Find the current minimum-wage order for your region, industry, and establishment category before offering a salary. Save the document used for your calculation.

WHY IT MATTERS

There is no single minimum daily wage for every Philippine business. Regional wage orders may distinguish between agriculture, non-agriculture, and particular retail or service establishments. Using a rate from a friend’s business, an old screenshot, or a different region can leave your payroll model wrong. Underpayment can become a claim for the difference. Paying above the minimum is a business choice; make that choice using the correct legal floor.

MAKE IT PRACTICAL

Go to the National Wages and Productivity Commission or the relevant Regional Tripartite Wages and Productivity Board. Download the actual order and any later amendments or scheduled tranches. Check both the date of issue and the effectivity date.

Identify your region, sector, worker category, and establishment-size classification. Look for any retail or service category linked to the number of workers, including a fewer-than-ten category if the order provides one. Establishment size does not create a universal exemption or automatic permission to pay less. Ask the board when the category is unclear.

Write the applicable daily rate and effective date on your payroll worksheet. Print or save the order in the DOLE compliance folder, and set a reminder to review it when a new order takes effect. Use the official document when explaining the calculation to employees or an inspector.

DONE WHEN

Your salary budget names the applicable wage order, worker category, rate, and effective date, with any exemption separately verified.

VERIFY BEFORE USE • Official sources

Confirm your current wage order, category, and any exemption with the regional wage board.

← Chapter checklist

CHAPTER 05 • CHECKLIST 5.03

Budget the full cost of each employee

DO THIS

Calculate the total monthly employer cost for every planned role before you hire. Put that full amount into the Chapter 1 financial model.

WHY IT MATTERS

The basic wage is only part of the commitment. Your budget also needs the employer shares of SSS, PhilHealth, and Pag-IBIG; a reserve for 13th-month pay; applicable leave costs; and required uniforms, health certificates, or protective equipment. If you budget only the employee's take-home pay, the gap can appear later as a payroll shortage or an unfunded December payment. The employee's statutory deductions are also different from the business's own contribution expense.

MAKE IT PRACTICAL

Start with the applicable wage and realistic paid work schedule. Add each employer contribution using the current agency table. Add a monthly 13th-month-pay provision based on one-twelfth of the relevant basic salary earned, subject to the correct computation rules. Include service incentive leave where the employee and establishment are covered.

Use 120–130% of basic monthly wages as a first-pass planning estimate if you need a quick sensitivity check. It is not a promised total or a legal formula. Replace it with your actual itemized calculation before making an offer. Overtime, holiday work, staffing patterns, and benefits can change the result.

Test the combined cost of the whole team against expected revenue and break-even. If the plan no longer works, revise the staffing arrangement, support a higher revenue target with evidence, or reduce another cost before committing to recurring payroll.

DONE WHEN

Every role has an itemized employer-cost worksheet, and the complete staffing budget fits a realistic operating and cash-flow plan.

VERIFY BEFORE USE • Official sources

Check current contribution tables, benefit coverage, and payroll assumptions with your payroll adviser.

← Chapter checklist

CHAPTER 05 • CHECKLIST 5.04

Set clear probationary standards and review dates

DO THIS

Use a role-specific probationary contract with reasonable performance standards communicated at engagement. Have a qualified labor professional confirm the period and procedure before you use it.

WHY IT MATTERS

Probation is a structured assessment period, not permission to dismiss someone whenever you feel dissatisfied. Problems arise when standards were never explained, evaluation happens too late, the worker continues beyond the lawful period, or the owner assumes that no process is required. Vague phrases such as “satisfactory performance” do little to tell an employee what success looks like or help you document a fair decision.

MAKE IT PRACTICAL

Write measurable standards connected to the job. A cashier, kitchen crew member, and delivery rider need different duties and assessment criteria. Discuss the standards, give the employee a copy, and retain a signed acknowledgment. Document feedback during the period so the final decision is supported by more than memory.

Schedule a formal review before the 150th calendar day as an internal early-warning target. This leaves time to evaluate, document, and communicate the outcome before the lawful probationary period ends. Ask your adviser to calculate the actual end date; six calendar months should not automatically be treated as exactly 180 days.

Set the reminders on the first day. Decide in time whether to regularize or take another lawful step, then follow the procedure that applies to the actual ground. Regular status does not depend solely on whether the employer issues a letter. Customize any contract template and have it reviewed before use.

DONE WHEN

The employee has acknowledged the role standards, the lawful end date is checked, and an earlier review date is on the calendar.

VERIFY BEFORE USE • Official sources

Have a labor professional verify the probationary period, standards, end date, and notice procedure.

← Chapter checklist

CHAPTER 05 • CHECKLIST 5.05

Use the right due-process procedure

DO THIS

Before discipline or dismissal, identify the legal ground and the procedure that applies. Get labor advice for a termination decision rather than applying one template to every situation.

WHY IT MATTERS

A verbal instruction not to return, a termination text, or quietly removing someone from the schedule can create a serious dispute. Even when you believe the facts are obvious, the employee must receive the process applicable to the case. Keep the grounds for the decision separate from the steps used to reach it: a concern about performance or conduct still needs clear evidence and fair handling.

MAKE IT PRACTICAL

For a just-cause dismissal, issue a written Notice to Explain that identifies the alleged act or omission factually and specifically. Give a reasonable response period of at least five calendar days under the applicable rules. Check the requirements with your adviser before the process starts, and avoid wording that prejudges the outcome.

Give a genuine opportunity to respond. Depending on the facts and legal requirements, this may include a written explanation and a clarificatory meeting. Review the response with an open mind. Then issue the appropriate written decision stating the findings, basis, and action.

Retain the notices, proof of delivery, response, and decision records securely. Failure to meet previously communicated probationary standards has a different notice rule from just-cause dismissal. Authorized-cause termination also has its own requirements. Review the actual ground before issuing any notice, and follow a lawful records-retention policy.

DONE WHEN

The applicable process is checked, the evidence and employee response are recorded, and any decision is communicated through the correct procedure.

VERIFY BEFORE USE • Official sources

Confirm the lawful ground and case-specific procedure with a qualified labor professional before acting.

← Chapter checklist

CHAPTER 05 • CHECKLIST 5.06

Classify the working relationship honestly

DO THIS

Decide whether each worker is an employee or a genuine independent contractor using the actual arrangement, not the heading on the contract.

WHY IT MATTERS

Calling someone a freelancer does not by itself remove employment obligations. Philippine decisions examine factors such as selection and engagement, payment, the power of dismissal, and control over how the work is done. Control over the means and manner of work is particularly important. A person directed when to arrive, what to wear, where to work, and how to perform daily tasks may have an employment relationship despite a service-contract label.

MAKE IT PRACTICAL

Write down who sets the schedule, supplies the instructions, supervises the work, and decides how results are produced. Note whether the person serves other clients and operates an independent business. Review all the facts together rather than treating any one fact as a shortcut.

Examples worth examining include a project-based graphic designer with their own schedule and multiple clients, a monthly bookkeeper with an independent professional practice, and a remote IT contractor working to a defined maintenance scope. These examples are not automatic exemptions; the actual relationship still matters.

Give closer attention to someone working exclusively on your premises, within hours you set, on core daily operations, and under your supervision. Ask a labor professional to review doubtful cases before work begins. Misclassification can result in back contributions, penalties, and benefit claims, so compare the lawful arrangement’s real cost rather than choosing the cheapest contract label.

DONE WHEN

Every worker has a documented classification supported by the actual working arrangement, with uncertain cases reviewed before engagement.

VERIFY BEFORE USE • Official sources

Have uncertain employee–contractor classifications reviewed against the actual working arrangement.

← Chapter checklist

CHAPTER 05 • CHECKLIST 5.07

Build a monthly contribution-remittance routine

DO THIS

Set up SSS, PhilHealth, and Pag-IBIG contribution preparation, payment, and confirmation before the first payroll cycle. Give each deadline a named owner.

WHY IT MATTERS

Government contributions need their own routine. A calendar reminder without a calculation, available funds, and a working payment route is not enough. Late or missing remittances can create penalties and employee-benefit problems. SSS currently identifies a 2% monthly late-payment penalty on unpaid contributions. Confirm current rules separately with PhilHealth and Pag-IBIG rather than assuming all three use the same penalty or deadline.

MAKE IT PRACTICAL

During the first week after registration, confirm the current employer payment channels and test authorized portal access. Some digital-wallet channels may support particular government payments, but verify whether the exact employer contribution type is supported before relying on GCash, Maya, or another provider.

Record each agency’s actual deadline in a recurring calendar and set a preparation reminder ten days earlier. For regular business employers, SSS currently sets the deadline at the last day of the following month, with the stated next-working-day adjustment for weekends or holidays. Confirm the separate PhilHealth and Pag-IBIG schedules before building the calendar.

Download official contribution tables and check them at least quarterly, as well as whenever an agency announces a change. After paying, keep the confirmation and check that the remittance is reflected correctly in the relevant records. Reconcile payroll deductions, employer shares, and actual remittances so an accepted payment does not hide a missing employee or incorrect amount.

DONE WHEN

Current tables and deadlines are recorded, the payment route works, and each payroll deduction can be matched to a confirmed remittance.

VERIFY BEFORE USE • Official sources

Recheck contribution rates, deadlines, penalties, and employer-payment channels with each agency.

← Chapter checklist

CHAPTER 05 • CHECKLIST 5.08

Give an itemized payslip every pay period

DO THIS

Create a consistent payslip and payroll-record process before the first payday. Give each employee a clear breakdown and retain evidence of payment.

WHY IT MATTERS

Cash payments and verbal confirmations leave too much room for disagreement. A worker should be able to see what was earned, what was deducted, and what was received. If a wage claim arises, you will need documentary support for your calculation and payment. An employee's silence during an informal payday is not a reliable substitute for records. A signed receipt is useful evidence, but it does not make an incorrect computation lawful.

MAKE IT PRACTICAL

Your template should show the pay period, basic pay, relevant allowances, overtime or other premiums, mandatory contribution deductions, withholding tax where applicable, other lawful deductions, and net pay. Use a spreadsheet or payroll tool that your adviser has checked against the applicable requirements.

Give the employee a copy each period. For cash payments, retain a dated acknowledgment of the amount received. For bank or electronic payments, keep the appropriate payment confirmation alongside the payroll computation, and use a reliable acknowledgment process for the payslip. Resolve questions while the time records are still easy to check.

Link the payslip to attendance, approved adjustments, contribution computations, and payment evidence. A simple template may take less than five minutes per employee once the calculations are ready, but check accuracy before speed. Establish secure retention with your adviser; the three-year period relevant to many money claims does not override longer requirements or a live dispute.

DONE WHEN

Every pay period has an itemized employee copy, a matching retained record, and evidence that the correct net pay was received.

VERIFY BEFORE USE • Official sources

Confirm payroll documentation, acknowledgment, lawful deductions, and retention requirements with your adviser.

← Chapter checklist

CHAPTER 05 • CHECKLIST 5.09

Fund 13th-month pay throughout the year

DO THIS

Calculate the applicable 13th-month-pay obligation correctly and set aside money monthly, starting with the first covered employee's first month.

WHY IT MATTERS

For covered employees, 13th-month pay is a statutory obligation rather than a discretionary Christmas bonus. The general calculation is total basic salary earned during the calendar year divided by twelve. Using the wrong salary base, mishandling a mid-year hire, or waiting until December to find the cash can all create problems. Check coverage and the treatment of particular compensation items instead of assuming every allowance is always excluded.

MAKE IT PRACTICAL

Build a monthly worksheet for each employee. Record the basic salary actually earned, update the year-to-date total, and calculate the developing obligation. Check coverage for rank-and-file employees who worked for at least one month during the calendar year, including probationary workers, and confirm how the rules apply to the actual workforce.

Reserve one-twelfth of the relevant monthly basic salary as you go. You may use the separate reserve account from Chapter 4, but identify the payroll-benefit allocation separately so it is not accidentally spent on taxes. Reconcile the amount reserved with the payroll worksheet each month.

Confirm the December 24 payment deadline and any requirements for employees who leave during the year. Use the current DOLE computation guide and have your payroll adviser review examples for mid-year starts, changes in salary, and other relevant circumstances. By the payment date, the money and supporting computation should already be ready.

DONE WHEN

The computation is checked, the monthly reserve is funded, and the payment deadline and employee-by-employee amounts are scheduled.

VERIFY BEFORE USE • Official sources

Check current DOLE guidance on coverage, basic-salary computation, and payment timing.

← Chapter checklist

CHAPTER 05 • CHECKLIST 5.10

Track service incentive leave and its cash value

DO THIS

Confirm whether your establishment and workers are covered by service incentive leave, then maintain individual leave records and handle unused leave under the applicable rules.

WHY IT MATTERS

Article 95 provides five days of service incentive leave after at least one year of service for covered employees. Exceptions include establishments regularly employing fewer than ten employees, among other exclusions. Confirm coverage before budgeting or writing the policy. Where the benefit applies, an employee's failure to ask does not automatically remove the obligation. Unrecorded leave and unpaid conversion can become a liability when someone leaves or raises a claim.

MAKE IT PRACTICAL

Start an employment and leave record on the first day. Record the service date, eligibility date, leave taken, leave type, and balance. Explain the policy in plain language so staff understand how to request leave and how the balance is checked. Keep approvals and payroll entries with the leave record.

At the relevant year-end or other required settlement point, calculate unused covered leave using the correct daily rate and rules. Have your adviser confirm when cash conversion is required and whether any proposed carry-forward arrangement is lawful. Do not assume a company policy can replace a statutory entitlement.

Consider the recordkeeping problem created by three years of unresolved leave for five employees. Regular reconciliation prevents that pile-up. Record each computation and payment in the personnel file, then confirm that the employee receives the benefit that applies. A small spreadsheet maintained throughout the year is easier to manage than reconstructing several years later.

DONE WHEN

Coverage is confirmed, leave balances reconcile to records, and required unused-leave payments are calculated and documented on time.

VERIFY BEFORE USE • Official sources

Confirm SIL coverage, exceptions, accrual, conversion, and separation treatment with DOLE or your adviser.

← Chapter checklist

CHAPTER 05 • CHECKLIST 5.11

Put correctly classified holidays into payroll

DO THIS

Build the payroll holiday calendar from the official proclamation for the relevant year, then check current DOLE pay advisories and any later national or local proclamations.

WHY IT MATTERS

Regular holidays and special non-working days have different pay treatment. Using an old holiday list or treating all holidays alike can produce incorrect pay. Coverage, attendance conditions, rest-day overlap, and overtime can also change the calculation. A holiday's familiar name is not enough to establish its classification for the year. Confirm the official declaration before applying a rate.

MAKE IT PRACTICAL

At the start of the year, download the proclamation from the Official Gazette or another official government source. Label each date by its actual category. Check familiar dates such as New Year's Day, Araw ng Kagitingan, Holy Week, Labor Day, Independence Day, National Heroes Day, Bonifacio Day, Christmas Day, and Rizal Day against the complete current list.

Basic reference rates include 100% for a covered unworked regular holiday and 200% for covered work on it, versus a usual no-work-no-pay approach and 130% for work on a special non-working day. Verify coverage, attendance conditions, rest-day overlap, and additional premiums before using these starting rates in payroll.

Check for later proclamations throughout the year. A weekly search alert can help you notice changes, but confirm each result at an official source. Be especially careful with movable holidays, locally declared days, and dates such as the EDSA anniversary whose classification must not be assumed from an old list.

DONE WHEN

Each relevant holiday has an official classification and checked pay treatment in the payroll calendar, including later changes.

VERIFY BEFORE USE • Official sources

Check the year's official national and local proclamations and applicable DOLE pay advisories.

← Chapter checklist

CHAPTER 05 • CHECKLIST 5.12

Customize and review each role’s contract

DO THIS

Use a reviewed contract that describes the actual job, pay, schedule, standards, and workplace process. Customize it before asking the employee to sign.

WHY IT MATTERS

A downloaded template can be a useful starting point, but it may contain outdated clauses or omit the details that matter in your business. A contract for a cashier will not fully describe a kitchen worker’s duties or a rider’s schedule. Clear role-specific terms help the employee understand the job and help you manage it consistently. A professional review reduces avoidable gaps; it does not guarantee the outcome of every future dispute.

MAKE IT PRACTICAL

Check that the contract identifies the specific duties, compensation arrangement, work schedule, appropriate probationary standards, and relevant confidentiality obligations. Include a clear route for workplace concerns without suggesting employees give up their legal rights. Make sure the written terms match how the work will actually operate.

Use a suitable sample contract as a drafting aid. Remove anything that does not fit the role and have a qualified Philippine labor lawyer or suitably qualified HR professional review the customized version before the first hire. A reassuring template label cannot replace checking the actual clauses and working arrangement.

A reviewed base for the same role may save time on later hires, but check it again whenever the role, schedule, compensation, law, or business arrangement changes. Explain the finished contract to the employee, allow questions, provide a copy, and keep the signed contract and acknowledgments in the personnel file.

DONE WHEN

The contract matches the real role, has been professionally reviewed, and is signed, understood, and filed with the employee’s copy provided.

VERIFY BEFORE USE • Official sources

Have the customized contract reviewed before use and whenever the role or relevant rules change.

← Chapter checklist

CHAPTER 05 • CHECKLIST 5.13

Post the notices your workplace requires

DO THIS

Ask the relevant agencies which notices and permits your establishment must display, then put current copies where the intended audience can actually see them.

WHY IT MATTERS

Posting requirements are easy to miss because they feel smaller than payroll or permits. Yet employees need access to required labor information, and applicable agencies may require certain business documents to be displayed. A document filed neatly in a drawer may not meet a display obligation. Requirements differ by industry and location, so avoid treating a generic online list as a complete compliance checklist.

MAKE IT PRACTICAL

Check your DOLE regional office for the current posting requirements and print-ready materials. Confirm whether the applicable wage order and particular labor-standards notices must be posted. For food, personal-care, or other regulated activities, ask the relevant current health or sector regulator about additional notices.

Print legibly, protect the pages if the location is exposed to moisture or heavy handling, and mount employee-facing notices near the break area, back office, or time-record station. Staff should not need permission to enter the owner's office just to read them. Keep a digital master so an outdated or damaged copy can be replaced quickly.

At the same time, check the separate display requirements for the BIR Certificate of Registration and the current Mayor's Permit. Photograph the finished locations for your own records and add a monthly check to the compliance-folder routine. One planned printing and mounting session can close several gaps, but later wage orders and renewed permits still need updating.

DONE WHEN

The required notices are confirmed, current, legible, and displayed in the proper locations, with a replacement check assigned.

VERIFY BEFORE USE • Official sources

Confirm the exact notices and permit displays required by DOLE, BIR, your LGU, and any sector regulator.

← Chapter checklist

CHAPTER 05 • CHECKLIST 5.14

Record working time from the first day

DO THIS

Choose a practical time-and-attendance method and use it consistently before the first payroll is calculated. Record actual time worked and retain the supporting records securely.

WHY IT MATTERS

Overtime, undertime, night differential, rest-day work, and holiday premiums depend on accurate time information. Memory and supervisor impressions are weak foundations for payroll. If a dispute arises, records help both sides check what happened. The absence of records does not automatically decide every case, but it makes an accurate reconstruction much harder and leaves the business with less support for its calculation.

MAKE IT PRACTICAL

For a small team of one to five people, consider an appropriate time-recording device or a consistently maintained daily time record. An illustrative biometric-device budget is ₱2,000–₱4,000; obtain current quotes and check suitability before buying. A device price or product label does not establish legal compliance.

With a paper system, record clock-in and clock-out, have employees acknowledge their entries, and have the supervisor review the shift record. Establish a transparent correction process so mistakes are corrected with an audit trail rather than silently altered. Check actual hours against schedules before producing payslips.

Set a retention policy with your adviser. Three years is relevant to many labor money claims, but keep records longer where another rule or an unresolved matter requires it. If using biometrics or a digital platform, review privacy, access, security, and retention obligations before collecting employee data.

DONE WHEN

The team can record and review actual work time, payroll uses those records, and corrections and retention follow a documented process.

VERIFY BEFORE USE • Official sources

Check attendance-record retention and privacy requirements, especially before using biometrics.

← Chapter checklist

CHAPTER 05 • CHECKLIST 5.15

Keep a ready-to-review employment folder

DO THIS

Create a DOLE compliance folder before the first hire, then update it at the end of every month. Keep employee information accessible only to authorized people.

WHY IT MATTERS

Labor inspections may require you to produce contracts, payroll, attendance, contribution records, benefit-payment evidence, and wage references. Having organized records helps an inspector understand what you have done and helps you identify missing steps before a visit. The folder supports compliance; presentation alone cannot cure an unpaid benefit or incorrect record. Be prepared to produce the full period and documents lawfully requested.

MAKE IT PRACTICAL

Use seven sections: employer registrations; employment records; payroll; time and attendance; government remittances; leave records; and compliance references. Keep signed current contracts and acknowledgments in the employment section. Add payslips and payment evidence to payroll, and retain the matching attendance records.

Keep SSS, PhilHealth, and Pag-IBIG payment confirmations, leave records, the applicable wage order, and required posting materials. Include proof of 13th-month payment once due. Place the most recent three months of payroll, attendance, and remittance records in a handy front section. Retain the full required history behind it or in a clearly indexed archive.

At month-end, check each section against a short index. Replace superseded reference copies while preserving records needed for earlier periods. Store physical originals safely and keep usable digital backups where appropriate. When an authorized officer requests records, verify the request and provide the relevant documents promptly without exposing unrelated employee information.

DONE WHEN

All seven sections are current, recent records are easy to retrieve, and required historical records remain securely available.

VERIFY BEFORE USE • Official sources

Confirm current inspection requirements, full retention periods, and authorized access to employee records.

← Chapter checklist

CHAPTER 05 • CHECKLIST 5.16

Hire when the numbers support the role

DO THIS

Before posting a job, test whether the business can sustain the full cost of the role through an ordinary month and a below-average revenue month.

WHY IT MATTERS

Owner overwhelm is a real operational warning, but it does not tell you how much payroll the business can afford. A hire may reduce your workload immediately while adding a recurring commitment that revenue cannot yet cover. Make the financial decision before the employment commitment. If the timing is not right, define the revenue milestone and operational changes needed to make it work rather than hoping the new employee will somehow fund the role.

MAKE IT PRACTICAL

Total the basic monthly wage, employer SSS share, employer PhilHealth share, employer Pag-IBIG share, applicable 13th-month provision, and applicable leave provision. Use the correct wage category and contribution tables. Add other role-specific costs identified in Item 3 rather than relying only on take-home pay.

Compare that total with current average monthly net cash flow after existing fixed obligations. Is there enough recurring surplus to cover the new role with a margin for a weaker month? For a pre-launch business, use a conservative projection and funded runway, clearly distinguishing estimates from an established trading record.

If the answer is yes, confirm the rest of this chapter’s setup before the person starts. If the answer is no, write down the specific revenue or cash-flow milestone that will trigger the hire and review progress against it. Adjust work allocation or simplify the operation within lawful staffing arrangements while building that capacity.

DONE WHEN

The hire is supported by a realistic cost and cash-flow test, or a clear future hiring trigger is recorded in the financial plan.

← Chapter checklist

CHAPTER 06

Before You Sell



Prepare invoices, books, tax filings, and sales systems

Before the first customer pays, make sure the transaction can be documented correctly. You need the right registered books, compliant sales documents, a suitable sales-recording method, and a filing calendar someone can actually execute.

Tax administration becomes easier when you turn it into a routine: record transactions daily, prepare returns early, fund payments, and retain the evidence. A Certificate of Registration is one part of that setup. It does not replace invoice requirements, machine registration, bookkeeping, or the returns that apply to your business.

Philippine tax rules and filing systems change. This chapter gives you the operating steps; a licensed CPA and your Revenue District Office (RDO) should confirm your exact forms, coverage, elections, deadlines, and retention requirements. Under EOPT invoicing rules, invoices are the primary sales documents for both goods and services. Official Receipts serve as supplementary evidence of payment or collection. Check current requirements before using an older document template.

Start here

- Have a CPA confirm your registration and tax obligations.
- Prepare compliant invoices and any required sales-system registration.
- Set up daily recording, a 12-month calendar, and payment reserves.

BEFORE YOU MOVE ON

- Tax types, elections, and filing calendar checked
- Compliant invoices ready and tested
- Sales-system registration completed where required
- Daily bookkeeping and reconciliation assigned
- Withholding, reserves, and payment routes working
- BIR folder and retention schedule established

CHAPTER 06 / YOUR CHECKLIST

Mark your progress

Check an item only when the work is complete and the evidence is saved.

☐ 6.01 Put every tax deadline on one calendar

☐ 6.02 Choose the tax treatment using your numbers

☐ 6.03 Record transactions while the evidence is fresh

☐ 6.04 Have compliant invoices ready before opening

☐ 6.05 Use the right invoice for each transaction

☐ 6.06 File the applicable VAT or percentage-tax return

☐ 6.07 Compute quarterly income tax cumulatively

☐ 6.08 Set up withholding on the payments that require it

☐ 6.09 Prepare for a BIR compliance visit

☐ 6.10 Choose a sales system that fits and complies

☐ 6.11 Complete registration for the actual POS installation

☐ 6.12 Train staff to invoice and handle voids consistently

☐ 6.13 Understand compliance penalties before they arise

☐ 6.14 Track growth before it changes your VAT obligations

☐ 6.15 Arrange accounting help before the first deadline

☐ 6.16 Keep a complete BIR records file

Keep in mind

Tax compliance works best as a repeatable operating habit. Use the correct invoices, keep records current, file the returns that apply, confirm payment, and keep the evidence. Ask your CPA to review the setup whenever your activity, size, or rules change.

One calendar, one organized records system, a daily bookkeeping habit, and clearly assigned professional support can make the work manageable. Build those routines before the first sale so the team can concentrate on serving customers without leaving a trail of missing paperwork.

CHAPTER 06 • CHECKLIST 6.01

Put every tax deadline on one calendar

DO THIS

During the first week after BIR registration, build a 12-month calendar of the returns, reports, payments, and supporting documents that apply to your business.

WHY IT MATTERS

Business tax compliance is not just an annual April task. Different obligations can follow monthly, quarterly, or annual schedules, and withholding has its own requirements. A period with no sales may still require a return. Filing and paying are separate steps; completing one does not prove the other was done. Missed deadlines can create costs before you have earned enough to absorb them.

MAKE IT PRACTICAL

Sit with your CPA and list each applicable form, filing frequency, deadline, required attachment, submission method, and payment channel. Use your registration details and actual business activities to build the list rather than copying another owner’s calendar. Identify who prepares, checks, submits, and pays each item.

Print the calendar and put it where the responsible person sees it regularly. Set reminders two weeks before each due date so missing records and calculation questions can be resolved while there is still time. Include a completion check that saves both the filing acknowledgment and, when tax is due, the payment confirmation.

Review the calendar when rules or registration details change, and at the start of each tax year. Include every required nil return. If a deadline has already been missed, ask the CPA to calculate the actual exposure for your taxpayer classification and advise on the appropriate correction. Do not assume a generic online penalty range describes your case.

DONE WHEN

Every obligation has an owner, due date, early reminder, submission route, and a place to save proof of completion.

VERIFY BEFORE USE • Official sources

Confirm your taxpayer-specific forms, filing dates, payment deadlines, and any announced extensions with your CPA.

← Chapter checklist

CHAPTER 06 • CHECKLIST 6.02

Choose the tax treatment using your numbers

DO THIS

Before your first filing, ask a licensed CPA to confirm your registered tax types and compare the options for which your business is actually eligible.

WHY IT MATTERS

A tax election made quickly during registration may not suit your expected revenue and costs. Common situations for sole proprietors include the eligible individual's 8% income-tax option, graduated income tax with applicable percentage tax, and VAT registration where required or appropriately chosen. These are not interchangeable choices for every business structure. The result depends on eligibility, deductions, revenue, and whether you also have employment income.

MAKE IT PRACTICAL

Bring the Chapter 1 projections, expected expenses, business structure, and Certificate of Registration to the consultation. Ask for a side-by-side computation rather than a general statement that one option is always cheaper. Include any other income that affects how the rules apply to you.

Arrange a one-hour consultation within the first 30 days of registration, but check the election deadline immediately. The 8% election is annual, and a new business's initial-quarter rules differ from those for an existing taxpayer. Ask what filing or registration action makes the election valid and how it affects the year's later returns.

An illustrative consultation budget is ₱500–₱1,500; obtain a current quote and confirm the scope. For the 8% option, ask about the ₱250,000 reduction available under the rules for purely business/professional income and its different treatment for mixed-income earners. Keep the explanation and filing instructions with your registration records.

DONE WHEN

Your eligibility, election deadline, and comparative tax calculation are checked, and your registration and first-filing instructions match the chosen treatment.

VERIFY BEFORE USE • Official sources

Confirm tax-option eligibility, valid election steps, deadlines, and the treatment of any employment income.

← Chapter checklist

CHAPTER 06 • CHECKLIST 6.03

Record transactions while the evidence is fresh

DO THIS

Build a daily bookkeeping routine, with regular professional review, so your registered books and supporting records stay aligned with the business's actual activity.

WHY IT MATTERS

A month-end backlog turns recording into reconstruction. Receipts go missing, cash differences become harder to explain, and the details behind supplier payments fade. Timely entries make it easier to detect mistakes while they can still be checked. They also give you information for managing the business before a tax deadline arrives. The aim is a clear trail from the sale or expense to the record and supporting document.

MAKE IT PRACTICAL

Reserve 15–20 minutes at close of business as a starting routine. Bring together the day's invoices, cash-drawer reconciliation, supplier documents, delivery records, and payment evidence. Record transactions using the approved method for your books, and note anything needing clarification rather than guessing.

If a part-time bookkeeper maintains the books, agree on weekly visits or a dependable weekly handover instead of allowing a monthly pile-up. Someone still needs to collect and organize source documents daily. Set a cutoff for resolving missing information before the filing preparer starts a return.

As transaction volumes grow, discuss whether a computerized accounting system will help. Start that conversation before the end of the first operating year if the manual workload is becoming unmanageable. Confirm the BIR registration, notification, or authorization requirements for your chosen system before changing methods; do not assume every spreadsheet or accounting subscription is a registered replacement for your books.

DONE WHEN

Daily documents are organized, entries are current, discrepancies have an owner, and the bookkeeper's review schedule is working.

VERIFY BEFORE USE • Official sources

Check requirements for your registered books and any planned computerized accounting system.

← Chapter checklist

CHAPTER 06 • CHECKLIST 6.04

Have compliant invoices ready before opening

DO THIS

Confirm your invoicing setup with your CPA or RDO and complete any required Authority to Print (ATP) and printing steps before the first sale.

WHY IT MATTERS

A Certificate of Registration and the authority or registration for your sales documents are separate parts of compliance. Do not open on the assumption that invoices can be arranged after a few days of trading. A printing delay can leave staff without the correct documents when you start serving customers. Check that your documents meet current invoicing rules rather than copying the format another business used years ago.

MAKE IT PRACTICAL

Start the invoice discussion as soon as your registration details are available. If ATP applies, confirm the current application route, including whether BIR Form 1906 is appropriate, and choose an accredited printer without delay. Check your business name, TIN, address, tax status, and required invoice information before approving a proof.

An illustrative schedule allows five to ten working days for ATP processing plus printer production time, with at least three weeks between registration and opening. These are planning allowances, not service guarantees. Ask your RDO and printer for current lead times, then place the opening date after confirmed availability.

For a manual-invoice setup, consider at least two booklets: one active and one protected backup. When they arrive, check serial-number ranges and particulars against the authorization, record the ranges in the BIR folder, and place the active booklet at the cash point. Train staff before the first customer transaction.

DONE WHEN

The correct invoices are physically or electronically ready, the required authority is confirmed, and staff know how to issue and safeguard them.

VERIFY BEFORE USE • Official sources

Confirm current ATP, invoice-content, printer, serial-control, and electronic-invoicing requirements.

← Chapter checklist

CHAPTER 06 • CHECKLIST 6.05

Use the right invoice for each transaction

DO THIS

Have your CPA confirm the correct invoice format for your sales of goods and services, and distinguish the sales invoice from any supplementary payment document.

WHY IT MATTERS

Under EOPT invoicing rules, invoices are the primary documents for sales of both goods and services. An Official Receipt generally acknowledges payment or collection as a supplementary document. VAT status, required particulars, and any applicable electronic-invoicing rules affect the format you need. Familiar labels are not enough; make sure the document actually meets the rules for your business and transaction.

MAKE IT PRACTICAL

List the transactions the business will actually make. A retail store sells products; a salon supplies services and may also sell products; a café may have several sales categories. Show this list to the CPA or RDO before applying for printed documents or configuring a sales system.

Ask which primary invoice to issue, what details must appear, and when a separate payment acknowledgment is useful. VAT taxpayers generally issue an invoice for every sale. For non-VAT taxpayers, check the ₱500 threshold, buyer-request rule regardless of amount, and daily consolidation requirements for below-threshold sales. Issuing an invoice for every sale is a simple internal control.

Check sample transactions before opening. Confirm that staff can identify the correct document, enter the required details, and retain the business copy. If you already have older unused documents, ask about the current rules governing their use or replacement rather than relabeling them on your own.

DONE WHEN

Every expected sales category has an approved invoice workflow, and supplementary payment documents cannot be mistaken for the required sales invoice.

VERIFY BEFORE USE • Official sources

Check invoice particulars, issuance rules, transitional stock rules, and any electronic-invoicing coverage.

← Chapter checklist

CHAPTER 06 • CHECKLIST 6.06

File the applicable VAT or percentage-tax return

DO THIS

Confirm whether VAT or percentage tax applies, enroll in the required filing system, and submit every required return on time, including a nil return when required.

WHY IT MATTERS

A quiet trading period does not automatically suspend filing obligations. Your registration and applicable rules determine what is due, even when there is little or no tax to pay. Under the rules effective from January 2023, the standard VAT return is quarterly. Optional monthly VAT payment procedures do not create a general requirement to file a monthly return; follow the process that applies to your taxpayer category.

MAKE IT PRACTICAL

Ask your CPA to confirm your VAT or percentage-tax coverage, including the effect of a valid 8% election if relevant. For quarterly VAT, confirm Form 2550Q and the deadline of 25 days after the close of the taxable quarter, subject to applicable rules or announced extensions. Confirm the current percentage-tax form and deadline separately.

Set up the appropriate eBIRForms or eFPS access before the first filing is due. Check whether your taxpayer category is required to use a particular system. Test the process using the correct software version and approved account access; do not wait until the deadline to discover an enrollment problem.

Pair filing with an accepted payment channel where tax is due. Save the submission acknowledgment and payment evidence, and reconcile them to the return. A straightforward nil or low-activity filing may take under 30 minutes once prepared, but allow time for checks, connection problems, and corrections instead of leaving it to the final half-hour.

DONE WHEN

The correct return, frequency, system, and payment route are confirmed, with evidence saved for every required period.

VERIFY BEFORE USE • Official sources

Confirm your VAT or percentage-tax obligations, required filing system, and current deadlines.

← Chapter checklist

CHAPTER 06 • CHECKLIST 6.07

Compute quarterly income tax cumulatively

DO THIS

Use a year-to-date computation for each required quarterly individual income-tax return, then reconcile it to the annual return with your CPA.

WHY IT MATTERS

Treating every quarter as an isolated three-month business can produce the wrong tax result. Use the income and applicable deductions from the beginning of the year through the relevant quarter, with the proper credits and prior payments considered. Keep earlier returns and payment confirmations available so the next computation starts from reconciled year-to-date figures rather than an empty worksheet.

MAKE IT PRACTICAL

For the relevant individual taxpayer, confirm Form 1701Q for the first three quarters and the appropriate annual Form 1701 or 1701A. April 15 of the following year is the usual annual deadline. Have your CPA confirm the forms, dates, and any current exceptions or extensions that apply to you.

At the first quarterly filing, ask the CPA to show you how the cumulative calculation works for your chosen tax treatment. Check the year-to-date sales, expenses where relevant, credits, and prior tax payments against the books. Explain unusual changes rather than carrying a mistaken figure into every later quarter.

Use the reserve account from Chapter 4 to fund the obligation throughout the year. Ask the CPA to recommend a practical weekly reservation percentage based on projected revenue and tax treatment, then revisit it as actual performance changes. A revenue percentage is a cash-planning tool, not a substitute for the legal computation. Keep the annual balance within the same funding plan.

DONE WHEN

Each return reconciles to year-to-date records and prior payments, and the tax reserve is being adjusted toward the expected annual obligation.

VERIFY BEFORE USE • Official sources

Confirm the current income-tax forms, cumulative computation, credits, and filing deadlines.

← Chapter checklist

CHAPTER 06 • CHECKLIST 6.08

Set up withholding on the payments that require it

DO THIS

Before paying rent, professional fees, commissions, or another potentially covered expense, ask your CPA whether expanded withholding tax applies and how to document it.

WHY IT MATTERS

Withholding on payments to others is separate from your own income tax. Where required, the business must withhold the correct amount, pay the net amount to the supplier, and remit and report the tax properly. Paying the gross amount because the supplier prefers it does not automatically remove your obligation. The exact treatment depends on the payment, payee, payer status, and current rules.

MAKE IT PRACTICAL

List recurring payments and ask the CPA to identify the rate and supporting information for each. Common rates to check include 5% on certain rentals and 5% or 10% for certain individual professional fees. These are not blanket rates: thresholds, declarations, tax status, payer coverage, and exceptions must be reviewed.

Agree the practical payment process with the payee before the first due date. Show the gross amount, any applicable withholding, and the resulting net payment. Prepare BIR Form 2307 when required so the payee has evidence for the credit, using the correct details and issuance timing.

Put the remittance and reporting deadlines into the calendar. Where applicable, Form 0619-E covers the first two months of the quarter and Form 1601-EQ covers the quarterly return. Confirm eFPS or other filing-specific deadlines and required information reports. Reconcile withheld amounts, Form 2307 certificates, remittances, and the quarterly return before submission.

DONE WHEN

Covered payments have a checked rate and workflow, payees receive the required certificates, and every remittance and report is scheduled.

VERIFY BEFORE USE • Official sources

Check payer coverage, withholding rates, certificates, monthly remittances, quarterly returns, and reporting deadlines.

← Chapter checklist

CHAPTER 06 • CHECKLIST 6.09

Prepare for a BIR compliance visit

DO THIS

Check the basic controls a BIR field visit may examine: registration display, compliant invoices, actual issuance, and accessible, current books and records.

WHY IT MATTERS

Tax Mapping and closure-related enforcement are different processes with their own legal requirements. Do not treat an inspection as a guarantee of a fine or assume every minor issue leads directly to padlocking. What you can control is whether ordinary transactions are documented and the supporting records are available. Routine compliance is easier to maintain than an urgent cleanup after a problem is identified.

MAKE IT PRACTICAL

Check the required display of your Certificate of Registration. Keep the active manual invoice booklet at the cash point, or ensure the authorized electronic or machine-based system is working. Keep a compliant backup arrangement for a system outage where needed. Staff should know where the documents are without waiting for the owner.

Use a business rule of issuing the appropriate invoice for every sale. This is a practical control even where statutory thresholds or exceptions need separate checking. Do not leave issuance to whether the customer remembers to ask. Reconcile the day’s invoices or sales-system records to cash and other payments.

Keep books current through the daily routine and a weekly completeness review. Know where the legally required records are maintained and how to produce them. If an officer arrives, verify identification and the authority or purpose of the visit, involve the responsible owner or adviser, and respond using organized records. These practices reduce avoidable gaps; they do not guarantee an inspection outcome.

DONE WHEN

Registration, invoicing, sales reconciliation, and record-access controls work during an ordinary shift without improvised preparation.

VERIFY BEFORE USE • Official sources

Confirm current display, invoice, record-access, and inspection requirements with your CPA or RDO.

← Chapter checklist

CHAPTER 06 • CHECKLIST 6.10

Choose a sales system that fits and complies

DO THIS

Choose a manual, cash-register, or POS arrangement that matches your transaction volume, then verify the BIR requirements before buying or subscribing.

WHY IT MATTERS

A capable sales app is not automatically a compliant invoicing system. At the same time, not every internal spreadsheet or management report has identical registration requirements. Ask how the proposed system will be used: will it issue invoices, record official sales, maintain registered books, or simply support internal analysis? That distinction matters when deciding which accreditation, registration, or authorization steps apply.

MAKE IT PRACTICAL

Option 1 is an approved manual-invoice setup with daily totals recorded in the books. For example, fewer than 20 transactions per day may be manageable manually. This is a workflow guide, not a BIR threshold or exemption. Check whether a manual setup is suitable for your actual obligations.

Option 2 is an appropriate cash register machine from an authorized supplier, with the required registration for your particular unit. Option 3 is a suitable POS software installation with the applicable vendor and taxpayer documentation. Ask the vendor for evidence of the relevant accreditation or registration and a written explanation of what you must still complete.

Before committing, show the proposed arrangement to your CPA or RDO. Confirm invoice output, sales reports, serial controls, void handling, backups, and any e-invoicing coverage. Compare the total setup and recurring cost against the manual workload. A vendor’s assurance that “we are BIR-ready” is a starting point for checking documents, not the final proof.

DONE WHEN

The chosen system fits the operation, and vendor evidence and taxpayer-specific compliance steps are checked before purchase and first use.

VERIFY BEFORE USE • Official sources

Verify the vendor’s documents and the requirements for your particular system, branch, and taxpayer category.

← Chapter checklist

CHAPTER 06 • CHECKLIST 6.11

Complete registration for the actual POS installation

DO THIS

Before the sales system processes a live transaction, complete the taxpayer- and installation-specific BIR steps that apply to your unit, software, and location.

WHY IT MATTERS

Buying from an accredited vendor does not automatically finish your own compliance work. The unit or installation may need to be associated with your TIN, branch, business address, and other particulars under the current process. A relocation, replacement, or material system change may also require action. Find out before opening, while you still have time to correct the details or use a lawful alternative.

MAKE IT PRACTICAL

Ask the vendor and CPA for the current registration checklist. Prepare the machine’s serial number and specifications, your Certificate of Registration, the vendor’s documentation, and the correct application or online submission. Confirm whether Form 1907 and a Permit to Use apply to your installation; different systems may follow different current procedures.

Allow one to two weeks as an initial scheduling example, then replace it with a current processing estimate. Put the application date and expected readiness date into the opening schedule. Build in room for corrections to the application. Do not run customer transactions merely because the hardware has arrived.

Check the resulting permit, acknowledgment, or required registration evidence against the actual installation and location. Display or retain it as required. Record the steps needed if the machine moves, is replaced, or fails. Have a compliant backup transaction method ready so a pending application or equipment fault does not pressure staff into undocumented sales.

DONE WHEN

The actual installation has the required valid registration evidence, its particulars are correct, and staff know the approved backup procedure.

VERIFY BEFORE USE • Official sources

Confirm the current installation-registration procedure, display rules, and requirements for changes of location.

← Chapter checklist

CHAPTER 06 • CHECKLIST 6.12

Train staff to invoice and handle voids consistently

DO THIS

Make correct invoice issuance part of every transaction-handling role. Train staff on the complete workflow, including errors, voids, and system downtime.

WHY IT MATTERS

A well-chosen sales system still depends on the person using it. Skipping a document because the sale is small, accepting unrecorded cash, or discarding an incorrect invoice breaks the trail between customer payments and business records. The owner needs controls that work during busy shifts and staff changes. Training should explain the task and its reason without relying on threats or unsupported claims about automatic closure.

MAKE IT PRACTICAL

Use a clear operating instruction: “Record every sale and issue the proper invoice before the customer leaves. If you make a mistake, follow the correction procedure and ask the supervisor when you are unsure.” Apply that consistent internal standard without confusing it with a statement that every statutory issuance rule has no threshold or exception.

For manual invoices, have the CPA or printer confirm the correct void process. A practical control is to mark all copies VOID, draw a diagonal line where appropriate, keep the copies intact, and retain the serial-number trail. Never discard a copy merely to make the booklet look tidy.

For POS transactions, use the authorized void or correction function and preserve its audit trail. Define who can approve a void and how it is reconciled at close. During training, test an ordinary sale, a small sale, a mistaken entry, a customer question, and a system failure. Check that each staff member can complete the process accurately.

DONE WHEN

Every transaction handler has demonstrated correct invoicing, error handling, and reconciliation using the documented procedure.

VERIFY BEFORE USE • Official sources

Have the manual and electronic invoice-correction procedures checked before training staff.

← Chapter checklist

CHAPTER 06 • CHECKLIST 6.13

Understand compliance penalties before they arise

DO THIS

Ask your CPA to explain the current penalties relevant to your taxpayer category and build a simple prevention check around the obligations you actually have.

WHY IT MATTERS

Registration failures, missing books, failure to issue required invoices, missing registration displays, and late returns are preventable compliance risks. Tax reforms have changed important penalty rules, including relief for qualifying micro and small taxpayers. Compromise amounts, surcharges, interest, and the underlying tax are distinct matters. The cost in a particular case depends on the facts and applicable law, so a generic fine list is not a reliable calculation.

MAKE IT PRACTICAL

Review the current BIR issuances with your CPA. For each risk, record the preventive action and who checks it: registered operation, appropriate books, compliant invoices, required displays, and timely returns and payments. Focus first on fixing the underlying gap rather than trying to guess a single maximum fine from a general guide.

If an obligation has already been missed, obtain a written computation explaining the unpaid tax, surcharge, interest, and any proposed compromise amount separately. Confirm your current taxpayer classification, including whether the micro/small provisions of BIR RR 6-2024 apply. Ask about the proper correction and any lawful remedy rather than paying an unexplained figure.

Use the result to prioritize your weekly and monthly compliance review. A current folder, daily recording, correct invoicing, and a reliable deadline calendar reduce many avoidable exposures. They cannot eliminate every audit risk or guarantee that a return contains no error, so keep professional review in the routine.

DONE WHEN

You know the current rules that apply to your classification, and each relevant compliance risk has a practical prevention check.

VERIFY BEFORE USE • Official sources

Check the current penalty rules and taxpayer classification with your CPA before relying on any amount.

← Chapter checklist

CHAPTER 06 • CHECKLIST 6.14

Track growth before it changes your VAT obligations

DO THIS

Monitor sales against the current VAT-registration tests and discuss approaching triggers with your CPA before a registration change becomes urgent.

WHY IT MATTERS

Growth can change your tax obligations during the year. Waiting for the annual return may leave you responding late to a threshold issue. The applicable test may include the relevant 12-month period and expected sales, so a simple January-to-December total may not be enough. Confirm the current threshold, exclusions, timing, and registration steps for your business before relying on a single number.

MAKE IT PRACTICAL

Build a running sales tracker into your monthly bookkeeping from Day 1. For example, ₱200,000 average monthly revenue annualizes to ₱2.4 million. The EOPT guidance states a ₱3 million baseline VAT threshold with periodic inflation adjustment provisions. Check the current operative threshold and relevant exclusions before using it in your tracker.

Track the period required by the rules, including a rolling 12-month view where applicable, and update the forward projection. Set 80% of the applicable threshold as an early-warning point for CPA review. That signal gives you planning time; it does not automatically mean voluntary VAT registration is the right decision.

Discuss the consequences of a move to VAT: pricing, customer profile, invoice configuration, input-tax records, filings, and cash flow. Voluntary registration can have costs and restrictions as well as possible supply-chain advantages. Ask the CPA whether it fits your situation and when action is legally required. Document the advice and revise the sales system and financial model in time for the effective change.

DONE WHEN

Sales and projections are monitored against the correct tests, with an early-review trigger and a documented plan for any required change.

VERIFY BEFORE USE • Official sources

Confirm the operative VAT threshold, relevant sales tests, registration timing, and voluntary-registration consequences.

← Chapter checklist

CHAPTER 06 • CHECKLIST 6.15

Arrange accounting help before the first deadline

DO THIS

Engage the right combination of bookkeeping and CPA support before the first return is due, with a clear division of responsibilities.

WHY IT MATTERS

A micro-business may not need a full-time accountant, but it still needs accurate records and timely, checked filings. Reconstructing several missed periods is usually more disruptive than maintaining records from the start. Do not assume that hiring a quarterly tax preparer means someone is also handling daily records or monthly obligations. Confirm the coverage in writing so tasks do not fall between the owner, software, and adviser.

MAKE IT PRACTICAL

For a simple sole proprietorship, consider a CPA engagement for quarterly income-tax returns, the annual return, and periodic tax planning. Use ₱3,000–₱8,000 per quarter only as an illustrative budget. Obtain current quotes that state which returns, consultations, corrections, and year-end work are included.

Pair that review with a part-time bookkeeper who checks records weekly, or a suitable accounting platform managed by a trained owner or staff member. JuanTax is one product to evaluate for Philippine tax workflows. Confirm current functionality, pricing, data handling, and fit; a software subscription does not guarantee compliance.

Agree the handover dates for invoices, expenses, bank statements, payroll, and withholding information. Identify who prepares returns, who reviews them, who submits them, and who funds and confirms payments. Keep access appropriately controlled and retain copies of the final filings yourself. Review the arrangement when transaction volume or tax obligations change.

DONE WHEN

Your accountant, bookkeeper, and internal owner have an agreed scope, handover schedule, deadline calendar, and evidence-retention process.

VERIFY BEFORE USE • Official sources

Check current fees, engagement scope, and software functionality before choosing your accounting support.

← Chapter checklist

CHAPTER 06 • CHECKLIST 6.16

Keep a complete BIR records file

DO THIS

Create a structured BIR compliance file from registration onward and maintain it monthly, with secure backups and a checked retention schedule.

WHY IT MATTERS

Good records make it easier to explain the business's actual compliance during a visit or examination. They also help your CPA prepare accurate returns and find mistakes before they spread into later periods. A neat folder is useful because of what it contains and how well those records reconcile. It is not a substitute for the underlying registration, proper invoice issuance, or payment of the correct tax.

MAKE IT PRACTICAL

Use five sections. Registration: COR copy, ATP where applicable, and relevant POS/CRM or system registration evidence, while displaying documents as required. Invoices: active and completed booklets or electronic records, including intact void records and serial controls. Books: current registered books and prior completed records. Filed returns: each submitted form and acknowledgment. Payments: receipts and online confirmations linked to the return or liability.

Keep the active invoice available where transactions occur rather than locking it away for the sake of the folder. Update books daily and check completeness weekly. At month-end, add the latest filings and payments, reconcile missing items, and confirm that someone other than the owner can locate the required records if authorized.

Apply the current statutory retention rule. EOPT provides a five-year baseline reckoned from the relevant filing deadline or actual filing date, as applicable. Have the CPA confirm the exact starting date and any longer preservation needed for an unresolved examination, claim, or other requirement. Do not discard historical records solely because the folder is getting full.

DONE WHEN

All five sections are current, required records can be retrieved promptly, and retention and backups follow a verified schedule.

VERIFY BEFORE USE • Official sources

Confirm the five-year retention reckoning and any longer preservation needed for unresolved matters.

← Chapter checklist

CHAPTER 07

Before You Spend Your First Peso

Protect cash and rehearse the launch

Use this chapter before final launch spending, and revisit it before opening. Your permits, lease, banking, hiring, and sales-document systems create the foundation. The next decision is how much cash to put into the launch and how much to protect for the weeks that follow.

Visible spending is tempting: finishing touches, tarpaulins, boosted posts, and an opening event. Working capital, training, and written procedures are less visible, but they keep the business running when sales are quieter than hoped. Give them room in the budget first.

The figures in this chapter are planning examples and stress-test assumptions, not promises about how every business will perform. Adapt them to supplier lead times, seasonality, product life, and actual costs. One principle holds: the grand opening lasts a day. Your operating system needs to work every day after it.

Start here

- Separate and protect the operating reserve.
- Map the first month of cash and fund the first two payrolls.
- Run three rehearsal days and fix the gaps.
- Set daily measures and book the 90-day review.

BEFORE YOU MOVE ON

- Operating reserve protected and setup budget funded
- First-month cash gaps and first two payrolls covered
- Three-day dry run completed and critical gaps fixed
- Opening spend and offers within sustainable limits
- Shift procedures and inventory triggers ready
- Daily measures defined and 90-day review booked

CHAPTER 07 / YOUR CHECKLIST

Mark your progress

Check an item only when the work is complete and the evidence is saved.

☐ 7.01 Protect working capital before launch spending

☐ 7.02 Separate setup costs from ongoing obligations

☐ 7.03 Run three rehearsal days before opening

☐ 7.04 Set a firm opening-event ceiling

☐ 7.05 Map the first 30 days of cash by week

☐ 7.06 Start with a controlled inventory order

☐ 7.07 Start with the local community you can reach

☐ 7.08 Open at a price the business can sustain

☐ 7.09 Write one checklist for each shift

☐ 7.10 Set reorder points for the products that move

☐ 7.11 Fund the first two payroll cycles in advance

☐ 7.12 Measure three numbers from the first day

☐ 7.13 Book the 90-day review before launch

☐ 7.14 Make referrals easy and trackable

☐ 7.15 Write the core operating system before you open

Keep in mind

You have worked through demand, registration, premises, money, hiring, tax compliance, and launch readiness. Each checklist turns an assumption into a decision, a document, a test, or a repeatable routine. That work matters most after opening, when the day becomes busy and the original excitement settles.

Protect the reserve. Follow the daily checks. Watch the numbers. Review what the business is showing you and act on it. Opening is a milestone; building a dependable business is the continuing work.

From diskarte to systems. One checklist at a time. — PromdiPreneur

Business first. Systems second. Technology third. Start with a process people understand and can follow; use technology only when it helps make the process more consistent.

CHAPTER 07 • CHECKLIST 7.01

Protect working capital before launch spending

DO THIS

Set aside the cash needed to keep the business operating before you budget fit-out upgrades, opening decorations, or other discretionary launch costs.

WHY IT MATTERS

Working capital covers the timing gap between money going out and customer payments coming in. Suppliers may require cash on delivery, payroll arrives on schedule, and a small equipment failure may need immediate attention. If the reserve is simply whatever remains after setup, you may reach opening day with attractive premises and too little cash to run them. Protecting the reserve first makes the limits of the rest of the budget visible.

MAKE IT PRACTICAL

As a starting planning target, calculate three full months of fixed operating expenses. Consider aiming for six months where competition is strong, the location is untested, or the business is highly seasonal. These are planning buffers, not universal minimums; test whether stock purchases, payment terms, and other cash needs require more.

Keep the allocation separate and label its purpose clearly. Budget fit-out, inventory, and optional launch elements from the capital left after the reserve is funded. Do not treat it as available cash for a nicer POS system or temporary borrowing that depends on next month’s hoped-for sales.

Write the conditions for using it: covering planned operating shortfalls and necessary disruptions while the business moves toward sustainable cash generation. Pair every planned draw with the weekly cash-flow map in Item 5. Review the balance frequently so you can see how much runway remains and respond before it is exhausted.

DONE WHEN

The reserve is separately funded, its permitted uses are clear, and the remaining launch budget can be met without quietly borrowing from it.

← Chapter checklist

CHAPTER 07 • CHECKLIST 7.02

Separate setup costs from ongoing obligations

DO THIS

Prepare a two-part pre-launch budget: one-time setup spending and the cash needed for the first three months of operations. Fund both before committing to optional extras.

WHY IT MATTERS

Pang-puhunan can become one large mental bucket that hides very different commitments. Equipment and signage may be bought once, while rent, utilities, payroll, supplier payments, and contributions keep returning. Some costs also contain both elements: an initial inventory purchase is a launch outlay, but replenishment continues after opening. Separating the timing helps you see whether the business is fully funded rather than merely ready to look open.

MAKE IT PRACTICAL

Column A: list the one-time or initial pre-opening outlays, including fit-out, equipment, signage, initial inventory, registration expenses, and essential opening costs. Identify anything that also has a later renewal, replacement, or subscription cost so it is not mistaken for a permanent one-off.

Column B: list the first three months of recurring obligations. For steady monthly costs, multiply by three; for variable purchases and unusual payment dates, use the expected cash schedule instead. Reconcile this amount to your working-capital reserve so you do not double-count funding or omit a real payment.

Only the capital remaining after both columns are funded is available for contingencies and optional launch additions. If there is no discretionary balance, remove the extras. If essential setup or the operating runway is still unfunded, reduce the launch scope or move the date. Do not solve a fit-out overrun by silently cutting the reserve.

DONE WHEN

Every launch peso belongs to a clear category, both essential setup and operating runway are funded, and discretionary spending has a real limit.

← Chapter checklist

CHAPTER 07 • CHECKLIST 7.03

Run three rehearsal days before opening

DO THIS

Plan at least three consecutive dry-run days using real products, real procedures, and the staff who will operate the business. Fix each day’s findings before the next test.

WHY IT MATTERS

A single relaxed afternoon with supportive family members may miss the pressure points you need to discover. Problems often appear when several customers arrive together, an unusual question interrupts the queue, or opening and closing tasks have to happen on time. Rehearsals still consume stock, labor, and time, so budget for them. Their value is finding correctable failures before a public opening makes those failures part of a customer’s first impression.

MAKE IT PRACTICAL

Day 1: staff only. Run the full day from opening checks to transaction processing, cash reconciliation, cleaning, and closing. Watch for missing instructions, awkward task order, and responsibilities nobody owns.

Day 2: invite people from your personal and professional network to behave like actual customers. Use real products and realistic transactions at regular prices or a clearly defined nominal test price. Ask for candid feedback about waiting, clarity, service, and the buying experience. If money changes hands, use the compliant transaction process.

Day 3: stress-test the projected peak-hour volume, with everyone in their actual operating position. Check queue length, equipment, kitchen or service bottlenecks, and staffing capacity. After each day, hold a 30-minute structured debrief. Record each gap, assign an owner, agree the fix, and confirm it has worked before moving on.

DONE WHEN

All three scenarios have been tested, critical gaps are fixed and retested, and staff can complete the full operating cycle.

← Chapter checklist

CHAPTER 07 • CHECKLIST 7.04

Set a firm opening-event ceiling

DO THIS

Choose a maximum peso budget for the grand opening before planning starts. Tell everyone involved what it includes and protect the operating reserve from additions.

WHY IT MATTERS

Opening budgets often grow one reasonable suggestion at a time: a balloon arch becomes a photo booth, a tarpaulin becomes a stage, or a small gathering becomes a catered event. Each addition may look manageable on its own. Together, they can consume cash needed for the next 90 days. A busy opening event can also create an unrealistic expectation for ordinary trading, so judge it as a marketing activity with a limited budget.

MAKE IT PRACTICAL

A possible discussion range for the opening event is 5–10% of total startup capital. It is not an amount you must spend. Choose a lower ceiling when the numbers require it. The event budget must leave the working-capital reserve intact and fit what the business can afford to risk on customer acquisition.

List what the event is meant to achieve: first-time local customers, a clear introduction to the offer, and a good first impression. Price the essential elements first. Give the same written ceiling to staff, family helpers, suppliers, and anyone handling invitations so guest-list changes do not quietly become spending approval.

Track committed costs against the ceiling as quotes are accepted. If someone proposes an addition, identify what will be removed or reduced to pay for it. Check that it helps the customer objective rather than simply making the event look bigger. Record actual spending afterward and compare it with the measurable customer response.

DONE WHEN

The event has a fixed funded ceiling, all commitments fit inside it, and no opening expense reduces the protected operating reserve.

← Chapter checklist

CHAPTER 07 • CHECKLIST 7.05

Map the first 30 days of cash by week

DO THIS

Before opening, prepare a weekly cash-flow map for the first month. Identify when cash leaves, when it is expected to arrive, and which gaps the reserve must cover.

WHY IT MATTERS

Opening-week interest may not continue at the same level. A quieter second or third week does not automatically mean the business has failed, but it still affects the ability to pay bills. Planning a lower-sales scenario gives you time to decide how to respond. It also reduces the temptation to slash prices or overreact to a few days of data before you understand what changed.

MAKE IT PRACTICAL

Build a base case and a conservative case. One stress test puts Week 1 at the estimated baseline, then models Weeks 2 and 3 at 40–60% of Week 1. Use those figures as one scenario, not a prediction for every shop. Adjust for your market, opening offer, and expected seasonality.

List each known cash outflow in the week it will be paid: supplier cash-on-delivery purchases, the first payroll, outstanding utility deposits, rent or other fixed charges, and any remaining pre-opening bills. Keep timing separate from the accounting month; a bill can be profitable on paper and still create a cash gap on its due date.

Calculate the weekly opening balance, inflows, outflows, and closing cash. Mark planned reserve draws and update the map with actual results each week. Investigate changes before making a major price or inventory decision.

DONE WHEN

Every first-month payment has a funding source, expected shortfall weeks are identified, and the reserve can cover the tested scenario.

← Chapter checklist

CHAPTER 07 • CHECKLIST 7.06

Start with a controlled inventory order

DO THIS

Use a cautious opening order to preserve cash and learn what customers actually buy, while protecting essential products against predictable stock-outs.

WHY IT MATTERS

Full shelves and a bigger bulk discount can feel reassuring before opening. They can also tie up cash in products that move slowly at your specific location. Supplier minimum order quantities may be designed for larger buyers, and mas malaking order, mas malaking diskwento does not automatically mean a better cash decision. Compare the discount with the cost of holding stock, the risk of spoilage, and the operating cash you give up.

MAKE IT PRACTICAL

Test an opening order at 60–70% of the quantity you initially think you need. Treat this as a conservative scenario for suitable products, not a blanket rule. Check supplier lead times, minimum orders, shelf life, essential assortment, and the cost of a stock-out before reducing any line.

Give the opening order three jobs: preserve cash for the first 30 days, reveal which products sell at the location, and establish the habit of reordering from actual sales. Avoid purchasing maximum variety solely to fill display space. A smaller, considered opening range can be easier to monitor and replenish.

Review sales and stock movement frequently in the first month. Separate genuinely slow-moving products from items that simply were unavailable when customers wanted them. Use the reorder points in Item 10 to replace what sells before it runs out. Keep a record of why you changed quantities so the next order reflects evidence rather than opening-week excitement.

DONE WHEN

The opening order preserves operating cash, covers essential availability, and has a practical replenishment plan based on actual early sales.

← Chapter checklist

CHAPTER 07 • CHECKLIST 7.07

Start with the local community you can reach

DO THIS

Build pre-launch awareness in the immediate community, then use paid advertising where it can amplify a message that is already attracting the right people.

WHY IT MATTERS

Online reach and actual store visits are different measures. Consider an illustrative campaign: ₱5,000 spent, 15,000 impressions, 300 interactions, and 20 opening-day visitors. That means ₱250 per recorded visitor if those visits are genuinely attributable to the ad. These figures are an example, not a performance benchmark. Measure the outcome that matters to the shop rather than treating impressions as sales.

MAKE IT PRACTICAL

Use four practical channels. Put a readable “Opening Soon” tarpaulin on the premises where nearby customers pass. Send personal introductions to real community contacts; 50 individual messages can be a manageable starting effort. Compare the actual response with paid reach, rather than assuming 10,000 ad impressions are automatically more valuable.

Post in relevant local Facebook groups where business announcements are allowed. Choose a clear opening hook people can share: a first-50-customers offer, a genuine community element, or an agreed local-personality visit. Check the cost and terms of any offer against your margin.

Where appropriate, ask for introductions through local chambers of commerce, Filipino-Chinese chambers, alumni groups, or professional associations. Approach them as a new community business rather than assuming membership or endorsement. Track where visitors heard about you, then use paid advertising to test or expand the channels that produce relevant interest.

DONE WHEN

The nearby audience knows what is opening, where, and when, and each marketing channel has a way to track real customer response.

← Chapter checklist

CHAPTER 07 • CHECKLIST 7.08

Open at a price the business can sustain

DO THIS

Calculate the regular selling price before launch and make it the clear baseline from the first transaction. Cost any opening offer before announcing it.

WHY IT MATTERS

Heavy introductory discounts can attract customers whose expectations are built around a price you cannot maintain. Raising the price later may then feel like a loss to them, even if the original offer never covered your costs. That does not mean every promotion is wrong. It means the price, duration, economics, and transition need to be deliberate instead of relying on mura muna para sumikat and hoping the margins will improve later.

MAKE IT PRACTICAL

Use the costing work from earlier chapters to include landed cost, a realistic share of overhead, and the target margin. Check that your expected transaction mix and volume can support the resulting price. Show the regular price clearly so customers understand the normal offer.

If you want opening excitement, consider a costed value-add: a free item with a qualifying first purchase, bonus starting points on a loyalty card, or a convenient bundle sold at the regular individual prices. These options still have a cost; include it in the opening budget and check that the offer is accurately described.

If you choose a discount, define the end date and terms before it begins, communicate the regular price, and know the cash and margin limit. Track what customers buy and whether they return at normal prices. Avoid making a permanent pricing change in response to one quiet week without reviewing volume, customer feedback, and contribution margin together.

DONE WHEN

The regular price supports the financial model, and every opening incentive has clear terms, a funded cost, and a defined limit.

← Chapter checklist

CHAPTER 07 • CHECKLIST 7.09

Write one checklist for each shift

DO THIS

Prepare separate opening, mid-day, and closing checklists before Day 1. Make every instruction specific enough that someone can complete and verify it without interpreting your intentions.

WHY IT MATTERS

Verbal training is easily remembered differently by different people. When the owner is away or the shop is busy, vague instructions leave gaps in cleaning, stock checks, cash handling, and closing. A short checklist makes the expected result visible. It also gives a supervisor a fair way to check the work and spot where the procedure itself needs improvement.

MAKE IT PRACTICAL

Keep each shift's checklist to a usable page. Replace "clean the store" with concrete tasks: wipe counter surfaces with the appropriate sanitizing solution, sweep and mop the floor, empty and reline trash bins, and refill the condiment and packaging station to marked levels. Follow the product and workplace safety instructions for the actual cleaning materials.

Replace "check inventory" with a specific count of the top ten fastest-moving items. Record quantities against the reorder sheet and flag any item at or below its reorder point. Include cash-reconciliation and security steps in the closing list, with clear instructions on who handles exceptions.

Have the staff member sign or acknowledge completion, then have the shift supervisor review it. Test the checklist during the dry run and remove ambiguity when someone gets stuck. Keep it accessible at the point of work and update the controlled copy when the process changes. A signed box is useful only when it reflects work that was actually checked.

DONE WHEN

Each shift has a tested checklist with specific tasks, responsible staff, a verification step, and a clear route for reporting exceptions.

← Chapter checklist

CHAPTER 07 • CHECKLIST 7.10

Set reorder points for the products that move

DO THIS

Before the first delivery arrives, calculate a starting reorder point for your high-volume products and build the check into the daily closing routine.

WHY IT MATTERS

Ordering only when a shelf looks nearly empty ignores the time a supplier needs to deliver. A supplier lead time of three to seven days, for example, can leave you out of stock after a late reorder. Early stock-outs disappoint customers while you are establishing reliability. A quantity-based trigger gives you a visible action point before the shelf is empty.

MAKE IT PRACTICAL

Start with this formula: average daily sales multiplied by supplier lead time in days equals expected demand during the lead time. If a product sells 20 units per day and delivery takes five days, that demand is 100 units. In this simple example, reaching 100 units triggers the purchase order.

Recognize the assumption: the calculation has no safety allowance for demand spikes, late deliveries, missed order cutoffs, or stock discrepancies. Add a reasoned buffer where needed, balanced against shelf life and cash limits. Account for stock already ordered so the same trigger does not create duplicate purchases.

Set initial figures for the top ten products, then revise them using actual first-month sales and delivery performance. Put the closing count and reorder flag into the shift checklist. Identify who approves and places the order, when the supplier must receive it, and how the expected delivery is recorded and checked against the purchase order.

DONE WHEN

Top products have documented reorder triggers, an order owner, and daily checks that allow replenishment before the tested stock-out point.

← Chapter checklist

CHAPTER 07 • CHECKLIST 7.11

Fund the first two payroll cycles in advance

DO THIS

Before the first employee starts, choose a lawful, fixed payroll schedule and protect the money for the first two full pay cycles within the operating reserve.

WHY IT MATTERS

Staff should not have to guess when wages will arrive based on that week's sales. Reliable payment lets people plan their own expenses and supports trust during the unsettled early months. Wage-payment frequency and timing are also legal obligations, so the payroll calendar needs to be checked rather than built around convenience alone. An opening cash shortage does not make an informal delay a sound staffing practice.

MAKE IT PRACTICAL

The 15th and the last day of the month are common payroll dates. Have your payroll adviser confirm the lawful intervals and arrangements for your workforce, including what happens when a scheduled payday falls on a non-working day. Explain the agreed schedule before employment begins and record the actual dates for the first two cycles.

Calculate Payroll 1 and Payroll 2 using the expected hours, applicable benefits or premiums, lawful deductions, and the full employer cost. Allocate the cash before assuming any opening revenue will be available. Link related employer contributions and benefit reserves to their own due dates so funding net wages does not leave the associated obligations uncovered.

Set a preparation cutoff: attendance reviewed, adjustments checked, payslips produced, payments authorized, and confirmation saved. Test the payment route before the first payday. If an operational problem appears, address it promptly through the lawful process and communicate clearly rather than making staff repeatedly chase the owner for payment.

DONE WHEN

Two complete payroll cycles are funded, the legal schedule is confirmed, and the team responsible can prepare, pay, and document the first payday.

VERIFY BEFORE USE • Official sources

Confirm lawful wage-payment intervals and payday arrangements for non-working days with your payroll adviser.

← Chapter checklist

CHAPTER 07 • CHECKLIST 7.12

Measure three numbers from the first day

DO THIS

Set daily targets for revenue, average transaction value, and transaction count before opening. Record the actual figures at close and review the pattern each week.

WHY IT MATTERS

“Okay naman” and “may tao” can describe a mood without showing whether the business is meeting the assumptions that justified opening. The same sales may feel exciting in Week 1 and disappointing in Week 4. Consistent measures give you a steadier comparison and help you identify whether a gap comes from customer volume, spending per transaction, or both. They work best alongside cash and operational observations.

MAKE IT PRACTICAL

Daily revenue: compare recorded sales with the target from the Chapter 1 break-even model. Use a consistent definition and reconcile the number with the books or POS. Average transaction value: divide the relevant sales total by the number of transactions to see whether the buying pattern matches the model.

Daily transaction count: record completed sales and compare the pattern with the pre-opening foot-traffic or shadow-count assumptions. Transactions are only a proxy for customer numbers: one person may make multiple purchases, and one invoice may cover a group. Track actual visitors separately if you need a conversion rate.

Set an early-review rule: a miss of more than 20% on any target for three consecutive weeks deserves investigation. This is a management trigger, not a universal failure test. Check seasonality, opening effects, availability, service, and pricing, then choose a specific change and measure its result.

DONE WHEN

Targets and definitions are written, daily figures are recorded consistently, and weekly reviews turn material gaps into specific questions and actions.

← Chapter checklist

CHAPTER 07 • CHECKLIST 7.13

Book the 90-day review before launch

DO THIS

Reserve a half-day 90 days after the planned opening date and prepare a one-page review template now. Use the meeting to decide what the evidence calls for next.

WHY IT MATTERS

At roughly three months, you should have more useful operating evidence than you had before launch. That is a good point to compare the original assumptions with actual performance, although seasonality and the business model may mean the full picture takes longer. The purpose is to distinguish a market assumption that needs revising from an operational process that is failing to deliver. Either finding can lead to a practical change.

MAKE IT PRACTICAL

Block the calendar as “90-Day Business Review.” Prepare six sections: monthly actual versus projected revenue for each of the three months; actual daily customer or transaction count against the shadow-count assumptions, with consistent definitions; actual average transaction value versus the model; the three main operational problems and how each was addressed; the three things that worked better than expected; and an assessment of the overall trajectory.

Bring the completed template, underlying records, and the Business Concept Summary from Chapter 1. Highlight where evidence supports the plan and where the plan depended on an assumption that did not hold. Separate a temporary disruption from a repeated pattern before committing to a major change.

Finish with decisions, owners, and dates. Strengthen what is working, repair weak processes, and reconsider structural assumptions where needed. Update the cash forecast and operating instructions to match those decisions. Schedule the next review so the document becomes part of how you run the business rather than a file you never reopen.

DONE WHEN

The review is booked, the six-section template is ready, and responsibility for gathering the supporting figures is assigned.

← Chapter checklist

CHAPTER 07 • CHECKLIST 7.14

Make referrals easy and trackable

DO THIS

Choose one simple referral mechanism before opening and include it in the normal customer interaction, with a clear offer and a way to measure use.

WHY IT MATTERS

Happy customers may recommend you, but an easy prompt can help them know what to share and what the referred person should do. In a local business, a recommendation from someone nearby can be valuable because it carries personal experience. Do not assume it always outperforms paid advertising or needs no management. The offer still needs to be affordable, understandable, and consistently honored.

MAKE IT PRACTICAL

A practical starting point is a physical referral card with the business name, location or contact details, a clear reward, and a unique tracking code. Define who receives the reward and what event qualifies: for example, a referred customer visiting and presenting the card under the stated terms. Cost the reward before printing.

Train staff to offer the card as a standard closing step after a completed transaction. Explain the benefit briefly, without pressuring customers. Think about your first 50 customers: nearby early buyers may introduce the business to their networks, but referrals still depend on a good experience and an offer worth sharing.

Keep a small redemption log and reconcile rewards so the same card is not counted incorrectly. Review which referrals lead to real customers and whether the margin supports the offer. Other options include a bring-a-friend offer or a genuinely shareable community benefit, but start with one mechanism the team can execute reliably before adding complexity.

DONE WHEN

The referral offer is costed, printed or ready to share, included in staff instructions, and supported by a simple redemption record.

← Chapter checklist

CHAPTER 07 • CHECKLIST 7.15

Write the core operating system before you open

DO THIS

Document the recurring work in plain language, test it with someone who will use it, and correct the gaps before opening the doors.

WHY IT MATTERS

Diskarte is useful when an unexpected problem needs a practical response. Daily operations also need repeatable instructions so every decision does not wait for the owner. A promising idea, adequate capital, a favorable location, and community support still need dependable execution. Written procedures help the team carry out the plan and give you a place to capture improvements as real trading reveals what needs to change.

MAKE IT PRACTICAL

Document the full customer transaction: arrival, order or product selection, payment, invoice issuance, and cash reconciliation at close. Record how stock is counted, how reorder points trigger action, how purchase orders are approved, and how deliveries are received and checked against the order.

Write the payroll preparation and payment steps, customer-complaint process, and daily cleaning and maintenance standards. Give each task an owner, the needed inputs, the expected result, and a route for exceptions. Link the short shift checklists to fuller instructions where a task needs more detail.

Ask a new or unfamiliar staff member to follow the instructions during a rehearsal. Watch where they hesitate, guess, or need to call you. Clarify those points and test again. The goal is reliable routine work and sensible escalation, not a claim that nobody will ever have a question. Keep the first version usable, then revise it with evidence from daily operations and the 90-day review.

DONE WHEN

The core routines are written, tested by their users, and clear enough to run consistently with defined exceptions and escalation.

← Chapter checklist

APPENDIX

Templates & practical tools

Three starting frameworks for important business conversations: opening a corporate bank account, negotiating a lease and engaging an employee on probation.

01 Board resolution for a corporate bank account

02 Letter of intent to lease commercial space

03 Probationary employment contract framework

REVIEW BEFORE USE

These are editable frameworks, not ready-to-sign documents. Complete every field and obtain professional review before sending, signing or submitting.

Prepare each document in five steps

• Replace every [BRACKETED FIELD] with accurate information. Delete alternatives that do not apply.

• Confirm the current legal requirements and the recipient’s preferred format.

• Read every clause, including the powers, payment terms and obligations it creates.

• Have the completed document reviewed by the appropriate Philippine professional. For bank documents, confirm the bank’s requirements too.

• Remove preparer notes from the final document, obtain the required approvals and signatures, and give each party the appropriate copy.

A signed template can create real obligations. Examples of deposit amounts, rent increases, performance standards and review dates are planning or negotiation choices, not legal safe harbors.

A QUICK REFERENCE

Know the names

BIR / RDO

Bureau of Internal Revenue / Revenue District Office. Your tax registration and administration contacts.

DTI / SEC

Department of Trade and Industry / Securities and Exchange Commission. The registration route depends on your business structure.

LGU / BPLO

Local government unit / Business Permits and Licensing Office. Check the requirements of the city or municipality where the business operates.

BFP

Bureau of Fire Protection. Confirm the fire-safety requirements for the premises and activity.

DOLE / NWPC

Department of Labor and Employment / National Wages and Productivity Commission. Check labor requirements and the applicable regional wage order.

SSS / PhilHealth / Pag-IBIG

Social Security System / Philippine Health Insurance Corporation / Home Development Mutual Fund. Confirm employer and employee coverage, registration and current contribution rules.

OPC

One Person Corporation. A corporate structure with one stockholder, subject to the rules that apply to OPCs.

SOP / POS

Standard operating procedure / point-of-sale system. One documents how the work is done; the other records or processes sales.

LOI / CUSA

Letter of intent / common-use or common-area service charges. Define the actual scope and charges in your lease documents.

TEMPLATE 1

Corporate bank account board resolution

Use this framework to discuss corporate account-opening authority with your bank. Ask the branch for its current resolution or Secretary's Certificate form and documentary checklist. Ordinary corporations and One Person Corporations use different governance procedures; use the wording appropriate to the entity.

Before submitting, have corporate counsel or the Corporate Secretary confirm valid authorization, quorum and voting rules, certification, signatories and any notarial requirements. Confirm the bank's copy and identification requirements; do not assume all directors must sign.

BOARD RESOLUTION

[FULL REGISTERED CORPORATE NAME] SEC Registration No.: [SEC REGISTRATION NUMBER] Principal Office: [COMPLETE REGISTERED BUSINESS ADDRESS]

RESOLUTION OF THE BOARD OF DIRECTORS [FOR AN OPC: WRITTEN RESOLUTION OF THE SINGLE STOCKHOLDER AND SOLE DIRECTOR]

[ORDINARY CORPORATION: At a duly convened meeting of the Board of Directors of [CORPORATE NAME] held on [DATE] at [PLACE], with the required quorum present, the following resolutions were adopted in accordance with applicable law and the corporation's governing documents.]

[OPC: I, [NAME], being the single stockholder and sole director of [OPC NAME], adopt the following written resolutions on [DATE]. These resolutions shall be signed, dated and recorded in the corporation's minutes book as required by law.]

[SELECT AND COMPLETE THE APPLICABLE VERSION; DELETE THE OTHER.]

RESOLVED, that the Corporation be, and it is hereby, authorized to open and maintain a [TYPE OF ACCOUNT - e.g., Savings Account / Checking Account / Current Account] with [FULL LEGAL NAME OF BANK], [BRANCH NAME], located at [COMPLETE BRANCH ADDRESS] (hereinafter referred to as the "Bank");

RESOLVED FURTHER, that the following named officer/s and/or director/s of the Corporation be, and they are hereby, authorized to sign, endorse, execute, and deliver, for and on behalf of the Corporation, any and all checks, drafts, withdrawal slips, orders for payment of money, deposit slips, and such other banking instruments and documents as may be necessary in connection with the operation and maintenance of the said bank account:

Name	Position/Title	Specimen Signature
[FULL NAME OF SIGNATORY 1]	**[POSITION]**	_____
[FULL NAME OF SIGNATORY 2]	**[POSITION]**	_____
[FULL NAME OF SIGNATORY 3, IF APPLICABLE]	**[POSITION]**	_____

PREPARER NOTE

List all individuals you intend to authorize as account signatories. Include only individuals whose names and signatures you are comfortable presenting to the bank as authorized representatives of the corporation.

RESOLVED FURTHER, that the signing arrangement for all transactions on the said bank account shall be as follows:

[SPECIFY ONE OF THE FOLLOWING SIGNING ARRANGEMENTS - DELETE THE ONES THAT DO NOT APPLY AND CUSTOMIZE THE REMAINING ONE:]

Option A - Single Signatory: "Any ONE (1) of the above-named authorized signatories, acting alone, shall be authorized to sign on behalf of the Corporation for all transactions on the said account."

Option B - Joint Signatories for All Transactions: "Any TWO (2) of the above-named authorized signatories, acting jointly, shall be required to sign on behalf of the Corporation for all transactions on the said account."

Option C - Tiered Signing Authority: "Any ONE (1) of the above-named authorized signatories, acting alone, shall be authorized to sign on behalf of the Corporation for transactions not exceeding Philippine Peso [AMOUNT IN FIGURES] (PhP [AMOUNT IN WORDS]). For transactions exceeding that amount, any TWO (2) of the above-named authorized signatories must sign jointly."

PREPARER NOTE

Choose the signing arrangement that reflects your actual internal control requirements. A sole signatory arrangement is operationally simpler for micro-businesses. A joint signatory arrangement provides stronger internal controls for businesses where separation of duties is important. Confirm with your specific bank branch which arrangements they accept before finalizing this clause.

RESOLVED FURTHER, that the Corporate Secretary of the Corporation be, and is hereby, authorized and directed to certify to the Bank the foregoing resolutions, to furnish such specimen signatures of the authorized signatories as may be required, and to provide such other documents and information as may be required by the Bank in connection with the opening and maintenance of the said account;

[OPTIONAL; INCLUDE ONLY AFTER BANK AND COUNSEL REVIEW] [SET OUT ANY BANK-REQUESTED RELIANCE OR AUTHORITY CLAUSE, WITH THE SCOPE DELIBERATELY APPROVED BY THE CORPORATION.]

[OPTIONAL; INCLUDE ONLY AFTER REVIEW] RESOLVED FINALLY, that the following specifically identified prior acts relating to opening this account are ratified and approved: [LIST THE ACTS AND DOCUMENTS, OR DELETE THIS CLAUSE].

IN WITNESS WHEREOF, I/We have hereunto set our hands this [DATE] at [CITY/MUNICIPALITY], Philippines.

BOARD OF DIRECTORS / SOLE INCORPORATOR:

Signature over Printed Name: _____ Name: [FULL NAME] Position: [POSITION/TITLE] Date: _____

Signature over Printed Name: _____ Name: [FULL NAME] Position: [POSITION/TITLE] Date: _____

PREPARER NOTE

Use the approval, certification and signature format required by law, the corporation’s governing documents and the receiving bank. Board approval does not universally require every director’s signature. An OPC records its single stockholder’s written resolution under the rules applicable to OPCs.

CERTIFICATION BY THE CORPORATE SECRETARY

I, [FULL NAME OF CORPORATE SECRETARY], Corporate Secretary of [FULL REGISTERED CORPORATE NAME], hereby certify that:

The foregoing is a true, complete and correct copy of the resolutions duly adopted on [DATE] in accordance with applicable law and the corporation’s governing documents;

[ORDINARY CORPORATION: The required quorum was present throughout the meeting.] [OPC: The single stockholder and sole director signed and dated the written resolution, which was recorded in the minutes book on [DATE].]

Said resolutions have not been amended, modified, revoked, or rescinded as of the date of this Certification and remain in full force and effect;

The persons named above as authorized signatories are duly elected or appointed officers and/or directors of the Corporation as of the date of this Certification.

Signature over Printed Name: _____ Name: [FULL NAME OF CORPORATE SECRETARY] Corporate Secretary [FULL REGISTERED CORPORATE NAME] Date: _____

ACKNOWLEDGMENT (To be completed by a duly commissioned Notary Public)

REPUBLIC OF THE PHILIPPINES [PROVINCE/CITY]) S.S.

BEFORE ME, a Notary Public for and in [CITY/MUNICIPALITY/PROVINCE], personally appeared the following individuals with their competent proof of identity:

Name	Government ID Type	ID Number	Issued By	Date Issued
[FULL NAME]	_____	_____	_____	_____
[FULL NAME]	_____	_____	_____	_____

known to me and known to be the same persons who executed the foregoing Board Resolution and Certification, and each of them acknowledged to me that the same was their free and voluntary act and deed, and the free and voluntary act and deed of the corporation they represent.

WITNESS MY HAND AND NOTARIAL SEAL on [DATE] at [PLACE OF NOTARIZATION], Philippines.

NOTARY PUBLIC

Name: _____ Notarial Commission valid until: December 31, [YEAR] PTR No.: _____ / Date: _____ / Place: _____ IBP Lifetime Membership No. / IBP No.: _____ Roll of Attorneys No.: _____ MCLE Compliance No.: _____

Doc. No.: _____ Page No.: _____ Book No.: _____ Series of _____

TEMPLATE 2

Letter of intent to lease

Use this Letter of Intent before signing a formal lease to record your proposed terms and open negotiations. Its legal effect depends on its wording and the parties' conduct. Have counsel confirm that it reflects the intended non-binding negotiation stage.

How to use it most effectively: Present this LOI in person - bring a printed copy to a meeting with the lessor rather than sending it by message alone. The conversation that follows the presentation is where the actual negotiation happens. The LOI documents what was agreed in that conversation and prevents the "I thought we agreed" disputes that arise when terms discussed verbally do not appear in the formal lease.

Pay particular attention to the fit-out period, all recurring charges, escalation, exit terms, utility billing and tax-compliant invoices. Record accepted changes in the formal lease. A proposal does not create an automatic right to the requested terms.

Before sending or acknowledging an LOI, seek legal advice where the terms, deposits, exclusivity or other commitments may be consequential. There is no general lease-value threshold below which this template is guaranteed sufficient. Have the formal lease reviewed before signing.

[YOUR FULL NAME OR REGISTERED BUSINESS NAME] [Your Complete Address] [Your Contact Number] [Your Email Address]

[DATE]

[FULL NAME OF LESSOR] [Lessor's Complete Address]

RE: Letter of Intent to Lease Commercial Space at [COMPLETE ADDRESS OF COMMERCIAL SPACE]

Dear [MR./MS./ATTY./DR. - LESSOR'S LAST NAME],

I write on behalf of [YOUR NAME / YOUR BUSINESS NAME] to formally express our intent to lease the commercial space located at [COMPLETE ADDRESS OF COMMERCIAL SPACE], with an approximate floor area of [FLOOR AREA IN SQUARE METERS] square meters (the "Premises"), for the purpose of operating a [SPECIFIC TYPE OF BUSINESS - e.g., milk tea shop / retail clothing store / water refilling station].

We propose the following terms as the basis for our formal Lease Agreement:

SECTION 1 - LEASE TERM

A fixed lease term of [PROPOSED LEASE TERM - e.g., two (2) years / three (3) years], commencing on [PROPOSED LEASE COMMENCEMENT DATE - this is the date rent begins running, after the rent-free fit-out period] and expiring on [COMPUTED EXPIRY DATE].

The Lessee shall have the option to renew this lease for an additional period of [RENEWAL TERM - e.g., one (1) year / two (2) years] under mutually agreed terms, provided the Lessee provides written notice of its intention to renew not later than [NUMBER - e.g., sixty (60)] days before the expiration of the original lease term.

PREPARER NOTE

Clarify whether this is an enforceable renewal option with settled terms or an agreement to negotiate future terms. “Under mutually agreed terms” may leave material terms open. Have counsel align the clause with the continuation rights you intend to obtain.

SECTION 2 - MONTHLY BASE RENTAL

A monthly base rental of Philippine Peso [MONTHLY RENT IN FIGURES] (PhP [AMOUNT IN WORDS]), payable on or before the [DATE - e.g., 5th] day of each calendar month.

SECTION 3 - RENT-FREE FIT-OUT PERIOD

A rent-free fit-out period of [NUMBER - e.g., thirty (30) / forty-five (45) / sixty (60)] calendar days immediately preceding the Lease Commencement Date, during which the Lessee shall be entitled to possession of the Premises for the purpose of conducting fit-out, renovation, installation, and preparation works, without obligation to pay base rent or any maintenance charges.

The rent-free fit-out period shall commence on [FIT-OUT START DATE] and conclude on [FIT-OUT END DATE - the day before the Lease Commencement Date in Section 1]. The Lease Commencement Date in Section 1 above is the date immediately following the conclusion of this rent-free period.

The Lessee shall be responsible for all utility costs - electricity and water - consumed during the fit-out period.

PREPARER NOTE

This is your most important negotiating point in the entire LOI. A 15- to 30-day fit-out request is a negotiation example to discuss early — before you have indicated that you have already decided on the space regardless of terms. Frame it as standard practice: "Given the fit-out and installation works required before we can open, we are requesting a 30-day rent-free fit-out period before rent commences — this would allow us to open a properly operating business rather than rushing our setup while rent is already running." If the lessor counters with a shorter period, assess whether the shorter period still makes the budget workable — even 15 days of rent-free fit-out at Php 30,000 per month saves Php 15,000 of working capital.

SECTION 4 - SECURITY DEPOSIT

A security deposit equivalent to [NUMBER - e.g., two (2)] months' base rent - Philippine Peso [COMPUTED AMOUNT IN FIGURES] (PhP [AMOUNT IN WORDS]) - payable upon signing of the formal Lease Agreement.

The security deposit shall be held by the Lessor as security for the faithful performance of the Lessee's obligations under the Lease Agreement and shall be refunded to the Lessee in full within [NUMBER - e.g., thirty (30)] calendar days after the termination or expiration of the lease and the Lessee's delivery of the Premises in the agreed condition, less only amounts legitimately deducted for damages beyond normal wear and tear as documented in a written end-of-lease condition report.

PREPARER NOTE

Two months is a negotiation example, not a statutory commercial-lease limit. Compare the requested deposit with your available working capital. Three months of rent locked in a deposit before you have generated a peso of revenue is a significant drain on working capital that serves the lessor's interest, not yours.

SECTION 5 - ADVANCE RENT

Advance rent equivalent to [NUMBER - e.g., one (1)] month's base rent - Philippine Peso [MONTHLY RENT IN FIGURES] (PhP [AMOUNT IN WORDS]) - payable upon signing of the formal Lease Agreement, to be applied to the [first / last] month of the lease term.

SECTION 6 - COMMON USE SERVICE AREA AND MAINTENANCE CHARGES

Any Common Use Service Area charges, building maintenance fees, association dues, or equivalent recurring charges applicable to the Premises shall not exceed Philippine Peso [MAXIMUM MONTHLY CUSA AMOUNT IN FIGURES] (PhP [AMOUNT IN WORDS]) per month and shall be itemized separately from the base rent in all monthly billings issued to the Lessee.

PREPARER NOTE

If the lessor's property has no formal CUSA structure, include this clause anyway using a reasonable monthly cap amount — it prevents informal "maintenance fees" or "building charges" from appearing on your billing statements at the lessor's discretion after the lease is signed. If you cannot determine the appropriate cap amount before negotiating, ask the lessor for a breakdown of all charges that will appear on your monthly billing before you agree to any amount. Get the breakdown in writing.

SECTION 7 - ANNUAL RENT ESCALATION

The monthly base rental shall be subject to an annual increase not exceeding [PERCENTAGE - e.g., five percent (5%)] of the prevailing monthly base rental, effective on each anniversary of the Lease Commencement Date set forth in Section 1.

PREPARER NOTE

Push for 5 percent or lower. Before agreeing to any escalation rate, compute the escalated monthly rent for every year of your proposed lease term and verify that the Year 2 and Year 3 rent at the escalated rate remains within your financial model's break-even capacity. If the Year 3 escalated rent breaks your model, negotiate the rate down before signing — not after Year 3 arrives.

SECTION 8 - PERMITTED USE

The Premises shall be used by the Lessee exclusively for the operation of a [TYPE OF BUSINESS] and directly related business activities. Any material change in the nature of the business use shall require prior written consent of the Lessor, which consent shall not be unreasonably withheld.

SECTION 9 - UTILITY CONNECTIONS AND SUB-METERING

The Lessee shall have the right to apply for direct utility connections - electricity and water - in the Lessee's name, subject to the applicable utility provider's requirements and the physical configuration of the Premises.

Where the Premises are served by sub-metering, the electricity charge shall use the following transparent, agreed formula: [METERED CONSUMPTION × AGREED RATE BASIS, PLUS ANY SPECIFICALLY AGREED LAWFUL CHARGES]. The Lessor shall provide the relevant meter readings and supporting utility bills. Any mark-up, administration fee or other charge must be expressly stated and comply with applicable utility and regulatory rules.

PREPARER NOTE

Obtain the meter readings, supplier bills and agreed billing formula before accepting the arrangement. Confirm every component, administration fee and allocation method in writing, and have any disputed charge checked against the contract and applicable utility rules.

SECTION 10 - BIR-COMPLIANT INVOICES AND PAYMENT DOCUMENTATION

The Lessor agrees to issue the BIR-compliant invoice required for rental transactions and any applicable supplementary acknowledgment of payment, in accordance with current invoicing rules. The parties shall coordinate any legally required withholding documentation.

PREPARER NOTE

Confirm the lessor’s invoicing arrangements before signing. Keep payment evidence and ask your CPA about invoices, withholding and expense substantiation. A bank transfer alone is not a substitute for every required tax document; refusal to provide a document does not by itself establish the lessor’s tax status.

SECTION 11 - PRE-TERMINATION

The Lessee may pre-terminate this lease prior to its natural expiration by providing the Lessor with [NUMBER - e.g., sixty (60)] calendar days' advance written notice. Upon pre-termination in accordance with this Section, the Lessee's financial obligation shall be limited to: (a) payment of rent and charges through the end of the notice period; and (b) forfeiture of [NUMBER - e.g., one (1)] month's security deposit. No additional financial penalties beyond those specified in this Section shall apply to a pre-termination made in accordance with this Section's notice requirement.

PREPARER NOTE

This clause defines your exit options. A pre-termination penalty of one month's forfeited security deposit with 60 days' notice is a proposed negotiating position to evaluate with counsel. If the lessor insists on a larger penalty, ensure the triggering conditions are defined with precision — vague pre-termination penalty language can be argued by a lessor to apply even to situations you did not intend to cover, including failure to renew at expiration.

SECTION 12 - FORCE MAJEURE AND GOVERNMENT-MANDATED CLOSURES

In the event that the Premises become unusable or access to the Premises is legally prohibited due to causes beyond the reasonable control of both parties - including but not limited to natural disasters, fires, floods, government-mandated closures, health emergency quarantine orders, or other force majeure events - the Lessee's obligation to pay base rent shall be suspended for the duration of the period during which the Premises cannot be lawfully used for their intended purpose.

PREPARER NOTE

This proposes an express allocation of closure risk. Negotiate the trigger, relief, duration and notice procedure with counsel. Do not assume a government closure automatically suspends rent without considering the law, facts and lease terms.

SECTION 13 - FIT-OUT IMPROVEMENTS AND OWNERSHIP

All removable improvements, fixtures, and equipment installed by the Lessee - including but not limited to freestanding shelving, display counters, movable equipment, and appliances - shall remain the property of the Lessee and may be removed by the Lessee upon the termination or expiration of the lease, provided the Lessee restores any damage caused by their removal.

Fixed improvements that become structurally integrated into the Premises - including tiling, built-in cabinetry, electrical panel upgrades, and ceiling works - shall be discussed and their ownership and disposition agreed upon in writing in the formal Lease Agreement prior to execution.

PREPARER NOTE

This clause establishes the baseline principle that removable items are yours. The formal lease should include a more specific list of which improvements fall into each category — removable and fixed — particularly for high-value fit-out investments. Have a lawyer review the improvements clause in the formal lease, as the distinction between removable and structural improvement is the most common source of end-of-lease disputes between Philippine commercial tenants and their landlords.

SECTION 14 - CONDITION REPORT AT POSSESSION

Prior to the commencement of any fit-out works, both parties shall conduct a joint physical inspection of the Premises and prepare a written Condition Report documenting the existing state of the Premises - including any pre-existing damage, defects, or non-functional fixtures - supported by dated photographic documentation. The Condition Report shall be signed by both parties and attached to the formal Lease Agreement as a binding exhibit.

PREPARER NOTE

This clause protects your security deposit at end of lease. Without a signed condition report at possession, any pre-existing damage to the Premises becomes a dispute between your word and the lessor's — and you do not want to be in that dispute.

This Letter of Intent is presented in good faith as a basis for lease negotiations and is not intended to be legally binding on either party. The binding agreement between the parties will be the formal Lease Agreement, to be prepared by [LESSOR / LESSEE - specify who will prepare the draft] and reviewed by both parties before execution.

I am available at your convenience to discuss these proposed terms further and look forward to reaching a mutually beneficial arrangement.

Respectfully,

[YOUR FULL NAME] [BUSINESS NAME, if applicable] [Contact Number] [Email Address] [Date]

Acknowledged and agreed in principle:

[LESSOR'S FULL NAME] [Date]

PREPARER NOTE

Acknowledge only the intended status of the discussions. A signed LOI can have legal consequences depending on its substance. Counsel should confirm the non-binding language and any exceptions before either party signs.

TEMPLATE 3

Probationary employment contract framework

For retail, food service and comparable small businesses

Use this framework for a role that can lawfully be filled on a probationary basis. It emphasizes reasonable, role-specific standards communicated at engagement, timely evaluation and the correct process for the actual ground of any separation.

Have a Philippine labor lawyer review the completed contract before use. Customize it for the role, work arrangement, wage order and employee coverage. Recheck it when the role, facts or law change; one review does not guarantee suitability for every future hire.

Probation is generally limited to six months under Article 296, subject to lawful exceptions. Six calendar months should not be reduced to a universal 180-day formula. Have counsel verify the exact start and end dates. Set an internal review well before the end date; continued work beyond the lawful probationary period can establish regular status.

PROBATIONARY EMPLOYMENT CONTRACT

This Probationary Employment Contract (the "Contract") is entered into on [DATE OF CONTRACT SIGNING] at [CITY/MUNICIPALITY], Philippines, by and between:

THE EMPLOYER:

[FULL REGISTERED BUSINESS NAME], a business duly registered with the [DTI / SEC] under Registration No. [REGISTRATION NUMBER], with principal place of business at [COMPLETE BUSINESS ADDRESS], represented in this Contract by [NAME OF AUTHORIZED SIGNATORY] in the capacity of [POSITION/TITLE]

(hereinafter referred to as the "Employer");

— AND —

THE EMPLOYEE:

[EMPLOYEE'S FULL LEGAL NAME], of legal age, Filipino, residing at [EMPLOYEE'S COMPLETE HOME ADDRESS], holder of [GOVERNMENT ID TYPE - e.g., Philippine National ID / Passport / Driver's License] No. [ID NUMBER]

(hereinafter referred to as the "Employee").

RECITALS

WHEREAS, the Employer is engaged in the business of [BRIEF DESCRIPTION OF BUSINESS - e.g., retail food and beverage operations / retail clothing / personal care services] at the above-stated address;

WHEREAS, the Employer desires to engage the services of the Employee on a probationary basis for the position described in this Contract, subject to the Employee meeting the specific reasonable standards set forth in Article III;

WHEREAS, the Employee accepts engagement under the terms and conditions of this Contract;

NOW, THEREFORE, in consideration of the foregoing premises and the mutual covenants herein contained, the parties agree as follows:

ARTICLE I - POSITION AND DUTIES

1.1 The Employer engages the Employee as [JOB TITLE - e.g., Sales Associate / Food Service Crew / Cashier / Kitchen Staff / Service Technician], assigned to [BRANCH NAME OR LOCATION].

1.2 The Employee's primary duties and responsibilities shall include, but are not limited to, the following:

PREPARER NOTE

List specific, role-relevant duties — not generic descriptions. The duties listed here form the basis for the performance standards in Article III. If the duties are vague, the standards will necessarily be vague, which weakens your legal position in a non-regularization dispute. Be specific. Examples: "Processing customer sales transactions accurately using the POS system and issuing the required BIR-compliant invoices for sales." "Maintaining the cleanliness and organization of the assigned work area in accordance with the posted daily cleaning checklist." "Performing accurate daily inventory counts of assigned product categories and recording results in the inventory log." "Preparing food and beverage products in accordance with posted recipe standards and portion guides."

a. [SPECIFIC DUTY 1] b. [SPECIFIC DUTY 2] c. [SPECIFIC DUTY 3] d. [SPECIFIC DUTY 4] e. [SPECIFIC DUTY 5] f. Such other duties as may be reasonably assigned by the Employer from time to time, consistent with the Employee's position and capabilities.

ARTICLE II - PROBATIONARY PERIOD AND EVALUATION TIMELINE

2.1 The Employee is engaged on a probationary basis from [START DATE] through [VERIFIED END DATE], for a period not exceeding the lawful limit under Article 296 of the Labor Code, unless a lawful exception applies. The exact dates shall be verified before engagement.

PREPARER NOTE

Calculate the agreed lawful probationary period using the applicable legal rule and calendar dates. Do not use a fixed 180-day assumption or extend probation informally.

2.2 The Employer shall conduct and document a formal evaluation against Article III standards on or before [EVALUATION DATE], set sufficiently before the verified end date to allow assessment, communication and any required process.

2.3 The Employer shall communicate the evaluation outcome and any action in writing on or before [REVIEWED NOTICE DATE], observing the correct procedure for the ground relied upon and the lawful probationary end date.

2.4 Regular status shall be determined in accordance with applicable law. The Employer shall document the Employee’s status and communicate it in writing; a written notice is not the exclusive means by which regular status can arise.

2.5 If the Employee does not meet one or more of the performance standards set forth in Article III, the Employer may decline to regularize the Employee, subject to compliance with the due process requirements set forth in Article VII of this Contract.

2.6 Nothing in this Contract limits statutory security of tenure. An employee allowed to work after the probationary period shall be considered a regular employee in accordance with Article 296.

PREPARER NOTE

Track the verified dates and act lawfully in time. A contract cannot remove regular status that arises by operation of law.

ARTICLE III - PROBATIONARY PERFORMANCE STANDARDS

PREPARER NOTE

Use reasonable, role-specific standards and communicate them at engagement in a language the Employee understands. Keep signed evidence. Confirm the legal adequacy of the standards with counsel. A generic label such as “satisfactory performance” may be insufficient.

The Employee is hereby informed, at the time of engagement, that the following specific and reasonable standards must be met during the Probationary Period and demonstrated consistently by the Evaluation Date in Article II to qualify for consideration for regular employment:

3.1 Attendance and Punctuality Standard

The Employee shall maintain an attendance record of not less than [PERCENTAGE - e.g., 95%] of scheduled working days during the Probationary Period and shall report to work on time as defined by the posted shift schedule. Tardiness is defined as arrival more than [NUMBER - e.g., five (5)] minutes after the scheduled shift start time. Accumulation of more than [NUMBER - e.g., three (3)] instances of tardiness in any calendar month, or more than [NUMBER - e.g., two (2)] absences without prior approval in any calendar month, shall trigger a documented assessment against this standard, taking relevant circumstances and applicable law into account.

3.2 Work Quality and Accuracy Standard

PREPARER NOTE

Customize this standard specifically for the role. For a cashier or POS operator: "The Employee shall maintain a cash variance rate of not more than Philippine Peso [AMOUNT] per shift as verified by the daily cash reconciliation record. Two or more cash variance incidents exceeding this threshold in any calendar month shall trigger a documented assessment against this standard, taking relevant circumstances and applicable law into account." For food service crew: "The Employee shall prepare and serve products in accordance with the posted recipe standards, portion guides, and food safety protocols. A customer complaint rate attributable to the Employee's food preparation or service exceeding [NUMBER] documented complaints per month shall trigger a documented assessment against this standard, taking relevant circumstances and applicable law into account." For a sales associate: "The Employee shall achieve a minimum average daily sales assistance count of [NUMBER] completed customer transactions as recorded in the POS system. Failure to meet this minimum for two consecutive weeks shall trigger a documented assessment against this standard, taking relevant circumstances and applicable law into account."

[SPECIFIC, MEASURABLE QUALITY STANDARD APPROPRIATE FOR THIS ROLE]

3.3 Customer Service Standard

The Employee shall consistently demonstrate courteous, professional, and responsive customer service behavior in all customer interactions, as assessed through [ASSESSMENT METHOD - e.g., direct supervisor observation / customer feedback forms / mystery customer evaluations]. [NUMBER - e.g., Two (2)] or more documented customer complaints directly attributable to the Employee's conduct or attitude toward customers within the Probationary Period shall trigger a documented assessment against this standard, taking relevant circumstances and applicable law into account.

3.4 Policy and Procedure Compliance Standard

The Employee shall comply with all Employer policies, standard operating procedures, safety protocols, hygiene standards, and workplace rules as communicated through orientation, training sessions, posted notices, and the Employee Handbook if applicable. Issuance of [NUMBER - e.g., two (2)] or more written warnings for policy violations during the Probationary Period shall trigger a documented assessment against this standard, taking relevant circumstances and applicable law into account.

3.5 Teamwork and Cooperation Standard

The Employee shall work cooperatively and professionally with co-employees and direct supervisors, follow reasonable and lawful instructions from authorized supervisors in a timely and willing manner, and contribute constructively to the team's operational performance. Documented incidents of insubordination, deliberate interference with co-employees' work performance, or conduct that creates a hostile working environment shall trigger a documented assessment against this standard, taking relevant circumstances and applicable law into account.

PREPARER NOTE

Add additional standards specific to your role and business type if needed. Examples for food businesses: a food safety and hygiene compliance standard; a specific food preparation accuracy or speed standard. Examples for retail: a stock accuracy standard; a visual merchandising compliance standard. The more role-specific and measurable the standards, the stronger your legal position in a non-regularization proceeding.

3.6 Employee Acknowledgment of Performance Standards

The Employee hereby expressly acknowledges that:

a. The performance standards set forth in Sections 3.1 through 3.5 above have been read to and by the Employee and have been fully explained in a language understood by the Employee on the date this Contract is signed;

b. The Employee understands each standard, understands what is required to meet each standard during the Probationary Period, and understands that failure to meet any one or more of these standards may result in non-regularization or termination of employment during or at the end of the Probationary Period;

c. The Employee has had the opportunity to ask questions about these standards and any questions raised have been answered to the Employee's satisfaction before signing this Contract.

ARTICLE IV - COMPENSATION AND BENEFITS

4.1 Basic Wage

The Employee shall receive a basic wage of Philippine Peso [AMOUNT IN WORDS] (PhP [AMOUNT IN FIGURES]) per [DAY / MONTH], on a [DAILY-PAID / MONTHLY-PAID] basis. The applicable payroll basis, paid days, premiums and deductions shall be set out in [PAYROLL SCHEDULE / ANNEX], consistent with law.

PREPARER NOTE

The daily wage rate must meet or exceed the current daily minimum wage applicable to your region, industry classification, and establishment size as set by the Regional Tripartite Wages and Productivity Board. Verify the current applicable rate at nwpc.dole.gov.ph before completing this field. Include the specific Regional Wage Order number and effectivity date in the next sub-section to document the compliance basis.

This basic wage is in compliance with [REGION NAME] Regional Wage Order No. [WAGE ORDER NUMBER], effective [EFFECTIVITY DATE OF CURRENT WAGE ORDER].

4.2 Payroll Schedule

Wages shall be paid on a semi-monthly basis - on the [DATE - e.g., 15th] and the [DATE - e.g., last] day of each calendar month - through [PAYMENT METHOD - e.g., cash / bank transfer to the Employee's designated account].

4.3 Mandatory Government Deductions

The following deductions shall be made from the Employee's wages in accordance with applicable law:

a. The Employee’s SSS share under the currently applicable contribution schedule;

b. The Employee’s PhilHealth share under the currently applicable rules;

c. The Employee’s mandatory Pag-IBIG contribution under the current fund salary, rate and cap, plus any separately authorized voluntary contribution;

d. Withholding tax on compensation, where applicable under current BIR rules.

The Employer shall separately pay its legally required shares and shall not charge those shares to the Employee.

4.4 13th Month Pay

For covered employees, 13th month pay shall be computed as the actual total basic salary earned during the calendar year divided by twelve (12), payable within the legally required deadline. The same actual-basic-salary formula applies to a partial year, subject to applicable rules and any more favorable benefit.

ARTICLE V - WORK SCHEDULE

5.1 The regular schedule shall be [NUMBER] working hours per day and [NUMBER] days per week, excluding a [DURATION] unpaid meal period, on the schedule provided to the Employee. For example, eight working hours plus a one-hour unpaid meal period normally span nine hours. Rest periods, rest days, compensable time and premium pay shall comply with applicable law.

5.2 The Employer reserves the right to adjust shift assignments, rest days, and shift timings based on the operational requirements of the business, subject to reasonable advance notice to the Employee consistent with DOLE requirements.

5.3 Overtime and other premium-pay work shall be paid at the legally applicable rates. The Employee must follow the Employer’s advance-authorization procedure. That procedure does not remove the obligation to pay for compensable work that the Employer required, permitted or otherwise must pay under law.

ARTICLE VI - LEAVE BENEFITS

6.1 Service Incentive Leave

Where Article 95 and its implementing rules apply, an employee who has rendered at least one year of service is entitled to five days of service incentive leave per year, subject to lawful coverage rules and exemptions. Unused statutory SIL shall be handled and paid in accordance with law. Any more favorable contractual leave is described in [LEAVE POLICY / ANNEX].

6.2 Leave During Probationary Period

Leave during probation shall be administered according to the applicable statutory entitlement and the Employer’s lawful leave policy. Probationary status does not by itself remove maternity, paternity or other statutory benefits where their eligibility conditions are met. Specify any additional contractual leave in [LEAVE POLICY / ANNEX].

PREPARER NOTE

Check SIL coverage and exemptions, including the rule concerning establishments regularly employing fewer than ten employees. A promised contractual benefit may still apply even where a statutory exemption exists. Do not treat every leave request during probation as unpaid automatically.

ARTICLE VII - DUE PROCESS FOR DISCIPLINARY ACTION AND TERMINATION

7.1 Procedure for Just-Cause Termination

For termination based on a just cause, the Employer shall comply with the applicable written-notice and opportunity-to-be-heard requirements. Other disciplinary actions and probationary failure-to-qualify decisions shall follow the process applicable to their actual grounds.

First Notice - Notice to Explain: A written notice stating the specific facts and grounds relied upon, giving the Employee a reasonable opportunity of at least five (5) calendar days from receipt to submit an explanation, and satisfying the requirements applicable to the case.

Opportunity to Be Heard: After receipt of the Employee's written explanation - or after the explanation period has elapsed without a response - the Employer shall provide the Employee an opportunity to be heard, which may take the form of a written explanation, a clarificatory conference, or both, as required by applicable law, including a conference where legally required.

Second Notice - Notice of Decision: A written notice informing the Employee of the Employer's decision following the review of the Employee's explanation, stating clearly the specific ground for the action taken and the corresponding disciplinary consequence.

7.2 Non-Regularization for Failure to Meet Probationary Standards

Where the Employer determines at or before the Evaluation Date that the Employee has failed to meet one or more of the specific standards in Article III, the Employer shall:

a. Assess the Employee fairly against reasonable standards made known at engagement and retain the documented basis for the assessment;

b. Apply any additional evaluation or response process required by law, this Contract or an applicable policy;

c. Serve the required written notice of failure to meet the disclosed probationary standards, stating the reasons and effective date, within the time required by law. Have counsel confirm the timing and service before action.

7.3 Termination for Just Cause

For termination based on a statutory just cause under Article 297 of the Labor Code, the Employer shall establish the required legal elements and comply with the applicable notice and opportunity-to-be-heard requirements, including Section 7.1, regardless of probationary status.

7.4 Termination for Authorized Cause

For termination based on an authorized cause, the Employer shall establish the applicable statutory ground, provide the notices required by law to the Employee and DOLE, and pay any separation pay legally required for that cause and the actual circumstances. Have counsel confirm the ground, notice period and computation before action.

PREPARER NOTE

A just-cause dismissal, failure to meet probationary standards and an authorized-cause termination have different substantive and procedural requirements. Identify the correct ground first. Following a notice template alone does not make a termination valid. Obtain labor-law advice before acting.

ARTICLE VIII - CONFIDENTIALITY

8.1 The Employee acknowledges that in the course of employment, they may have access to confidential and proprietary business information belonging to the Employer, including but not limited to: customer lists and customer contact information; supplier identities and pricing terms; operational procedures, recipes, and formulas; financial data; pricing strategies; and business systems and processes.

8.2 The Employee agrees not to disclose, share, reproduce, transmit, or use for personal benefit - during or after the term of employment - any confidential information obtained in the course of employment with the Employer, for a period of [NUMBER - e.g., one (1)] year following the separation of the Employee from the Employer's service for any reason.

8.3 The Employee shall not use any confidential information for the purpose of directly or indirectly competing with the Employer's business during the period specified in Section 8.2.

PREPARER NOTE

Have counsel review the scope, duration and enforceability of confidentiality and any restrictive covenant. Do not use this clause to prevent lawful disclosures or create an unreviewed blanket restriction on earning a livelihood.

ARTICLE IX - GENERAL PROVISIONS

9.1 Governing Law. This Contract shall be governed by the Labor Code of the Philippines and all applicable DOLE regulations and issuances, as amended from time to time. In the event of any conflict between this Contract and mandatory provisions of Philippine labor law, the applicable law shall prevail.

9.2 Entire Agreement. This Contract constitutes the entire agreement between the parties with respect to the Employee's probationary employment and supersedes all prior discussions, representations, negotiations, and understandings, whether oral or written, relating to the subject matter hereof.

9.3 Amendments. No amendment, modification, or waiver of any provision of this Contract shall be effective unless made in writing and signed by both parties.

9.4 Separability. If any provision of this Contract is held to be invalid, illegal, or unenforceable by a court or labor arbiter of competent jurisdiction, the validity, legality, and enforceability of the remaining provisions shall not be affected or impaired thereby.

9.5 No Waiver. Failure by either party to enforce any provision of this Contract at any time shall not be construed as a waiver of that party's right to enforce such provision in the future.

IN WITNESS WHEREOF, the parties have hereunto set their hands on the date and at the place first written above.

THE EMPLOYER:

Signature over Printed Name: _____ Name: [FULL NAME OF AUTHORIZED SIGNATORY] Position: [POSITION/TITLE] Business Name: [FULL REGISTERED BUSINESS NAME] Date: _____

THE EMPLOYEE:

Signature over Printed Name: _____ Name: [EMPLOYEE'S FULL LEGAL NAME] Date: _____

EMPLOYEE ACKNOWLEDGMENT OF PERFORMANCE STANDARDS AND RECEIPT OF CONTRACT

I, [EMPLOYEE'S FULL LEGAL NAME], hereby acknowledge and confirm the following:

I have received a signed copy of this Probationary Employment Contract on [DATE];

I have read the entire Contract, including Article III on Probationary Performance Standards, in full;

The performance standards in Article III were explained to me in [LANGUAGE - e.g., Filipino / English / Bisaya / Ilokano] on [DATE] by [NAME AND POSITION OF PERSON WHO EXPLAINED THE STANDARDS];

I understand each performance standard, I understand what I am required to do to meet each standard, and I understand that failure to meet these standards during the Probationary Period may result in my non-regularization or termination of employment;

I had the opportunity to ask questions about the Contract and the performance standards before signing, and any questions I raised were answered to my satisfaction;

I am signing this Contract and this Acknowledgment freely, voluntarily, and without duress, coercion, or undue influence from any person.

Signature over Printed Name: _____ [EMPLOYEE'S FULL LEGAL NAME] Date: _____

WITNESSED BY:

Signature over Printed Name: _____ Name: [WITNESS FULL NAME] Position: [WITNESS POSITION] Date: _____

PREPARER NOTE

Keep the contract, acknowledgment and proof that standards were explained in the personnel file using an appropriate retention and privacy policy. Give the Employee a signed copy promptly. The acknowledgment does not waive statutory rights.

CHECK THE CURRENT RULE

Official sources & verification notes

Selected official materials checked 4 October 2026.

Start with the issuing agency. Confirm applicability, current amendments and your local requirements before relying on a rule. These references cover selected rules and their scope; they are not a complete compliance audit.

01 Registration and agency coordination

Confirm your entity’s registration route, the current LGU/eBOSS checklist and the BIR commencement trigger before opening. BIR registration is due on or before commencement, not after an assumed grace period following the first sale. Integrated agency services can change the order and number of visits.

BIR RMC 91-2024: registration timing

SEC eSPARC registration routes

DTI BNRS fees and FAQs

RA 11032 implementing rules: integrated barangay processing

02 Invoices and the BIR registration fee

EOPT changed primary sales documentation to invoices for goods and services. Payment receipts serve a different purpose. BIR ceased collecting the ₱500 annual registration fee from 22 January 2024; printing and other applicable setup costs remain separate.

BIR EOPT guide

BIR RR 11-2024: legacy document transition

BIR RMC 14-2024: annual fee abolition

03 Income-tax choice and VAT filing

The 8% income-tax option applies only to eligible individuals and requires a timely annual election. Pure self-employed and mixed-income earners have different tax-base rules. VAT is a separate tax with its own registration tests. VAT returns are generally quarterly; optional monthly payments do not replace the required quarterly return.

BIR RMO 23-2018: 8% option

BIR RMC 50-2018: income-tax base clarifications

BIR RMC 52-2023: quarterly VAT and optional monthly filing

04 Withholding-tax workflow

Where expanded withholding applies, the calendar normally includes first-two-month remittances, a quarterly return and supporting payee documentation. Confirm the rate, tax code, filing channel and deadlines with your CPA; withholding is not completed merely by deducting money from a supplier’s payment.

BIR RMC 73-2018: monthly remittance forms

BIR payment/remittance forms and due dates

05 Tax records and penalties

Use the applicable five-year statutory reckoning for tax-book and accounting-record retention, with longer preservation where a dispute or another rule requires it. Penalties depend on the violation and taxpayer classification; specified micro- and small-taxpayer reductions apply under EOPT.

EOPT Act, including records-retention changes

BIR RR 6-2024: micro/small taxpayer penalties

06 POS and electronic invoicing

Vendor accreditation, business-system authorization and electronic-invoice authorization are distinct. RMC 98-2026 sets requirements for covered taxpayers ahead of 31 December 2026, with scope and micro-taxpayer provisions. Electronic sales reporting is a separate obligation. Verify later issuances before selecting or migrating a system.

BIR RMC 98-2026, issued 22 September 2026

BIR RR 26-2025: transition and coverage

07 Employer contribution calculations

Use the current SSS, PhilHealth and Pag-IBIG schedules separately: their contribution bases, limits and employer/employee shares differ. Pag-IBIG Circular 460 increased the maximum fund salary effective February 2024. Do not hard-code an outdated flat deduction into an employment contract.

SSS contribution table effective January 2025

PhilHealth premium schedule

Pag-IBIG Circular 460, official ONAR-filed copy

08 Contribution deadlines and employee benefits

Register employees and remit on time using each agency's current procedures. Employer non-compliance can create serious liabilities and does not simply extinguish employees' statutory benefit rights. SSS regular-employer remittances ordinarily fall due at the end of the following month; check current agency notices and account-specific instructions.

SSS employer duties and liabilities

SSS contribution payment deadlines

PhilHealth immediate eligibility guidance

PhilHealth employer payment procedures

09 Probation and termination procedure

Set lawful probation dates and communicate reasonable standards at engagement. Regular status can arise by operation of law. Just-cause dismissal, genuine failure to meet probationary standards and authorized-cause termination have different requirements; a contract or company policy may promise additional procedures. Obtain case-specific advice before separation.

Jaso v. Metrobank: probation computation and notice

DOLE termination-notice rules

Supreme Court: five-day explanation and hearing requirements

10 Service incentive leave and other statutory leave

For covered workers, service incentive leave follows the statutory service and coverage rules. Check exemptions and any more favorable contract or established practice. Probationary status does not automatically exclude a worker from other statutory leaves for which the worker qualifies. Preserve unused statutory leave and applicable conversion rights.

DOLE Labor Code Book III, Article 95

DOLE statutory monetary benefits handbook

11 Work schedules and pay calculations

Distinguish working hours from unpaid meal time, and daily-paid from monthly-paid payroll. Check the applicable wage order, compensable time, rest days and premiums. Statutory 13th-month pay is generally based on total basic salary earned during the calendar year divided by 12, subject to coverage and applicable rules.

Supreme Court: working hours and meal periods

DOLE statutory monetary benefits handbook

12 Holiday classifications

Build payroll from the applicable year's proclamations and DOLE pay advisories, including later national and local declarations. Regular holidays, special non-working days and special working days are different categories. Coverage, attendance, rest-day overlap and existing benefits can affect the calculation.

Presidential Communications: 2026 holiday classifications

Presidential Communications: 2027 holiday classifications

13 Corporate bank-account authority

Match the bank's documents to the entity's actual governance. Ordinary corporations follow applicable board quorum and voting rules; OPCs use the single stockholder's signed written resolutions recorded in the minutes book. Certification, signatory and notarial requirements should be checked with counsel and the receiving bank.

Revised Corporation Code, particularly §§52 and 127–128

14 Lease wording and improvements

Negotiate clear written provisions on charges, access, improvements, restoration, renewal and exit. The Civil Code provides rules on interpreting ambiguity and conditional rights concerning useful improvements; a generic template cannot settle every lease dispute. Have counsel confirm the effect of an LOI and the final lease.

Civil Code, including Articles 1377 and 1678

15 Fire protection for the actual premises

Confirm requirements with BFP for the establishment's occupancy, layout, equipment and hazards. Extinguisher ratings and placement depend on more than floor area. Use the official assessment and site-specific checklist rather than a single equipment-weight shortcut.

BFP Revised IRR of the Fire Code 2019

PROMDI PRENEUR

YOUR NEXT STEP

You’ve started building a better business.

A business doesn’t become organized overnight. It starts with knowing what needs attention, documenting what works, and building routines your people can consistently follow. This checklist is your starting point.

At PromdiPreneur, we help entrepreneurs go further—turning those plans into practical systems for managing inquiries, customers, sales, employees, and everyday operations.

And sometimes, all you need to get started is a good conversation.

Not sure how to apply this to your business? Send us a question; we’ll be glad to suggest a practical next step.

Allan Asuncion, founder of PromdiPreneur, helps business owners turn scattered tasks and manual processes into practical systems their teams can follow.

ASK US ABOUT YOUR BUSINESS

Tell us what you’re working on or which part of your business is giving you difficulty. We’ll be glad to share a few practical ideas or recommendations to help point you in the right direction. No pressure. No obligation.

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FROM DISKARTE TO SYSTEMS.

Allan Asuncion
Founder, PromdiPreneur
Business Systems & Automation Implementer